ANNUAL REPORT 2024

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LEGAL FRAMEWORK

The Bank of Albania is the central bank of the Republic of Albania. Article 161 of the Constitution of Albania defines the status of the Bank of Albania and Law No. 8269, dated 27.12.1997, "On the Bank of Albania", lays down its objectives, duties, relationships with the banking system and state institutions in Albania, as well as requirements for organisation and management, financial statements, and allocation of capital and profit.

The primary objective of the Bank of Albania is to achieve and maintain price stability. The Bank of Albania is autonomous and independent from any other authority in the pursuit of its objectives and the performance of its duties.

The Bank of Albania is accountable to the Assembly of the Republic of Albania and its paid-up capital is owned exclusively by the State of Albania. The Bank of Albania is governed by the Supervisory Council, which is chaired by the Governor. The Governor also serves as the General Executive Director of the Bank.

The Bank of Albania operates in accordance with the following legislation:

- Article 161 of the Constitution of the Republic of Albania;
- Law No. 8269, dated 23.12.1997, "On the Bank of Albania", as amended;
- Law No. 9662, dated 18.12.2006, ''On banks in the Republic of Albania'', as amended;
- Law No. 133, dated 29.4.2013, ''On payment systems'';
- Law No. 55/2020, dated 30.4.2020, "On payment services";
- Law No. 52, dated 19.5.2016, ''On savings and loan associations and their unions'';
- Law No. 133, dated 22.12.2016, "On the recovery and resolution of banks in the Republic of Albania";
- Law No 100, dated 14.12.2023, "On payment account with basic features";
- The Statute of the Bank of Albania approved by the Decision No. 90, dated 2.12.2015 of the Supervisory Council.



GENT SEJKO, GOVERNOR OF THE BANK OF ALBANIA

FOREWORD BY THE GOVERNOR

Dear reader,

The year we left behind was, overall, a positive year for the Albanian economy.

The volume of economic activity, in the face of a challenging external environment, continued to grow, generating increased employment and income for businesses and households. In parallel, the key indicators of Albania's economic, monetary, and financial stability improved. Inflation marked a significant decline over 2024, down close to our 3% target, in turn accommodating a stable price environment for the Albanian economy and society. At the same time, the budget deficit and the current account deficit remained close to their historical minimums, external debt and public debt continued to decrease, while parameters of financial stability and the banking sector's soundness remain at good levels.

Our economic and financial partners have confirmed this progress. The year 2024 brought a series of positive news for the Albanian economy, but here I would like to highlight three of them. First, during the year we left behind, Albania officially began the negotiations process for EU membership. This process is expected to culminate in the near future with the fulfilment of our national aspiration to be – officially – part of the family of the most developed European nations. Second, Albania joined the European Single Payments Area (SEPA), a step that will yield real benefits in the form of reduced costs for cross-border banking payments. Third, Albania received a rating upgrade from the two most prestigious sovereign debt rating agencies. This rating has provided quick and visible benefits by reducing financing costs in international markets.

The, Bank of Albania, an important institution in the economic and financial life of Albania, has provided a significant contribution to this panorama of developments.

Our monetary policy has succeeded in addressing the global inflation wave of 2022–2023. It enabled control of the impact of this shock and restoration of price stability, with minimal cost to the trajectory of economic growth and financial stability.

Prudential supervision and regulation of monetary markets and the banking system have resulted in a stable monetary and financial environment; sustainable development of the banking industry; as well as a rapid and solid growth in lending. In 2024, the work of the Bank of Albania focused on the continuous supervision of the banking sector, improving the macro-prudential framework, and reviewing several regulations, with a special focus on adopting European Union standards and enhancing consumer protection.

In addition, our ongoing reform efforts in the development of the payment system have led to a reduction in the cost of banking transactions, an increase in electronic payments, and an expansion of financial inclusion.

Last, and equally important, the Bank of Albania has successfully fulfilled its legal duties in supplying the economy with cash, managing foreign exchange reserves, and producing financial statistics. In addition, we have actively participated in the

European integration process, contributed to enhancing financial literacy among the public, and developed strategies to reduce the risks that the financial industry faces from climate change, etc.

These positive development trends are an encouraging premise for the country's sustainable and inclusive growth in the future.

Yet many challenges lie ahead, wherein I find it appropriate to highlight elevated tensions, geopolitical uncertainty, unfavourable demographic trends, and climate change. However, the progress we have achieved in adopting best practices, increasing human resources, and improving the institutional architecture provides substantial assurance for addressing these issues.

Dear reader,

Concluding, I would like to thank you for your interest in the Bank of Albania's Annual Report. I am confident that in this Report, you will find a comprehensive analysis of the economic, monetary, and financial developments in Albania over the course of the past year, an overview of the work and activities of the Bank of Albania, as well as a tool for transparency and accountability regarding the fulfilment of our legal objectives and institutional commitments.

Gent SEJKO

GOVERNOR

2024 YEAR IN BRIEF

- *The year, 2024, marked a positive development for the Albanian economy, characterized by low inflation rates, sustainable economic growth, and improvements in the labour market, reflected in an increase in employment and wages compared to the previous year. Furthermore, key indicators of the country's financial and economic balances improved, as displayed, among other things, by reduced external debt and public debt, as well as a low current account deficit.*

- *The country experienced a pronounced improvement regarding public debt assessment by international rating agencies. This improvement drove to a decrease in financing costs in international markets for both the public and private sectors.*

- *Monetary policy, aimed at achieving the price stability objective, implemented an accommodative stance throughout 2024. Its contribution was materialized in containment of inflation expectations; reduction of uncertainties; and improvement in the financial environment. In turn, lending costs were reduced, and credit grew at a rapid pace, also backed by increased demand and the positive approach of banks towards lending.*

- *The financial system, particularly the banking sector, recorded an improvement in liquidity, capitalization, and credit quality indicators. Systemic risks in the financial system are assessed as contained, while the sustainability of the banking sector to withstand potential shocks remains strong. Good soundness and stability enable the banking sector to play an effective role in financial intermediation and support the economy.*

- *The Bank of Albania continued to align the regulatory framework with the EU acquis, strengthen the macro-prudential policy framework, and enhance resolution capacities. In 2024, the regulatory framework on consumer protection from default risk was reviewed, ensuring that borrowers are able to meet their financial obligations without compromising their essential needs.*

- *The year 2024 marked a historic moment for the Bank of Albania and country. On 21 November, the European Payments Council (EPC) approved the inclusion of Albania in the geographical scope of the Single Euro Payments Area (SEPA) payment schemes, an important milestone towards financial integration with the European market.*

- *The use of payment processing systems increased significantly, while regulatory and infrastructural amendments in this area have fuelled the adoption of electronic payment instruments, enhancing efficiency and access to financial services.*

- *The Bank of Albania, as one of the key institutions of the country, has supported Albania's European integration process by meeting all reporting obligations and incorporating the European Commission's recommendations into its daily operations.*

- *The Bank of Albania, at the beginning of 2024, adopted the Strategy on Financial Education and Inclusion, its first institutional document aimed at promoting financial education, expanding financial inclusion, and fostering economic well-being and sustainability.*

- *The Bank of Albania has intensified its communication with the Albanian public through media and online platforms, guided by the principles of transparency and accountability.*

SUPERVISORY COUNCIL OF THE BANK OF ALBANIA



Left to right:

Ms. Violeta Staka, Member
Mr. Artan Hoxha, Member
Ms. Edlira Luçi, Member
Ms. Luljeta Minxhozi, Deputy Chair
Mr. Gent Sejko, Chair
Ms. Natasha Ahmetaj, Member
Mr.Anastas Angjeli, Member
Ms. Suela Popa, Member
Mr. Ridvan Bode, Member

1. SUPERVISORY COUNCIL OF THE BANK OF ALBANIA

The Supervisory Council is the highest decision-making and supervisory body of the Bank of Albania. The Supervisory Council: (i) approves the monetary policy and exchange rate policy, as well as financial stability and macro-prudential policy; (ii) supervises the process of budgeting, financial reporting, internal controls and auditing in the Bank of Albania; (iii) approves all normative acts issued by the institution; and (iv) approves the medium-term strategy, the appointment of department heads and the organizational structure of the Bank of Albania.

The Council exercises its powers independently and in a transparent manner, in line with the organic law and internal procedural rules.

The monitoring of the financial reporting process and of the internal audit system are delegated to the Audit Committee.

The Council held 15 meetings over 2024 in line with the approved schedule of meetings. Eight of these meetings focused on the monetary policy. Four meetings were dedicated to financial stability and supervision. The other meetings addressed: (i) the annual programme of the Supervisory Council; (ii) the Annual Report of the Bank of Albania; and (iii) the annual and medium-term budget.

The Council has been informed regularly on: (i) the institution's management policies; (ii) the performance of international reserve management; and (iii) the findings and recommendations from internal and external audits, on the effectiveness and quality of internal control systems, risk management and Bank of Albania's management.

Also, the Council was informed on the annual supervision report, which analyses the activity of the banking system and its supervision over 2023, provides statistics and information on licensed entities and analyses issues related to the performance of the banking system.

The Bank of Albania has regularly reported to the Assembly of Albania on the extent to which it has fulfilled recommendations presented in the resolution on the assessment of its activity, in compliance with its obligations as an independent constitutional institutions.

THE SUPERVISORY COUNCIL - THE HIGHEST DECISION-MAKING BODY OF THE BANK OF ALBANIA

The Supervisory Council has the power to approve all the decisions, regulations and guidelines of general application, issued by the Bank of Albania.

During its activity throughout 2024, the Council approved 68 decisions, of which 50 were acts approved for the first time and 18 were amendments to existing acts.

These acts were issued in accordance with the legal duties of the Supervisory Council, such as (i) monetary stability; (ii) licensing, regulation and supervision of banks and other financial institutions; (iii) provision of financial infrastructure (currency issue; interbank market); (iv) and stability of the financial system.

MANAGEMENT AND INTERNAL ORGANISATION

The organic law defines the Supervisory Council as the body responsible for (i) approving the Statute and internal regulations of the Bank of Albania; (ii) determining organisational structure; and (iii) approving appointments of the heads of departments and defining employment conditions at the Bank of Albania.

In November, the Council approved the Medium-term Development Strategy of the Bank of Albania 2025-2027, keeping the Bank of Albania's mission, vision and values unchanged. The medium-term strategy was adopted as a new document serving as a main pillar for drafting the budget for the next three years of the Bank of Albania's activity.

BUDGET

The Supervisory Council decides on the budget of the Bank of Albania, the management policies and the procedures on using financial assets to carry out the operational activity of the institution, pursuant to the Law on the Bank of Albania.

The Council approved the budget of the Bank of Albania for 2025 and the planned medium-term budget for 2026-2027. The budget was drafted in accordance with the objectives set in the Medium-term Development Strategy of the Bank of Albania and departmental projections on medium-term incomes and expenditures.

The budget aims at smoothly conducting the activity of the Bank of Albania, and the independent fulfilment of it duties laid down in the organic law, such as (i) the normal conduct of the activity of the Bank of Albania to fulfil its legal duties, (ii) preservation and improvement of the quality of currency in circulation; (iii) improvement and continuous updating of the information technology infrastructure and security system; and (iv) retention of human resource capacities, rationalization of the organizational structure, management and promotion of human capacities.

The capital expenditures and projections included in the budget were preliminarily approved by the Capital Expenditures Committee.

THE SUPERVISORY COUNCIL - THE HIGHEST SUPERVISORY BODY OF THE BANK OF ALBANIA

To ensure compliance with the law and other acts regulating the daily activity of the Bank of Albania, the Supervisory Council is regularly informed by the internal and external auditors.

A. Internal audit

The internal audit is an activity independent of management which provides evaluation, reporting and objective certainty, as well as fulfilling compliance, internal auditing and risk management functions.

1. Control over management

The administrators (the Governor and the two Deputy Governors) inform the Supervisory Council on a monthly basis about economic, financial and monetary developments, in accordance with legal obligations.

The Supervisory Council is also informed about the institution's management policies and the use of financial assets for the realisation of the operational activity of the Bank of Albania. The Governor is accountable to the Supervisory Council for the implementation of approved decisions, as well as for guidance, control and oversight of the management and operations of the Bank of Albania.

The Inspector General submits quarterly information to the Council on the tasks conducted by the Audit Department and on the findings of the internal auditing carried out in the Bank of Albania.

2. Activity of the Audit Committee

In order to increase efficiency and depth in specific areas, the functions of internal audit are delegated to the Audit Committee, which exercises its duties to support the strengthening of internal and external control lines. The Audit Committee is responsible for: (i) the financial reporting process; (ii) the internal control system; (iii) the internal and external audit; and (iv) compliance with legal and sub-legal acts which are in force.

The Committee is composed of three members of the Supervisory Council, respectively: Ms Suela Popa (Chair), Mr Ridvan Bode and Ms Edlira Luçi. Members are elected from the Council, for a four-year term, with the right to be re-elected only once. Administrators may not be members of the Committee. The Chair of the Committee shall be chosen by the members.

In 2024, the Audit Committee met four times and discussed issues such as: (i) activity of internal audit; (ii) financial results of the Bank of Albania; (iii) financial statements and external auditor's opinion; (iv) letter addressed to the

bank management and the opinion of the external audit as at and for the year ended 31 December 2023; (v) annual and medium-term budgeting, realisation of budget; and (vi) activity of operational risk management.

The Committee has informed the Council regularly on its activity and the implementation of its responsibilities.

3. *Internal audit*

The Inspector General and the Control Department, periodically and independently: (i) assess the accounts and the accounting records, as well as the management and operational procedures of the Bank of Albania, in order to ensure implementation of legal and sub-legal acts; and (ii) offer reasonable assurance on the efficiency of the control system, risk and processes managements, for the fulfilment of institutional objectives.

The Inspector General reports regularly to the Council on the realisation of this plan and the result of auditing engagements. The plan is based on the international standards for internal auditing and updated risk assessment of the identified functions in the revised audit universe.

4. *Operational risk management and business continuity*

The Council has approved the operational risk management and monitoring policy of the Bank of Albania and the level of tolerance to this risk. Administrators are responsible for addressing the operational risk, in accordance with the above framework.

The Audit Committee has a supporting role, regularly discussing, with the Inspector General and the external auditor, the risks identified and the actions to deal with them, as well as recommending to the Council measures to improve the control systems.

The Inspector General and Operational Risk Management Unit regularly inform the Supervisory Council on implementation of the business continuity programme.

B. *External audit*

The organic law provides that the Bank of Albania's accounts and records may be checked by external auditors of internationally-recognised auditing institutions appointed by the Council. The external auditor expresses his opinion on whether the reports prepared by the Bank of Albania fully and fairly represent the financial situation of the institution, in accordance with generally-accepted international accounting standards.

The financial statements of the Bank of Albania are audited so as to offer a reasonable reassurance that they are not inaccurate, as a result of errors or fraud. This provides the external auditor with a key role in maintaining the trust of financial markets and of the public in financial statements of the Bank of Albania.

The Audit Committee reviews the financial statements of the Bank of Albania and assesses if they are compiled in compliance with the International Financial Reporting Standards and in line with the external auditor's opinion.

Prior to submitting the opinion on the financial statements, the Committee meets with the external auditor, without the presence of the administrators, at which time the progress of the audit process is discussed.

C. *Accountability and transparency*

In accordance with the organic law, the Supervisory Council approves all reports and recommendations that the Bank of Albania presents to the Assembly or the Council of Ministers, as well as the annual and financial reports of the Bank of Albania. Upon approval by the Council, these reports are published.

1. *Approval of the Annual Report*

In March, the Supervisory Council approved the 2023 Annual Report and sent it to the Assembly and the Council of Ministers. The report describes the economy and financial situation in Albania and the activity of the Bank of Albania over the reporting period.

The financial statements audited and certified by the external auditor and its opinion are an integral part of the Annual Report. The financial statements for 2023 were audited by Ernst & Young- Certified Auditors, Albania Branch. In the opinion of EY Albania, the financial statements give a fair view of the Bank of Albania's financial position as at 31 December 2023, and of its financial performance and cash flows in accordance with International Financial Reporting Standards.

Pursuant to the requirements set forth in the Annual and Periodic Monitoring Manual of independent constitutional institutions, the Report was accompanied, by information on implementation of the recommendations provided in the Resolution of the Parliament "On the assessment of the activity of the Bank of Albania for 2023", as well as a detailed information on the implementation of rules laid down in the manual on the reporting of independent constitutional institutions, in general and of the Bank of Albania, in particular.

2. *Other reporting to the Assembly and the Council of Ministers*

In accordance with the organic law, the Bank of Albania has to publish: (i) a detailed opinion on the situation of the economy, quarterly; and (ii) a statement of threats to the stability of the financial system, biannually.

Through the compilation and publication of these quarterly and biannual reports, the Supervisory Council has regularly fulfilled the accountability obligations of the Bank of Albania to the Parliament and the transparency obligations to the public, financial system and media.

The Supervisory Council, in February, May, August and November, approved the quarterly monetary policy reports, which constitute the main instrument of accountability and transparency in this regard. These reports present a comprehensive description of the latest macroeconomic developments and the factors that affect the performance of consumer prices in Albania.

In April and September, the Supervisory Council approved the biannual financial stability reports. These reports present Bank of Albania's assessment on financial system developments in Albania, underline potential risks to financial stability and make recommendations in relation to necessary measures for reducing risks.

The reports have been sent to the Assembly of the Republic of Albania, the Council of Ministers and other central institutions.

2. THE ACTIVITY OF THE BANK OF ALBANIA

2.1. MONETARY POLICY

According to the Law "On the Bank of Albania", our monetary policy is formulated and implemented for the purpose of achieving and maintaining price stability Price stability is defined as an annual increase of 3% in the consumer price index over the medium term. Through the fulfilment of this objective, the Bank of Albania contributes to the stable development of the economy, the assurance of financial stability, and improvement in the welfare of Albanian citizens.

The Supervisory Council of the Bank of Albania makes monetary policy decisions, based on the contemporary framework of analysis and forecast, which makes use of all available information, and is based on tested econometric models and the best practices of central banking. For more information on the objectives, principles, and strategy of monetary policy, you can see the Monetary Policy Document. Meanwhile, the Monetary Policy Reports provide a comprehensive analysis of the economic and financial situation in the country, future forecasts, the stance of monetary policy, and its contribution to economic development.

The Bank of Albania managed to bring inflation under control during 2024, following high levels in the previous two years. The reduction of inflation brought significant benefits to Albanian households and enterprises, increasing their purchasing power, reducing uncertainty, and stimulating consumption and investments. At the same time, the economy maintained a positive development trajectory, reflected in the growth of economic activity, employment, and wages, as well as the improvement of other indicators of the country's economic and financial soundness.

The monetary policy of the Bank of Albania has played an important and positive role in this progress. The prudential, consistent, and proactive approach to the continuous shocks of recent years has enabled the preservation of the country's monetary stability, fostering sustainable economic growth and the increase of societal well-being.

2.1.1 MONETARY POLICY IN 2024

The Albanian economy closed 2024 with a positive balance sheet.

In the face of a challenging external environment, economic activity continued to grow at a steady pace, exceeding our initial expectations. Gross domestic product (GDP) increased by 4% during the first three quarters of the year,

following a 3.9% growth in 2023. Economic growth was largely driven by the expansion of household consumption, business investments, and the export of tourism services. On the other hand, the export of goods declined, whilst the fiscal policy continued a consolidating trend. This profile of demand led to expanded activity in the sectors of services and construction, while activity in the sectors of industry and agriculture went down.

The expansion of economic activity enabled an improvement in key labour market indicators: employment and wages. During the first three quarters of the year, the number of employees in the private sector, according to administrative data, increased by 1.8%, while the average wage rose by 8.3%.

Consumer price inflation fell to an average level of 2.2% in 2024, down from 4.8% in 2023 and 6.7% in 2022, fully recovering from the price shocks in international markets. This trend was supported by the cautious normalization of monetary policy during 2022–2023, a decline in inflation among our trading partners, and a strengthening of the lek exchange rate, in turn accomodating an anchoring of inflation expectations.

The decline in inflation during 2024 was faster than our expectations, mainly due to falling food and oil prices in global markets. These developments, combined with the strengthening of the exchange rate, significantly reduced imported inflation, while domestic inflationary pressures eased more gradually. However, the latter are approaching their historical averages, providing a premise for stabilizing inflation near our medium-term target of 3%.

Other indicators of the country's economic and financial soundness improved significantly as well. In particular, external and public debt fell to 40.8% and 53.8% of GDP, respectively, while Albania's foreign exchange reserves reached approximately EUR 6.3 billion. Additionally, the stability and intermediation indicators of the banking sector were consolidated, while the quality of the loan portfolio continued to improve. Reflecting these positive developments, Albania experienced an improvement in its sovereign credit rating from international rating agencies, contributing to lower financing costs for both the public and private sectors in foreign markets.

The improvement in macroeconomic indicators is the result of various factors, with the monetary policy of the Bank of Albania playing a significant role. It has brought inflation under control without harming positive economic growth trends or the country's financial stability.

Following a period of normalization during 2022–2023, monetary policy took a more accommodative stance in 2024 H2. This approach was incited by the need to maintain control over inflation expectations in the future, given the rapid decline in inflation during the first half of the year. Monetary easing was achieved through a reduction in the key interest rate, which was lowered to 2.75% from 3.25% at the beginning of the year, as well as through increased

foreign currency purchases in the domestic market, supporting greater exchange rate stability.

As a result of the easing of monetary policy, financing conditions for households and enterprises improved. The interest rates on financial instruments in lek decreased, while loan interest rates also benefited from lower risk premiums and the positive approach of banks toward lending to the economy. Additionally, the strengthening of the lek has slowed down, further easing financial conditions in the economy.

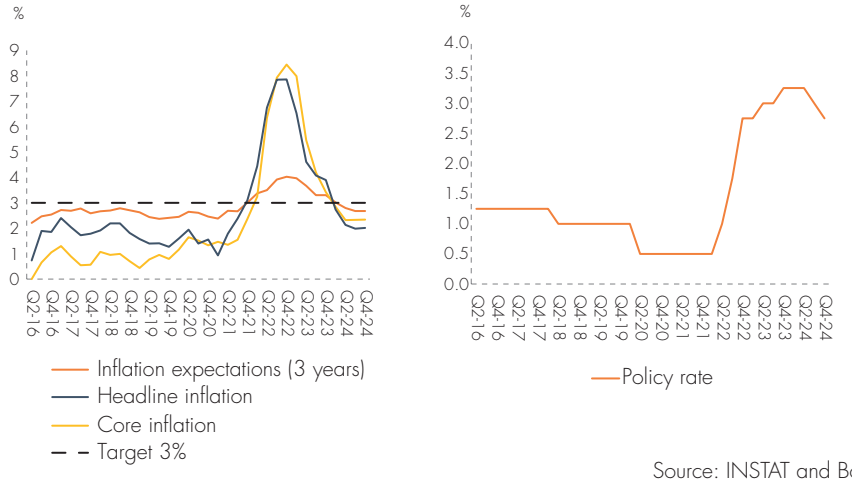
Private sector lending accelerated during 2024, driven by improved lending conditions and strong demand. Its annual growth reached 15.7%, up from 9.7% the previous year. The increase in credit has financed the needs of households and enterprises for consumption and investments, by maintaining a balanced currency composition and portfolio quality.

Overall, the monetary policy of the Bank of Albania has served to maintain price stability. The normalization process during 2022–2023, followed by an easing of monetary conditions in 2024, has carefully balanced addressing short-term inflation risks by creating the conditions for its sustainable return to the target in the medium term. This policy has contributed to the smooth functioning of financial markets, management of inflation expectations, and reduction of domestic inflationary pressures.

Projections for the future remain positive, on both short-term and medium-term horizons. Economic activity is expected to grow in line with its potential in the medium term, while inflation is projected to return to the 3% target in 2025.

The Bank of Albania will remain committed to respecting its price stability objective, by implementing an appropriate and prudent monetary policy.

Chart 1 Performance of core inflation, medium-term expectations (left) and policy rate (right)



Source: INSTAT and BoA.

BOX 1: MONETARY POLICY IMPLEMENTED IN 2024 AND ITS OUTCOMES

Throughout 2024, the overall macroeconomic environment was characterized by a downward trend in external inflationary pressures, a gradual stabilization of the demand-supply ratio in the economy, and calm financial markets marked by low interest rates and the continued strengthening trend of the exchange rate. The average inflation rate dropped to 2.2%, down from 4.8% in 2023, while economic growth remained stable at around 4.0%.

The Bank of Albania responded to these developments by easing monetary conditions in the economy. This easing took the form of: (i) a reduction in the key interest rate, from 3.25% at the beginning of the year to 2.75% by the end of the year; (ii) increased presence of foreign currency purchases in the domestic market, slowing the pace of exchange rate appreciation; and (iii) a consistent forward guidance on monetary policy direction. These developments were similar to—and partially influenced by—those in Albania's trading partners.

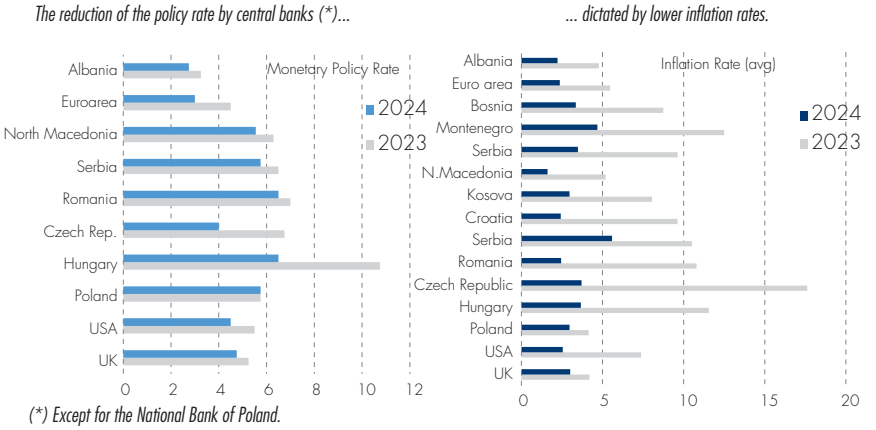
External Macroeconomic Environment and Monetary Policy in the euro area and the region

The weak economic performance in the euro area remained a growing concern for the European Central Bank (ECB) and regional economies. The inflation rate in the euro area reached its lowest of 1.7% in September, while economic growth stood at 0.7% for 2024. Economic growth and inflation have consistently been lower than financial market forecasts. Despite inflation rebounding to 2.4% by the end of 2024, the ECB remains concerned regarding the weak demand and expectations of sluggish economic growth continuing into 2025.

In European Union countries, not members of the euro area, the average inflation rate fluctuated within slightly higher ranges, in some cases due to internal economic challenges or large fiscal deficits. *The downward trajectory of inflationary pressures was more pronounced in the Western Balkans countries (WB). The region's average inflation rate hit its lowest level of 1.8% in September, followed by a slight increase at the end of the year.*

Monetary policy in both the euro area and the region was geared toward further easing monetary conditions. *The central banks of the euro area and regional countries reduced their policy interest rates by at least 0.5 percentage points during 2024.*

Chart 2 Inflation and Monetary Policy in partner economies



Source: Relevant central banks, staff's calculations. Source: Statistical institutions; staff's calculations.

The monetary policy of the Bank of Albania in 2024

The reduction of foreign inflationary pressures turned out to be stronger than initially expected at the beginning of the year. Along with the continued strengthening trend of the exchange rate, this development led to a rapid decline in imported inflation and headline inflation in the Albanian economy. On the other hand, domestic inflationary pressures continued to decline, but this decline was much more gradual, and their level remains consistent with the Bank of Albania's objective for price stability. In response to these developments, the Bank of Albania reduced the policy interest rate twice: in July, from 3.25% to 3.0%, and in November, from 3.0% to 2.75%.

The impact of the accommodative monetary policy on financial markets and the economy

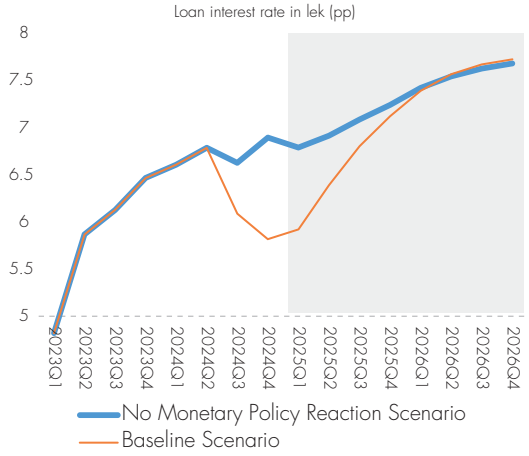
The effects of the policy rate reduction in 2024 H2 will materialize in the real economy mainly during 2025-2026, in line with the time lags of monetary policy response. However, the impact of the policy rate reduction on monetary conditions has already been reflected in the second half of 2024. The expected impact of the monetary policy was assessed by comparing the differences in projections of key economic indicators in the current scenario of monetary policy response with the hypothetical scenario of maintaining the policy interest rate unchanged.[1]

The comparison of projections shows that the impact of the accommodative monetary policy through the reduction of the policy interest rate has materialized in the domestic financial market since the second half of last year. *The interest rate on loans for 2024 is about 0.4 percentage point lower than it would have been if the policy rate had not been reduced. The impact of the policy rate on the reduction of loan interest rates in 2025 is estimated to be 0.6 percentage point and 0.5 percentage point, respectively.*

Delays in the transmission of monetary policy suggest a stronger impact of the policy rate cut on the real economy during 2025[2]*. Simulation results indicate that in the absence of a monetary policy response:*

- *inflation would be approximately 0.4 p.p. lower than the baseline scenario projections for 2025, and*
- *economic growth would be about 0.3 p.p. lower than the baseline scenario projections for 2025.*

Chart 3 The impact of the accommodative stance of monetary policy on financial markets

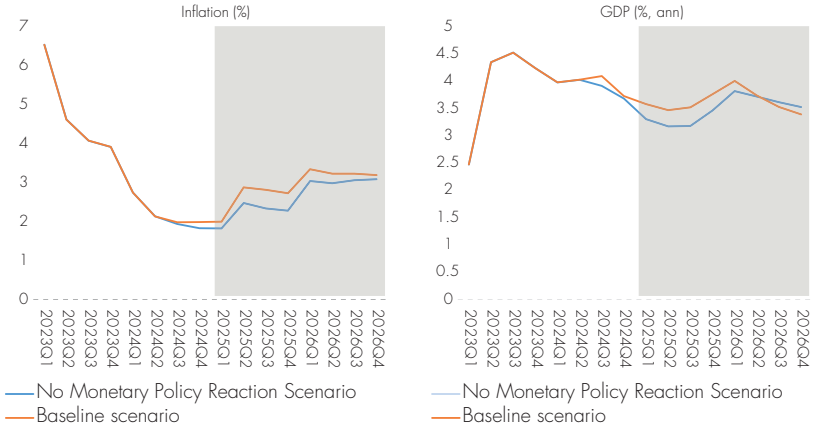


Source: Bank of Albania and staffs' calculations.

[1] *Alternative projections are empirical simulations of the Medium-Term Projection Model (MPM), the baseline model for macroeconomic projections that inform monetary policy decision-making at the Bank of Albania. (see Hledik, T.; Kika, E. & Mitre, O. (2021), The Albanian medium term projection model, Bank of Albania Working Paper, 45(84)*

[2] *The effects of the policy rate cut on inflation and economic growth in 2024 would be 0.05 p.p. and 0.06 p.p., respectively.*

Chart 4 The expected impact of the monetary policy easing on inflation and economic growth

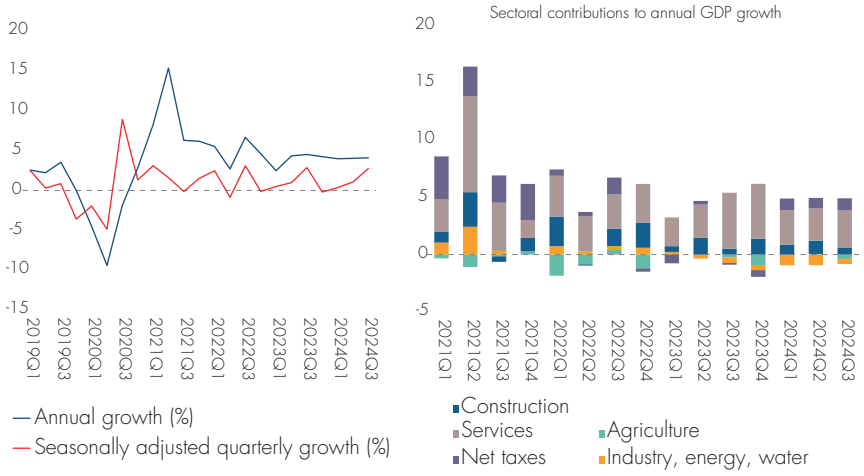


Source: Bank of Albania, staff's calculations

2.1.2 ECONOMIC ACTIVITY

Economic activity grew steadily during 2024, supported by solid private sector balances, a positive confidence climate, and accommodative financial conditions. These factors have driven growth in consumption and private investments, which were the main contributors to the economic growth of the year. In parallel, the growth in service exports has had a positive contribution, while a decline in goods exports, an increase in imports, and fiscal consolidation have had a dampening effect.

Chart 5 GDP performance and the contribution of economic activities by sectors



Source: INSTAT and Bank of Albania.

Gross Domestic Product (GDP) expanded by 4.0% in annual terms during the first nine months of the year, following a 3.9% increase in 2023[3]. Economic growth has been steady throughout the quarters, both in terms of level and sectoral structure.

Economic growth was primarily driven by expansion of the services sector, which contributed an average of around 3.0 percentage points to overall growth in the first nine months of the year. Specifically, the expansion of activity was notable in the sectors of "Trade, Transport, and Accommodation," driven by growth in tourism revenues, as well as in the sectors of "Public Administration, Defence, Education, Healthcare" and "Administrative and Support Activities." On the other hand, the manufacturing sector did not contribute positively to economic growth. While the expansion of construction activities had a positive effect, this was offset by a contraction in the industrial and agricultural sectors, which limited the overall impact of the productive sectors on economic growth.

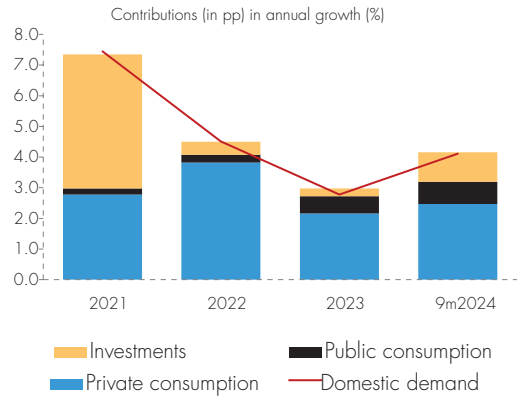
Table 1 Sectorial contributions to economic growth (in p.p.)

	2019	2020	2021	2022	2023	2024Q1	2024Q2	2024Q3
Agriculture	0.4	0.3	-0.3	-0.8	-0.3	0.0	0.0	-0.4
Industry, energy, water	0.3	-0.9	0.9	0.5	-0.3	-0.9	-0.9	-0.4
Construction	-0.2	0.2	1.2	1.6	1.1	0.9	1.2	0.6
Services	1.8	-1.8	4.2	3.3	3.8	3.0	2.8	3.3
Net taxes	-0.2	-1.2	3.0	0.4	-0.3	1.0	0.9	1.1
Real growth	2.1	-3.3	9.0	4.8	3.9	4.0	4.0	4.1

Source: INSTAT and Bank of Albania calculations.

Domestic demand grew by 4.1% in annual terms during the first nine months of 2024, compared to growth of 2.8% in the previous year. The expansion of domestic demand reflected both growth in private consumption, which is the main component of domestic and aggregate demand, and acceleration of investment and public consumption growth rates during the year.

Chart 6 Annual change of domestic demand by components



Source: INSTAT and BoA.

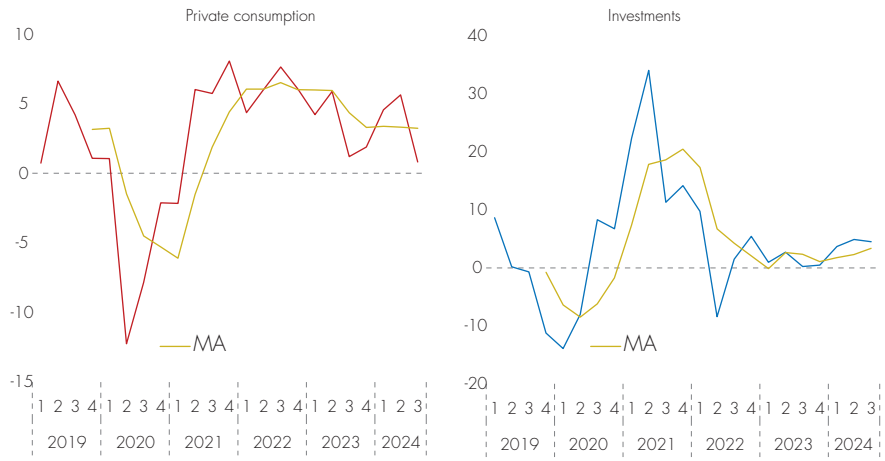
Private consumption grew by 3.7% during the first three quarters, supported by the increase in disposable income, favourable financing conditions and consumer confidence. Growth in income reflected an increase in employment and wages, while the gradual decrease in inflation during the year increased purchasing power. In addition, bank credit has supported the expansion of consumption, financing both household consumption and investment. In parallel, the consumer uncertainty indicator has been declining and has supported household decisions to increase expenditures. The

[3] *The information published by INSTAT on gross domestic product following the production and expenditures method cover developments up to 2024 Q3, published on 24 December 2024.*

expansion of consumption reflected increased expenditures in all component categories.

Investments grew by 4.4% during the first three quarters, supported mainly by private investment. The factors that have influenced this performance are an increase in demand for goods and services, high levels of utilization of production capacities, positive expectations for the future, as well as favourable financing conditions and the expansion of credit for investment purposes.

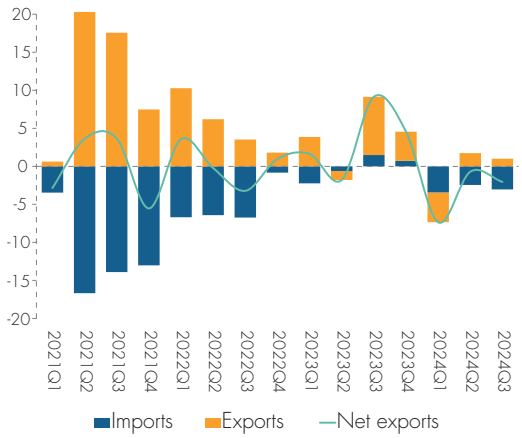
Chart 7 Consumption and investments (annual change, %)



Source: INSTAT and BoA.

The trade balance with foreign countries has continued to be negative and has not contributed to economic growth. According to data from the Bank of Albania, total exports of goods and services-expressed in nominal terms and in euro-grew by 9.9% during the first three quarters of the year. This trend reflected a 13.5% increase in service exports and a 3.5% decline in goods exports. However, the positive impact of the growth in exports was offset by a faster increase in imports, driven by higher domestic demand for goods and services. Total imports, in euro, grew by 13.5% during the same period, resulting in an expanded trade deficit. The latter increased both in nominal and real terms, contributing negatively to economic growth.

Chart 8 Performance of net exports (in real terms)

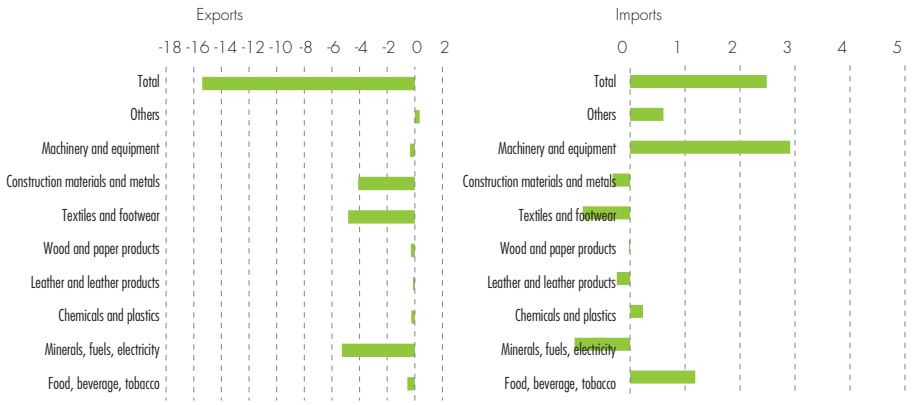


Source: INSTAT and BoA.

Data from INSTAT for trade in goods for 2024 shows an expansion of the trade deficit by 20.7% in nominal terms. Exports of goods decreased by 15.4%, primarily influenced by a decline in categories such as "Minerals, fuels, and electricity," "Textiles and footwear," and "Construction materials

and metals". Their downward trend during 2024 was closely linked to the drop in prices of energy and food products in foreign markets (including exchange rate effects), as well as other structural factors. On the other hand, imports of goods in lek increased by 2.5% during the same period, primarily due to increased imports of "Machinery, equipment, and spare parts".

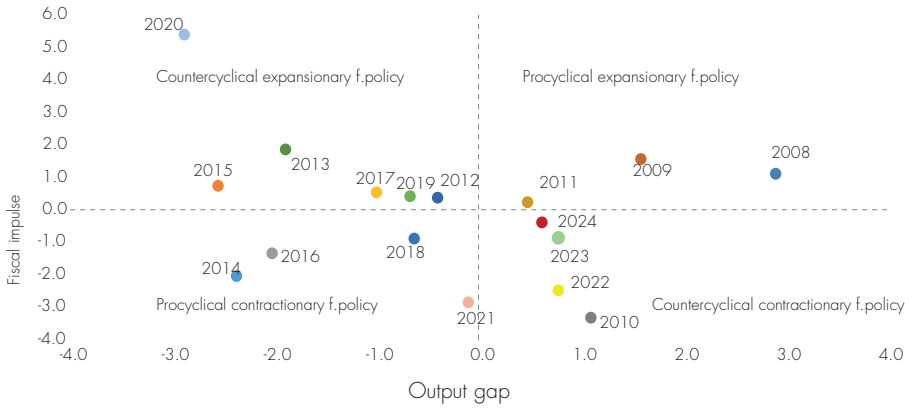
Chart 9 The annual growth of exports and imports of goods with contributions from main categories



Source: INSTAT and Bank of Albania's calculations.
Note: Contribution of the main categories in the goods market, in percentage points.

The fiscal policy maintained its consolidating character throughout 2024, for the fourth consecutive year. The fiscal impulse was negative, at -0.7 percentage points of GDP, as a result of a positive primary balance, estimated at around ALL 36 billion, or 1.4% of GDP. This consolidation had a countercyclical nature, contributing positively to the reduction of public debt and increasing the fiscal space for a stance in the future, while also enhancing the flexibility of monetary policy in addressing inflationary pressures.

Chart 10 Fiscal impulse and the nature of fiscal policy*



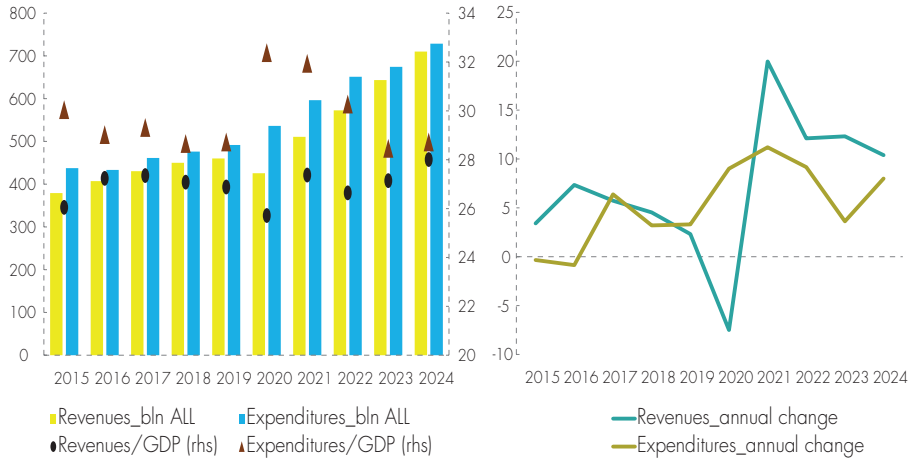
*For methodological details, refer to the information section "On the Nature of Fiscal Policy" in the BoA's 2017 annual report. Fiscal impulse on the vertical axis, is assessed as the difference in the primary deficit, corrected for business cycles and concurrent measures, from a year earlier.
Source: Ministry of Finance, INSTAT and BoA's calculations.

The consolidating nature of fiscal policy was reflected in a reduction of the budget deficit and a further decrease in public debt. By the end of 2024, the budget deficit stood at approximately ALL 18.3 billion, from ALL 57 billion that was initially planned, or around 0.7% of GDP, compared to 1.3% in the previous year.

Budgeted expenditures for 2024 amounted to approximately ALL 728.6 billion, or around 28.7% of GDP. Compared to the previous year, expenditures grew by around 8%. The main contributors to this increase were expenditures for the social security fund (3.7 percentage points) and personnel expenses (1.8 percentage points), due to salary increases in the public sector. Unlike the previous year, public investments negatively impacted expenditure performance, reducing it by around 0.5 percentage point.

Fiscal revenues reached ALL 710.3 billion, or around 28% of GDP, increasing annually by 10.4%. The main contributors to this overall revenue growth were VAT revenues (3.3 percentage points)[4], non-tax revenues (3.3 percentage points) social insurance contributions (2.7 percentage points), and personal income tax revenues (1.3 percentage points). On the other hand, the annual change in revenues also reflected a negative contribution of around 3.5 percentage points, due to the base effect of the increase in profit tax[5] for energy sector companies in 2023 and grant revenues.

Chart 11 Revenues and expenditures



Source: Ministry of Finance, INSTAT, Boa's calculations;

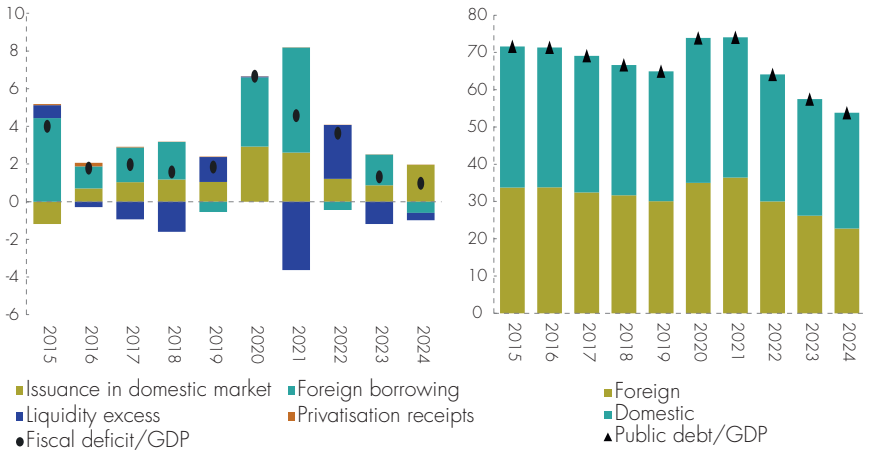
4 *VAT revenues accounted for approximately one-third of total revenue growth, supported by both the collection of VAT on domestic production of goods and services (2.1 p.p.) and VAT on imported goods (1.2 p.p.).*

5 *In 2023, companies involved in electricity trading paid a special profit tax due to the relatively high revenues collected the previous year as a result of rising electricity prices.*

The budget deficit was financed exclusively from domestic sources. The primary source for financing the deficit was provided by an increase of about ALL 50 billion in borrowing from the government securities market. This increase consisted solely of long-term debt securities, which compensated for a reduction in short-term borrowing, in line with the Medium-Term Public Debt Management Strategy. The main holders of domestic debt remained commercial banks, accounting for around 60%. In 2024, non-resident investors also joined the base of government securities' holders, financing about 28% of domestic borrowing in the form of treasury bills and bonds denominated in lek. On the other hand, borrowing in foreign markets decreased by around ALL 15.2 billion, as foreign debt repayments exceeded new borrowings.

The public debt-to-GDP ratio[6] fell to 53.8% at the end of 2024, down from an estimated 57.5% in 2023. Fiscal consolidation contributed around 1.4 percentage point to the reduction of public debt. The remaining contribution came from real economic growth and appreciation of the domestic currency against the euro, contributing by 2.2 and 1.4 percentage points, respectively. The domestic debt stock accounted for around 31.1% of GDP, slightly down by 0.2 percentage points compared to the previous year. Foreign debt, as a ratio to GDP, was estimated at 22.7%, from 26.2% at the end of 2023.

Chart 12 Budget deficit and financing (left) and public debt to GDP (right)



Source: Ministry of Finance, INSTAT and BoA's calculations.

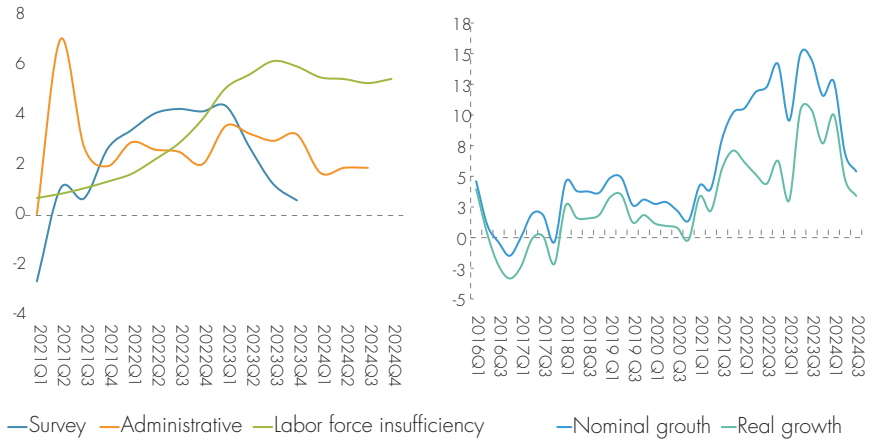
[6] *Ratios to GDP for 2024 were calculated based on INSTAT's publication for the first three quarters and the BoA's forecasts for the last quarter of the year.*

1.2.3 LABOUR MARKET

Economic growth was followed by an increase in employment and wages. However, the growth dynamics of these indicators show a slowdown compared to the previous year. Labour market conditions remain tight, and enterprises continue to face difficulties in filling vacant positions.

The labour market continued to be characterized by employment and wage growth, albeit at a slower pace than the previous year. Labour market data from the Labour Force Survey are unavailable for 2024. In their absence, alternative indicators from administrative data suggest a 1.8% increase in employment during the first three quarters of the year, compared to 3.3% in the previous year. Additionally, survey indicators suggest generally tight labour market conditions, as shown by historically high levels of the importance of the "Labour Force Shortage" [7] in expanding economic activity across all sectors.

Chart 13 Performance of labour market indicators (left) and private sector wages (right)



Source: INSTAT.

Wages in the economy continued to rise throughout 2024, both in the public and private sectors, although their growth rate slowed down. In the private sector, wages increased by 8.3% during the first nine months, compared to 12.6% in 2023. However, when adjusted for inflation, wages in the economy grew by 6.1% during this period, supporting household purchasing power and contributing to the growth of private consumption. The slowdown in private sector wages is primarily linked to base effects generated by an increase in the minimum wage in 2023. As a result, this slowdown has been most evident in the lower-wage category.

[7] *This indicator assessed by the Bank of Albania is based on the results of the Business Confidence Survey in industry, construction, and services. One of the limiting factors for business activity is also the "Labour Force Shortage," which is listed alongside other constraints. Its aggregated calculation represents an approximate measure of the importance of the "labour force shortage" factor for the non-agricultural private sector, using respective GDP shares. The base year for this calculation is 2019. Lastly, a four-term moving average has been applied to highlight its trend.*

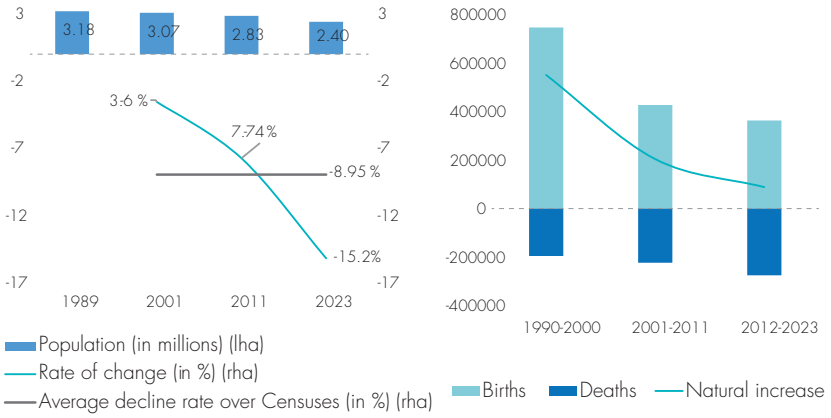
BOX 2: DEMOGRAPHIC TRENDS IN ALBANIA AND THEIR IMPACT IN THE ECONOMY

Albania's demographic developments over the past three decades have been characterized by two significant and interrelated trends: a declining population and continuous ageing. *This performance was driven by two groups of factors. Similar to other developing countries in the region and Eastern Europe, it has reflected emigration, which has particularly affected the younger population. At the same time, akin to developed countries, it has also been influenced by a slowdown in natural population growth due to a declining birth rate.*

These demographic trends were confirmed by the Population and Housing Census conducted on 18 September 2023[8]*. This census, the third in the post-transition period, suggests that the country's population has continued to decline, even at an accelerated pace over the last decade. The population in 2023 was 2,402,113 inhabitants, a decrease of 420,000 people compared to 2011 and 780,000 people compared to 1989. (Chart 1, left).*

The primary cause of the population decline is emigration. *According to INSTAT estimates, Albania lost an average of 50,000 inhabitants per year due to emigration from 2001–2023.*[9] *Beyond this phenomenon, and partially linked to it, the population shrinkage has also been driven by a decline in natural growth, mainly as a result of a decreasing number of births (Chart 1, right).*

Chart 14 Population according to Censuses and pace of change (left). Natural population growth (right).



Source: INSTAT and Bank of Albania calculations.

Demographic trends have affected age groups transversally, and are reflected in an increase in the average age and changes in the population (age) pyramid. *The gradual rise in the average age, from 30.6 years in 2001 to 35.3 years in 2011 and 42.5 years in 2023, is a synthetic indicator of the population ageing phenomenon over the past two decades. This ageing is also reflected in a decline of population in all age groups under 55 years old and an increase*

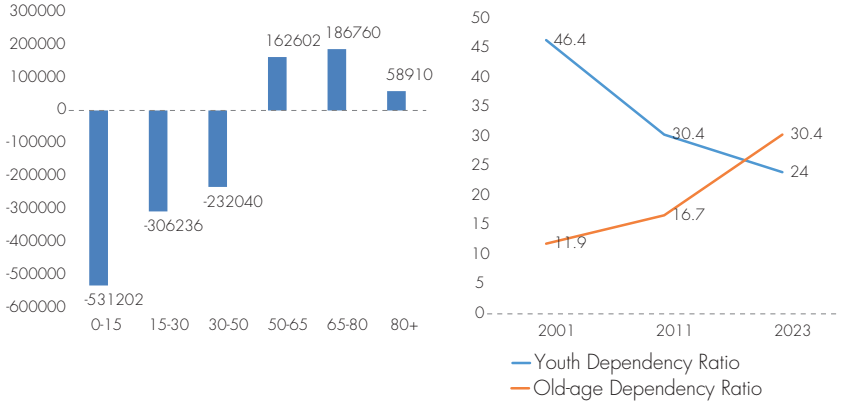
8 *'INSTAT, 2024.*

9 *"Census of Population and Housing in Albania, 2023," pages 7, 16, and 17. INSTAT, 28 June 2024. https://www.instat.gov.al/al/publikime/librat/2024/censi-i-popullsis%C3%AB-dhe-banesave-n%C3%AB-shqip%C3%ABri-2023/*

in population in age groups over 55 years old (chart 2, left). This phenomenon has been accompanied by a narrowing of the base of the population pyramid and an expansion of the elderly dependency ratio, from 11.9% in 2001 to 30.4% in 2023 (Chart 2, right).

Beyond these trends, the results of the last two censuses also highlight internal migration of the population, from rural areas to urban ones and from less developed areas to more developed ones. *For instance, in 2023, about 31.6% of the population resided in Tirana, 4.8 percentage points higher than in 2011. On one hand, this shift has reduced the population in the country's less developed areas, but on the other hand, it has contributed to the growth of labour productivity in larger cities and in the Albanian economy overall.*

Chart 15 Population change by age group 2023 versus 2001 (left) and dependency ratios (right)



Source: INSTAT and Bank of Albania calculations.

These demographic developments, in varying forms and intensities, are present in most Eastern European countries. *Population ageing and decline have significant implications for economic and social development. An IMF study highlights[10] three main action channels. First, population decline is accompanied by a contraction of the labour force. Second, population ageing has fiscal implications, in the form of increased relative expenditures on the health sector and – potentially – on the pension scheme. Third, population ageing is associated – as a rule – with slower growth in labour productivity and overall productivity. All three of these factors, by themselves and in interaction with each other, tend to slow the pace of economic growth and the pace of convergence of average per capita income with that of the European Union.*

At different levels, these phenomena are present in Albania as well, although with a relatively low intensity. *Hence:*

– *According to the Census data, the decline in population was accompanied by a decrease in the working-age population (15–64 years old). This category was reduced from 1.93 million in 2001, to 1.9 million in 2011, and 1.55 million in 2023. The decline in the working-age population has not affected—so far—the ability of the Albanian economy to generate*

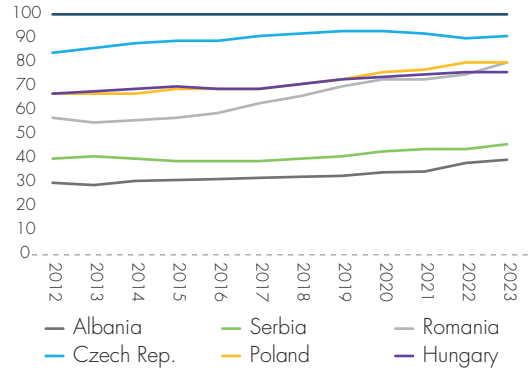
[10] *Demographic Headwinds in Central and Eastern Europe, IMF Departmental Paper Series, No. 19/12.*

new jobs. On the contrary, according to INSTAT data, the number of employed citizens increased from 1.14 million in 2012 to 1.33 million in 2023. However, the impact of the shrinking and ageing population will become an increasingly limiting factor in the labour market in the long term.

- *At the same time, public expenditures on healthcare have remained relatively constant during this period, fluctuating between 9-10% of total expenditures. Meanwhile, the deficit of social insurance schemes, with the pension system being the main pillar, is close to 2% of GDP for 2024-2025, trending slightly downward over the last three years. However, just like with employment indicators, unfavourable demographic trends suggest a potential increase in this deficit without intervention.*
- *Finally, the productivity of the Albanian economy has grown—mainly in response to the shift of the workforce from sectors with low added value to those with higher value—and has made progress in convergence per capita with the European Union countries (see Chart 3). However, both of these indicators are still far from the European Union average, and the unfavourable demographic trends make their achievement more difficult.*

This preliminary analysis suggests that public authorities and the private sector should closely monitor demographic developments, identify potential consequences in a timely manner, and address these consequences with structural reforms and appropriate development policies. Among other things, the reform should aim to: (i) mitigate the decline of the workforce by discouraging emigration, increasing the labour force participation rate, and, where necessary, attracting foreign workers; (ii) increase productivity by improving education and training, encouraging investments in machinery, equipment, and more efficient technological processes; and (iii) prioritize the implementation of pension system reform to enhance fiscal sustainability.

Chart 16 Average income per capita as a percentage of the European Union average, in terms of Purchasing Power Parity (PPP)



Source: Eurostat and Bank of Albania's calculations (for Albania, the data is corrected with the results obtained from the most recent Census).

2.1.4 INFLATION AND ITS DETERMINANTS

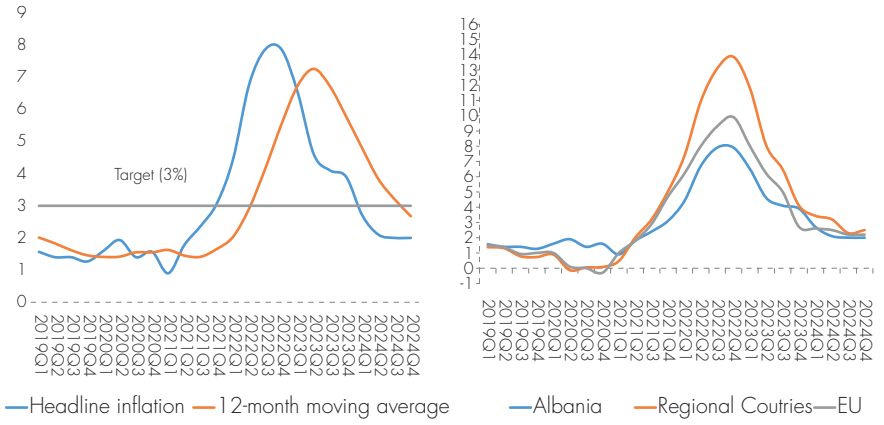
Inflation of consumer prices declined to an average level of 2.2% in 2024. The decrease in inflation reflected the reduction of inflation in the external environment, the appreciation of the exchange rate, and the reduction of pressures from the domestic economy. However, the latter showed greater resilience and remain consistent with our objective of price stability.

The return of inflation to the target is expected to be supported by the stability of domestic inflationary pressures, reflecting a more balanced trend in supply and demand in goods, services, and labour markets, the anchoring of inflation expectations, and an increase in imported inflation toward its historical average.
Consumer price inflation averaged 2.2% in 2024, declining significantly from

4.8% recorded in the previous year. Inflation experienced a rapid decline in the first half of the year, reflecting a decrease in food prices in both foreign and domestic markets, reductive effects of the exchange rate appreciation, and high comparative base effects from the previous year. Domestic pressures also declined, but this decrease was gradual, and these pressures remain dominant, influenced by high demand for goods and services as well as cost and labour market pressures. As a result, service inflation remained more stable, strengthening even more in the second half of the year. Alongside a more contained reduction in imported inflation, also influenced by the slower pace of exchange rate appreciation, this trend was reflected in the stabilization of overall inflation in the second half of the year.

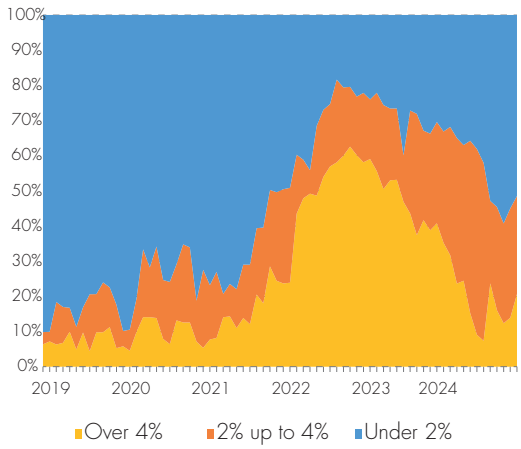
The inflation profile in Albania appears similar to that of regional and EU economies, driven by a sharper slowdown in food prices during the first half of the year.

Chart 17 Annual inflation and target (left); domestic inflation, regional inflation, and EU inflation (right)



Source: INSTAT, Bank of Albania's calculations and Trading Economics

Chart 18 The structure of CPI basket items by inflation rate



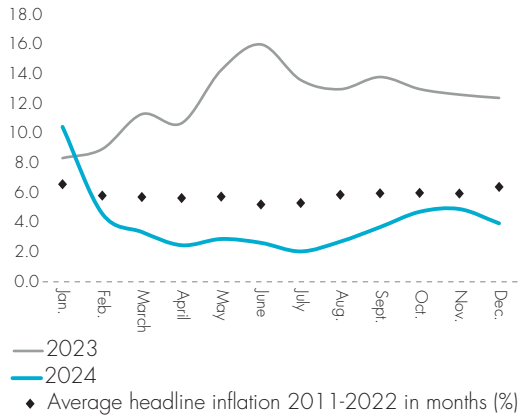
Source: INSTAT and Bank of Albania calculations.

The decline in inflation during 2024 reflected a significant reduction in the share of high-inflation basket items (above 4%). Their share dropped to 19% in 2024, compared to 48% in the previous year. Meanwhile, items with an inflation rate of 2–4%, which are close to our price stability target, accounted for about 37% of the consumption basket, while those with a low inflation rate (less than 2%) made up around 44% of the basket.

The downward trajectory of inflation was driven 95% by a slowdown in food price inflation. The inflation rate for "Unprocessed Food" category reached one of its lowest historical values during the first half of the year, exerting a strong downward effect on headline inflation. The contribution of this category decreased

by approximately 1.6 percentage points compared to the previous year[11]. Similarly, the contribution of the "Processed Food" category declined by around 0.9 of a percentage point over the year, reflecting the slowdown in food prices in foreign markets.

Chart 19 Performance of Inflation in the "Unprocessed Food" Category



Note: The inflation target is the annual change in the Consumer Price Index (by INSTAT).
Source: INSTAT and Bank of Albania calculations.

Prices in other categories exhibited small and balanced fluctuations throughout the year. Notably, the "Non-Food Goods" category increased its contribution averagely by 0.3 of a percentage point, reflecting changes in energy commodity prices in both foreign and domestic markets. On the upward side, the category of regulated-price goods also contributed to inflation, due to an increase in the price of water supply in several cities and the price of pharmaceutical products. On the other hand, prices of more stable inflation components, including services, housing, and durable consumer goods, had a lower contribution to inflation formation than in the previous year.

Table 2 Contributions of key categories to annual inflation (in p.p.)

	Average contributions by year					Average contributions by quarter - 2024				Annual inflation 2024 (in %)
	2019	2020	2021	2022	2023	Q1	Q2	Q3	Q4	
Processed food	0.5	0.6	0.6	2.8	1.4	0.5	0.4	0.5	0.6	1.8
Unprocessed foods	0.9	0.8	0.8	1.6	2.2	0.9	0.3	0.4	0.7	4.0
Services	0.1	0.2	0.2	0.5	0.5	0.4	0.4	0.3	0.3	2.1
Goods with regulated prices	0.0	0.0	0.0	0.0	0.0	0.1	0.1	0.1	0.1	1.6
Housing lease	0.2	0.1	0.1	0.3	0.4	0.4	0.4	0.3	0.2	2.6
Non-food consumer goods	-0.2	0.2	0.2	1.3	-0.2	0.1	0.2	0.1	-0.1	1.2
Durable consumer goods	0.1	0.1	0.1	0.2	0.5	0.3	0.3	0.3	0.2	3.5
Inflation (%)	1.6	2.0	2.0	6.7	4.8	2.7	2.1	2.0	2.0	2.2

Source: INSTAT and BoA

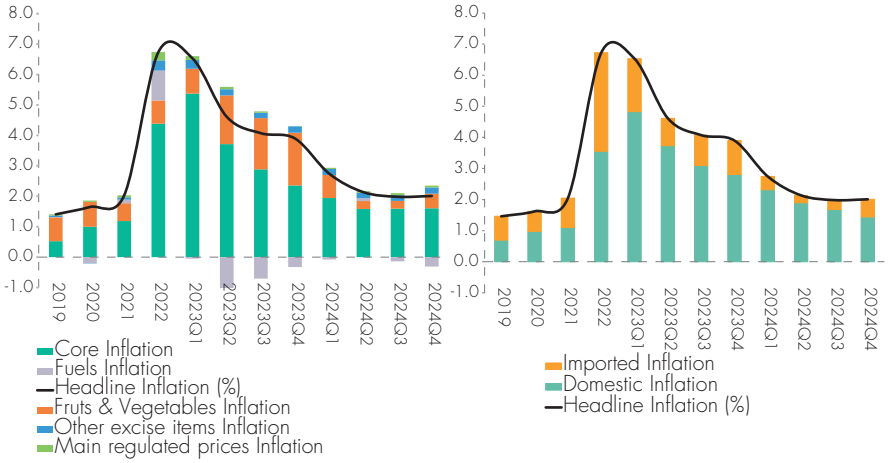
From a macroeconomic perspective, the decline in inflation reflected lower inflation in trade partners, strengthening of the exchange rate, and easing of inflationary pressures from the domestic economy.

Imported inflation dropped to historically low levels in 2024. This decline was influenced by a downward trend in raw material and energy prices in foreign markets, further reinforced by the reductive effect of appreciation of the domestic currency. As a result, imported inflation averaged 2.1% compared to 6% the previous year, contributing approximately 18% to the formation of headline inflation in 2024. From a long-term perspective, this component's contribution to inflation is around 45%.

[11] *Therefore, this led to a decrease in the contribution of this category to headline inflation, from 46% to 26%.*

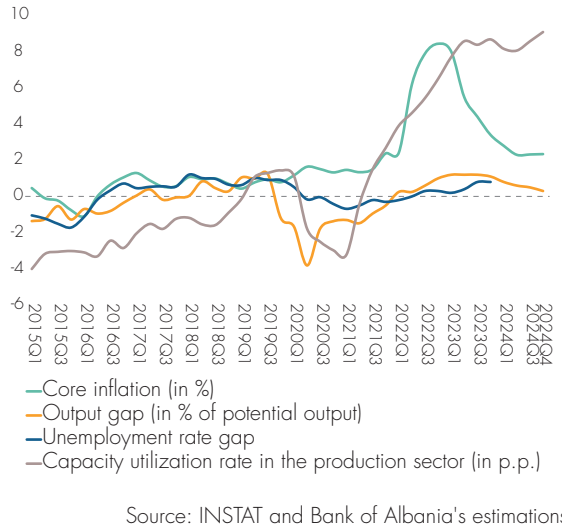
Domestic inflationary pressures also continued to ease, though they remained the dominant factor in regard to the headline inflation formation. Core inflation, net core inflation, and domestic inflation averaged respectively at 2.5%, 2.6%, and 2.2%, remaining higher than headline inflation and close to their long-term historical averages. Consequently, the contributions of core and domestic inflation remained high, at 77% and 82%, respectively, and fluctuated less than in the previous year. (Chart 14).[12]

Chart 20 Core and non-core inflation (left) and domestic and imported inflation (right)



Source: INSTAT and Bank of Albania calculations.

Chart 21 Indicators of cyclical situation



Source: INSTAT and Bank of Albania's estimations.

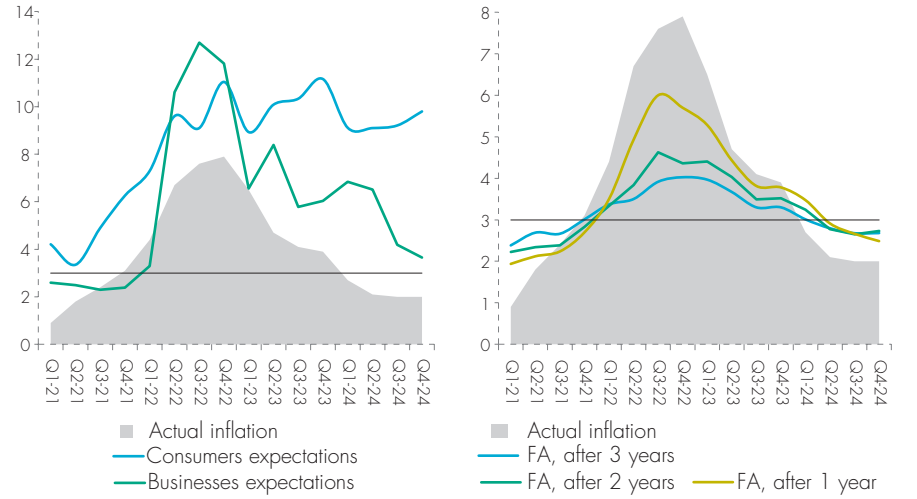
This performance has been driven by increased demand for goods and services, as well as the expansion of wages and labour costs. The Albanian economy remained in a positive business cycle throughout 2024. The volume of economic activity stood above its potential, although the gap between aggregate demand and supply showed a narrowing tendency over the year. As a result, the capacity utilization rate remained above the long-term average, while labour shortages continued to be a significant limiting factor for further economic expansion. Although labour force survey data for 2024 are not yet available, the existing data indicate continued wage growth and rising unit labour costs, albeit at a slower pace. These developments have been reflected in core inflation rates, which remain above the headline inflation level for 2024.

[12] *Net core inflation excludes the sub-group of processed foods (including bread and grains) from the measurement of core inflation. Net core inflation takes into account 46% of the CPI basket of 2024.*

The accommodative stance of monetary policy in 2024 has helped better anchor medium-term inflation expectations toward the 3% target. Inflation expectations[13] among enterprises, consumers, and financial agents declined over the year, although they remain above the target and the official inflation rate.

The expectations of enterprises and financial agents are closer to the target compared to the expectations of consumers. At the end of 2024, businesses and financial agents expect inflation to be 3.7% and 2.5%, respectively, after one year. The medium-term expectations of financial agents stood at 2.7% by the end of the year. On the other hand, consumers' short-term expectations remained high, around 9.0% in 2024, approximately 1.0 percentage point lower than the previous year.

Chart 22 The performance of economic agents' expectations on inflation



Source: Bank of Albania.

2.1.5 BALANCE OF PAYMENTS AND EXTERNAL POSITION OF THE ECONOMY

The Albanian economy has experienced a structural improvement in its international trade and financial balance in recent years. The dynamic growth of tourism exports and remittances has helped reduce the current account deficit. At the same time, the steady increase in foreign direct investments has played a key role in fully financing this deficit, thereby strengthening the country's macroeconomic stability. Improvement in the external position has contributed to the strengthening trend of the exchange rate.

The current account deficit remained at historically low levels during 2024. As a ratio to GDP, this deficit stood at 1.3% in the first three quarters of the year, compared to 1.2% in the previous year.

[13] *Inflation expectations are measured through direct surveys conducted with businesses, consumers, and financial agents.*

Total exports grew by 9.9% in the first three quarters, driven primarily by the rapid expansion of tourism service exports, which reached EUR 3.9 billion, increasing annually by 20%. In parallel, a 17.3% increase in income from seasonal work and a 14.3% rise in remittances also contributed positively to narrowing the current account deficit. On the other hand, goods exports declined by 3.5%, mainly due to an unfavourable external environment in terms of demand and export prices.[14] Additionally, specific sectoral factors and appreciation of the exchange rate have constrained the expansion of exports in certain goods categories.

Meanwhile, imports of goods and services increased by 13.9%, driven by rapid expansion of domestic demand. Specifically, goods imports rose by 14.6% in the first three quarters of the year, while service imports increased by 12.6%.

The rapid increase in imports led to a slight rise in the current account deficit during 2024. However, this indicator remains at historically low levels, and its expansion throughout the year reflects an overall improvement in domestic demand, driven by increased consumption and investments. From this perspective, the rise in the current account deficit in 2024 not only indicates higher demand for imported goods and services but also highlights the structural needs of the Albanian economy for investments in infrastructure and key sectors.

Foreign direct investments (FDIs) have fully financed the current account deficit, reinforcing the country's macroeconomic stability. These inflows grew by 5.1% in the first three quarters of 2024 and served as an important financing source for key sectors such as manufacturing, real estate, and financial and insurance services. However, the ratio of FDIs to GDP declined to 6.3%, down from 7% in the previous year, reflecting a faster growth rate of the economy compared to investment inflows.

Albania has strengthened its resilience to potential external shocks. The external debt-to-GDP ratio fell to 40.8% at the end of the third quarter of 2024, reducing by 5.3 percentage points compared to the end of 2023. The debt structure remains stable, with 90.2% of it concentrated in long-term debt.

Meanwhile, the country's repayment capacity has further improved, and foreign exchange reserves have increased. Among the key repayment capacity indicators, the debt stock-to-exports ratio fell to 96% by the end of 2024 Q3, down from 102.3% at the end of the previous year, while the debt stock-to-fiscal revenue ratio dropped to 143.9%, from 163.0% in 2023. At the same time, reserve assets covered 7.1 months of imports of goods and services or

[14] *Trade statistics of goods, as reported in the balance of payments data from the Bank of Albania, differ methodologically from those reported by INSTAT. These changes relate to the classification of exports, where some categories classified as goods by INSTAT are considered services in the Balance of Payments, as well as the reporting currency, with INSTAT presenting figures in the domestic currency while the Balance of Payments presents them in euro.*

363% of the gross short-term external debt at the end of the year, ensuring financial stability and high solvency.

Table 3 Main indicators of balance of payments and external debt (in % to GDP)

	2019	2020	2021	2022	2023	2024:Q1-Q3
Current account	-7.8	-8.6	-7.6	-5.9	-1.2	-1.3
Trade of goods and services	-13.5	-14.4	-13.3	-10.3	-5.4	-5.7
Exports	31.0	22.6	31.2	37.2	38.4	37.9
Imports	44.5	37.0	44.5	47.5	43.8	43.7
Remittance inflows	5.0	5.0	5.0	4.6	4.2	4.2
FDI inflows	7.7	7.0	6.8	7.6	6.8	6.3
External debt	59.9	64.2	64.3	54.0	46.1	40.8

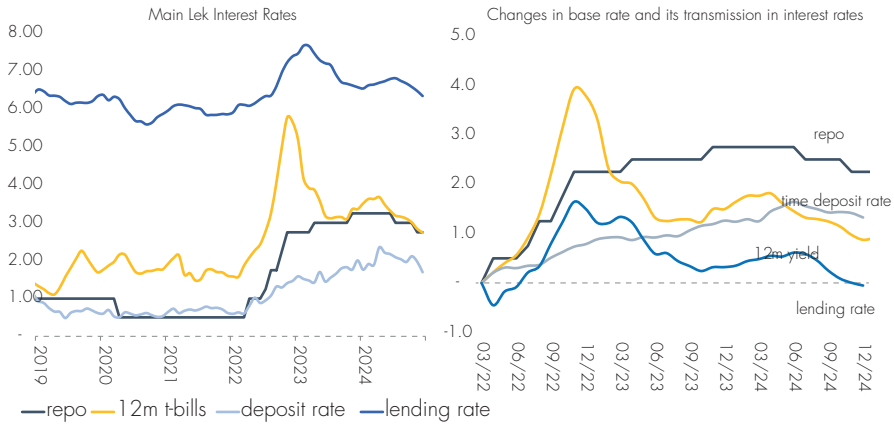
Source: Bank of Albania.

2.1.6 FINANCIAL MARKETS AND MONETARY INDICATORS

The financial market in 2024 was characterized by a stable liquidity situation, low risk premiums, and a strengthening of the exchange rate. Accommodative monetary conditions, banks' positive approach to lending, and expansion of demand have been reflected in a relatively rapid and stable growth of lending. Credit expansion has been particularly focused on financing investments, both for businesses and households. At the same time, households' savings in the form of bank deposits also increased.

Interest rates in the financial market have been declining, following monetary policy signals and the narrowing of risk premiums. The two key interest rate cuts in July and November were transmitted across all segments of the financial market. Low liquidity, inflation, and credit risks have resulted in historically insignificant interest rate spreads between financial products and the policy interest rate. Reflecting these developments, government bond yields have fallen beyond the policy rate reductions.

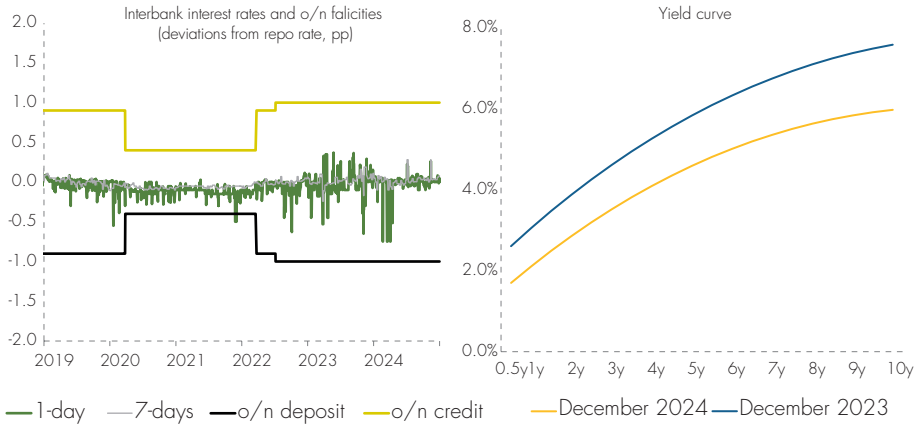
Chart 23 The key interest rates in lek (left) and interbank market interest (right)



Source: Bank of Albania.
Note: The cumulative adjustment to credit rate are expressed in three-quarters moving average.

Interbank market interest rates quickly and fully transmitted monetary policy movements, remaining anchored near the policy rate. Its reduction was immediately reflected in the interest rates applied by banks in the money market. The Bank of Albania continued to inject liquidity, through its main instrument of one-week repo. In addition to one-week Repo injections, 3-month Repo injections have also been carried out. The total amount of liquidity injected during this year was slightly lower than the previous year, while the significant expansion of credit to the private sector and the increase in the government securities portfolio on banks' balance sheets were financed by the higher growth of deposits in lek.

Chart 24 Performance of the interbank market (left) and the foreign exchange market (right)

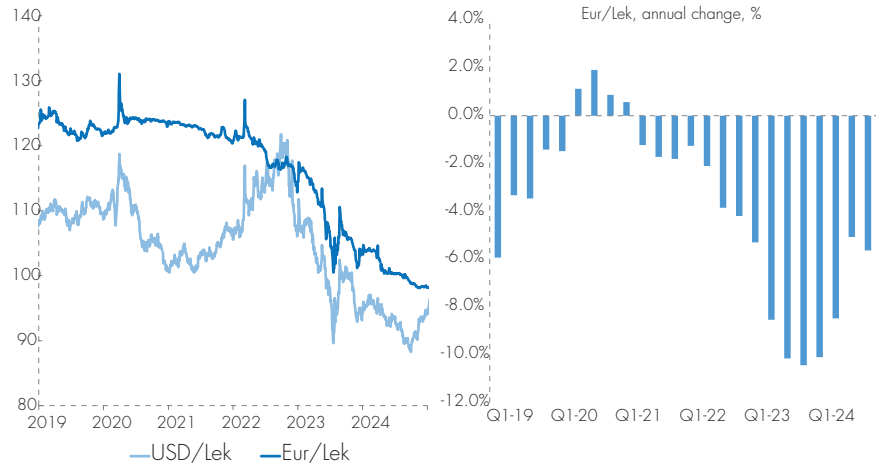


Source: Bank of Albania.

The yields on government securities fluctuated at lower levels compared to the previous year, reflecting not only the monetary policy stance but also declining risk premiums in a calm environment with no pressure on debt financing. The 12-month yield averaged 3.3%, down from 3.7% in 2023. In the last months of the year, the yields on long-term bonds decreased to levels similar to those of 2-3 years ago when the policy rate was much lower than current levels. The yield spread against the policy rate further narrowed during the year, confirming a positive market climate and subdued risk premiums in the domestic market. A contributing factor to the downward trend in yields was the high participation of banks in the primary market, as the government did not face increased pressure for funds. These developments were reflected in downward pressure on long-term bond yields and a flattening of the yield curve.

The exchange rate continued to strengthen, albeit at a slower pace in 2024, while appreciation pressures on the lek continued to be present yet more moderate. During 2024, one Euro was quoted at an average of ALL 100.7, compared to ALL 108.7 in the previous year. Annual appreciation of the lek against the Euro averaged 7.4%, with a noticeable slowdown in the second half of the year to 5.3%. Similarly, the exchange rate of the lek against the US

Chart 25 Exchange Rate performance



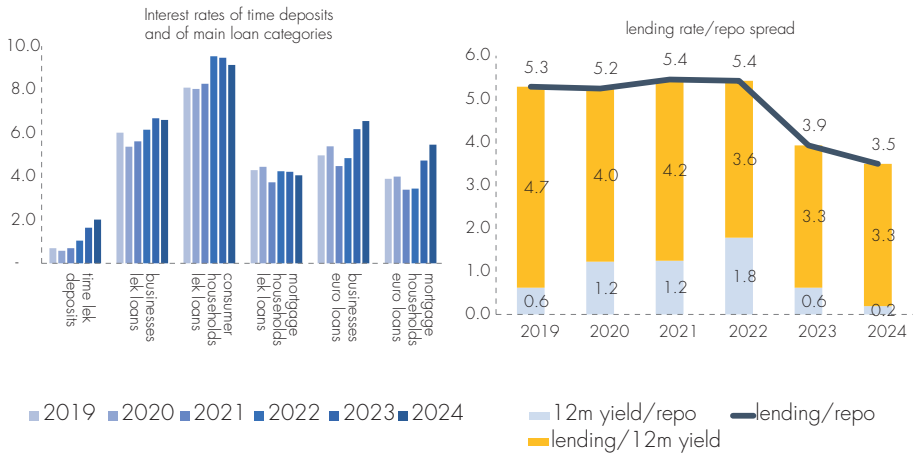
Source: Bank of Albania.

Dollar averaged 93.0 ALL/USD, with an annual strengthening of the lek by 7.5%. Despite a lower intensity than in the previous year, the positive trade and financial balance with our trading partners continued to produce a surplus of foreign currency supply in the domestic market throughout 2024. The current account deficit remained low, significantly below historical levels, while its coverage by foreign direct investment flows remained high. Box 3 presents a more comprehensive analysis of the factors behind the performance of the exchange rate and response of the Bank of Albania.

Interest rates on loans in lek decreased during 2024, especially for households. This segment benefited from a proactive approach to lending by banks and increased competition among them, resulting in lower interest rates and more favourable lending conditions. Interest rates on loans to households started to decrease in the second quarter of the year. This trend was most notable on consumer loans, where the average interest rate dropped to 8.5% in the fourth quarter, about 1.0 percentage point lower than the steady average of 2023. Similarly, the average interest rate for mortgage loans fell to 3.7% in the last quarter, down from 4.2% in the previous year. Meanwhile, interest rates on loans to enterprises fluctuated more in 2024, decreasing insignificantly. On average, they stood at 6.6%, down from 6.5% in the previous year, trending downward in the second half of the year.

The performance of interest rates on loans in lek showed low credit risk premiums and low intermediation margins. As in 2023, the spread between the loan interest rate and the 12-month yield remained historically low, at 3.3 percentage points, reflecting banks' perception of low credit risk levels. The narrowing of the average loan interest margin compared to the policy rate was further aided by the reduction in yields beyond the signals of monetary policy during the year. On the other hand, interest rates on deposit markets fluctuated

Chart 26 Performance of Interest Rates on Loans and Deposits



Source: Bank of Albania.

at minimum levels, keeping funding costs low for banks. The average interest rate on time deposits in lek stood at 2.0%, slightly higher than in 2023, but in line with the policy rate reduction in the second half of the year. The difference between the average loan interest rate and deposit rates, representing the intermediation margin of the banking sector, narrowed to 4.5%, decreasing by 1.0 percentage point compared to the average of the past five years.

Interest rates on loans in euro increased during 2024. For enterprises, the interest rate on loans stood at 6.6%, while for mortgage loans to households, it was 5.5%, both around 0.4–0.5 of a percentage point higher than the previous year. After continuing the upward trend that began in 2023 into the first half of the year, interest rates started to decrease in the second half, following the easing of monetary policy in the Euro area. The spread between the interest rate on loans in lek and loans in foreign currency is positive but small for enterprises, while it remains negative for mortgage loans to households.

Credit to the private sector[15] **grew by 15.7% in 2024**, driven by positive confidence in current and expected developments, low credit interest rates, increased demand for financing, and a positive approach by banks toward financing the private sector. The credit growth rate was 9.7% in the previous year.

The rapid expansion of credit was balanced, with credit portfolios increasing for both enterprises and households. However, there was a notably rapid increase in loans to enterprises, growing annually by 15.5%, nearly double compared to the previous year, particularly loans in foreign currency to

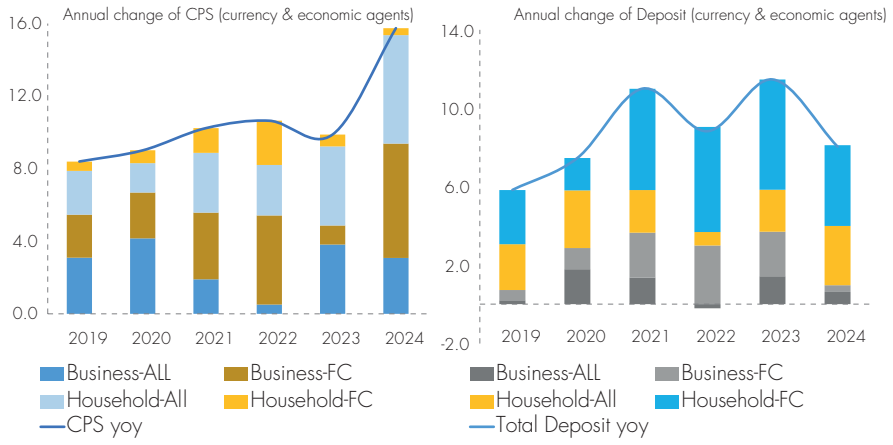
[15] *These credit data are based on monetary statistics from bank balance sheets, referring to financing for the private resident sector. Since 2022, in line with the ECB methodology, the analysis of the credit portfolio is based on "real" credit flows, adjusted for exchange rate movements and credit written off the balance sheet.*

enterprises. These loans grew by 20% in 2024, up from 3% in the previous year, driven by a sharp decline in the interest rate spread between the two currencies, as well as the profile of credit based on enterprise size and usage purpose[16] dominated by loans to large enterprises and for investment purposes.

Meanwhile, loans to households increased steadily throughout the year, dominated by an increase in the lek-denominated portfolio. Loans to households increased by 16%, supported by growth in both consumer loans and mortgage loans. In 2024 mortgage loans in lek increased at a more rapid pace compared to mortgage loans in foreign currency, influenced by the still negative spread between the lek and the euro interest rates, as well as banks' policies on mortgage loans in line with regulatory requirements aimed at reducing exchange rate risk in lending.

Overall, loans grew similarly in both currencies. Loans in lek increased by 19%, while loans in foreign currency grew by about 15% during 2024. The share of loans in lek to total loans reached 57%, improving by 2 percentage points compared to the previous year. Growth of lending in the domestic currency enhances the effectiveness of monetary policy and simultaneously reduces the exposure of economic agents to exchange rate risk.

Chart 27 Credit to the private sector and deposits of banks



Source: Bank of Albania.

Bank deposits increased by 8% in 2024, compared to 11.4% in the previous year. This performance was influenced by a slowdown in the growth rate of foreign currency deposits to enterprises by 3%, due to the use of accumulated funds over the years to cover liquidity needs. The growth of foreign currency deposits to households also slowed down, to around 10%, albeit at a more

[16] *In 2024, the business credit growth was largely driven by loans to large enterprises, which grew significantly annually by around 29%, as well as loans for investment, which increased by 20%. These loans were concentrated in several large loans linked to specific infrastructure or energy projects.*

contained pace. Overall, foreign currency deposits grew by 8.3% during the year, down from 15.3% in 2023.

On the other hand, deposits in lek increased by 7.7%, slightly higher than in the previous year. Households' decision to deposit their savings in lek was a key factor in this performance, driven by low returns on government securities, in particular for the 12-month instrument, and the shift in government financing toward long-term instruments, which are less preferred by households. These developments caused the growth of households' deposits in lek to accelerate at 7.8%, or 2 percentage points higher than in 2023. Meanwhile, the growth of enterprises' deposits slowed down, reflecting their liquidity needs beyond bank credit.

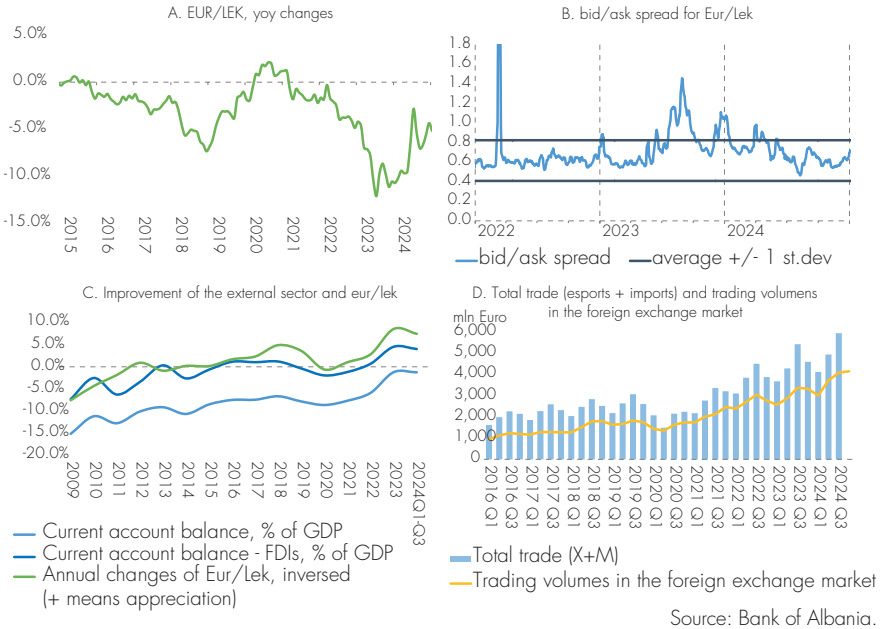
The performance of deposits by maturity showed a slowdown in growth rates for **both demand deposits and time deposits, reflecting increased liquidity needs,** interest rate trends, and a preference for maintaining high returns, evident in the trend of placing savings in time deposits with maturities over two years. As a result, demand deposits grew by 7.3% annually, while time deposits increased by 8.9% in 2024. Meanwhile, deposits with maturities over two years continue to show sharp double-digit growth (around 14%); their share to total deposits reached 18.4%, or 1.1 percentage point higher than in the previous year.

BOX 3: STRENGTHENING OF THE EXCHANGE RATE: REASONS, CONSEQUENCES, AND THE RESPONSE OF THE BANK OF ALBANIA

*The strengthening of the lek exchange rate against major currencies remained **present throughout 2024, although the appreciation pace was more moderate compared with the previous year. The strengthening of lek peaked in 2024 Q4. The annual appreciation of lek** against the euro gradually diminished during 2024, declining to 5.3% in the second half of the year (Chart 1, Panel A). The foreign exchange market was calmer in 2024. The exchange rate volatility decreased significantly, while the spread between the bid/ask quotation spreads returned to normal levels (Chart 1, Panel B). Additionally, trading volumes continued to increase in line with the growth in foreign trade volumes in goods and services (Chart 1, Panel D).*

***As we have stated in previous analyses, the strengthening trend of the exchange rate is the result of a supply surplus of foreign currency in the economy.** This supply surplus largely stems from improvements in the balance of economic and financial exchanges with our trading partners. In particular, it reflects the growth in tourism service exports, which has significantly reduced the current account deficit over the past two years. At the same time, foreign direct investments (FDIs), which are the primary source of financing the current account deficit, have continued to grow and, in the last two years, have significantly exceeded the deficit itself (Chart 1, Panel C). Foreign exchange inflows from foreign direct investments to the current account deficit has been above four over the past two years, generating a continuous surplus of foreign currency in the domestic market.*

Chart 28 EUR/ALL exchange rate (Panel A), trading conditions in the foreign exchange market (Panel B), the current account deficit (Panel C), and foreign exchange market trading volumes (Panel D)



Source: Bank of Albania.

The bid/ask spread interval of 0.4–0.8 ALL has been calculated as a long-term average (0.6 ALL) ± 1 standard deviation.

From a macroeconomic point of view, appreciation of the nominal exchange rate of the ***lek reflects the trend of income and price convergence between Albania and our trading partners in the Euro area.*** *This trend is seen in a strengthening of the real exchange rate, the dynamics of which are calculated as the product of the inflation gap between Albania and the Euro-area combined with changes in the nominal exchange rate. The strengthening of the real exchange rate, explained in theory by the Balassa-Samuelson effect, is a typical phenomenon for developing economies in the process of converging toward more developed economies and serves as evidence of the success of this process.*[17] *In general terms, the convergence trend of per capita income in developing countries is accompanied by a convergence tendency toward price level between these countries and their trading partners. In more technical terms, the Balassa-Samuelson effect reflects a faster productivity increase in the tradable goods and services sector compared to the non-tradable sector. This increase (i) is reflected in the expansion of exports and the improvement of the trade balance and (ii) leads to a rise in the relative prices of non-tradable goods and services compared to tradable ones.*

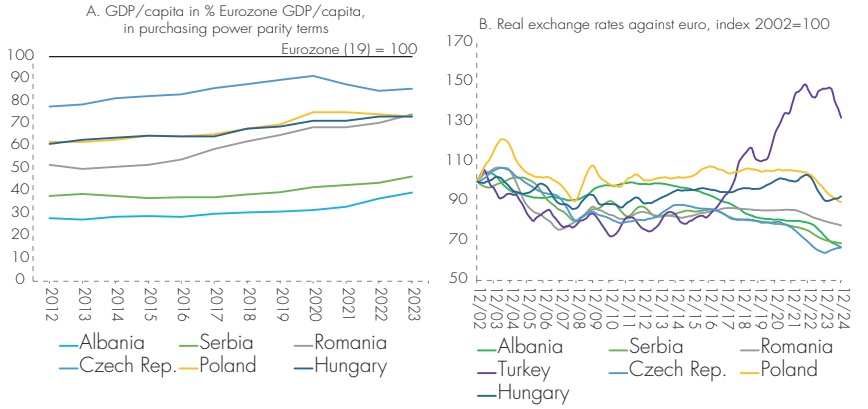
For this reason, the strengthening of the real exchange rate is a phenomenon happening in almost all Central and South-eastern European countries, following the opening of their economies after the 1990s (Chart 2, Panel B).[18] *The economic*

[17] *A detailed analysis of the Balassa-Samuelson effect can be found in: 1) Balassa, Bela, 1964, "The purchasing-power parity doctrine: a reappraisal", Journal of Political Economy 72.6: 584-596; and 2) Samuelson, Paul A., 1964, "Theoretical notes on trade problems", The Review of Economics and Statistics: 145-154.*

[18] *See Meshulam, Dan and Peter Sanfey, 2019, "The determinants of real exchange rates in transition economies", EBRD WP228.*

recovery process in these countries has been accompanied by rapid growth in investments, productivity, and per capita income (Chart 2, Panel A).

Chart 29 The evolution of per capita income convergence in Albania and regional countries as a ratio to the euro area.

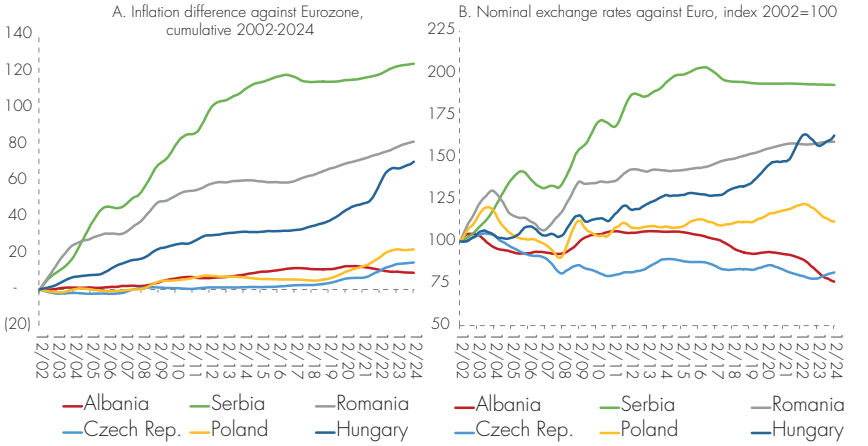


Note: Per capita incomes of the regional countries (Panel A) are constructed as a ratio of the euro area average, taking into account real purchasing power. In Panel B, negative values in the change of the real exchange rate reflect its strengthening.

Source: Eurostat and Bank of Albania's calculations (for Albania, the data is corrected with the results obtained from the most recent Census).

The trend of real exchange rate strengthening, in response to price convergence, has significant implications on key monetary indicators in developing countries: price levels, exchange rates, and interest rates. This trend can be accommodated in three ways: (i) A faster increase in prices as a ratio to developed economies (or, in other words, a higher inflation rate compared to them); (ii) A strengthening of the nominal exchange rate of developing countries; or (iii) A combination of the two mechanisms above. This phenomenon is widely illustrated by the evolution of inflation and exchange rates in Eastern European countries. Some countries, such as Serbia, Romania, and Hungary, have absorbed the strengthening of the real exchange rate in the form of significantly higher inflation compared to the Euro-area (see Chart 3, Panel A). Other countries, such as Albania and the Czech Republic, have primarily absorbed it through the strengthening of the nominal exchange rate (see Chart 3, Panel B), while some countries, like Poland, have absorbed it through a combination of these two variables.

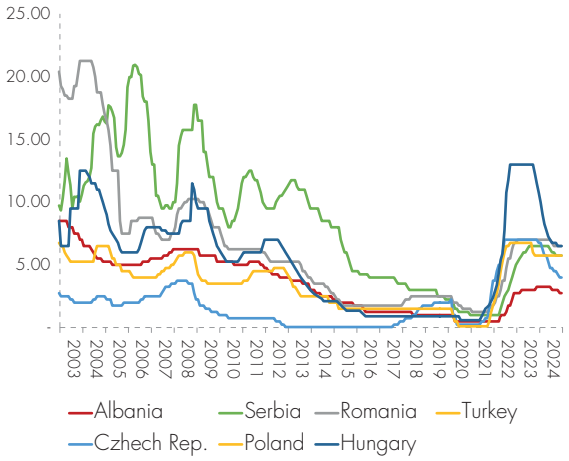
Chart 30 The Performance of Inflation and the Nominal Exchange Rate in Albania and Regional Countries



Source: Eurostat and Bank of Albania's calculations.

This choice also has implications on the monetary policies pursued by central banks, the primary mandate of which is to maintain price stability. Higher inflation rates require a more aggressive approach in regard to interest rates, by increasing the cost of financing the economy. In this regard, the choice of a free-floating exchange rate regime has enabled the Bank of Albania to achieve low and stable inflation rates with lower policy interest rates compared to many similar countries. At the same time, the free-floating exchange rate has served as a buffer against external shocks to the economy and as a mechanism for price convergence (Chart 4).

Chart 31 Policy rate performance in Albania and regional countries



Source: Eurostat and the Bank of Albania.

This management philosophy guided the decision-making of the Bank of Albania throughout 2024. During this year, two simultaneous phenomena were observed. First, the external sector of the economy continued to generate a surplus of foreign currency supply, exerting appreciation pressures on the lek. Second, inflation fell below the Bank of Albania's target during the first half of the year due to positive supply shocks in global food prices. This lasted beyond initial forecasts, posing a risk to the anchoring of inflation expectations in Albania. In these conditions, the continued strengthening of the nominal exchange rate at a comparable pace to last year could have exerted additional downward pressure on inflation.

In line with its objective to maintain price stability, the Bank of Albania reduced the policy rate and increased its presence in the foreign exchange market, beyond the initially planned interventions aimed at strengthening foreign exchange reserves. In total, the Bank of Albania withdrew approximately EUR 939 million from the financial system in 2024, compared to EUR 251 million purchased in 2023. This approach helped reduce uncertainty and volatility in the foreign exchange market, as well as control potential disinflationary pressures resulting from appreciation of the exchange rate. The Bank of Albania will continue to carefully analyse exchange rate developments and their implications on inflation, ensuring an appropriate response in line with its primary objective: achieving and maintaining price stability.

** This figure includes an additional EUR 25.5 million of purchases with a forward value date of 6 January 2025*

Table 4 Main macroeconomic and financial indicators

	2019	2020	2021	2022	2023	2024*
Annual average inflation						
Headline inflation (in %)	1.4	1.6	2.0	6.7	4.8	2.2
Core inflation (in %)	0.7	1.4	1.7	6.5	5.3	2.5
Economic growth						
Real GDP growth (annual, in %)	2.1	-3.3	9.0	4.8	3.9	4.0*
Labour Market[1]						
Labour force participation rate	69.6	69.1	69.3	73.2	75.9	
Unemployment rate (15+)	11.6	11.7	11.5	11.0	10.7	
Fiscal sector						
Budget balance (including grants, % of GDP)	-1.8	-6.7	-4.6	-3.6	-1.3	-0.7
Budget revenues (as a percentage of GDP)	27.1	26.9	25.7	27.4	26.6	28.7
Budget expenditure (as a percentage of GDP)	28.7	32.4	31.9	30.3	28.5	28.0
Public debt (as a percentage of GDP)**	65.0	73.9	74.1	64.1	57.5	53.8
External sector						
Current account (official transfers exempted in % of GDP)	-8.3	-8.4	-8.0	-6.1	-1.3	-1.6*
Imports of goods (fob, as a percentage of GDP)	29.1	28.2	33.4	34.3	29.1	29.0*
Exports of goods (fob, as a percentage of GDP)	6.5	5.9	8.3	10.7	8.4	7.0*
FDIs (as a percentage of GDP)	7.7	7.0	6.8	7.6	6.8	6.3*
Monetary and financial sector						
Repo rate (end of period)	1.00	0.50	0.50	2.75	3.25	2.75
M3 aggregate (annual growth, end of period)	4.3	10.5	8.6	5.2	6.4	7.4
Credit to the private sector (annual growth, end of period)[2]	8.4	8.9	10.3	10.6	10.2	15.7
Deposit/GDP[3]	69.3	77.3	75.5	69.7	66.6	66.3
Credit/GDP[3]	31.1	35.0	33.7	31.4	29.9	31.5
12-month average yield	1.6	1.9	1.8	3.2	3.7	3.3
ALL/USD average exchange rate	109.9	108.7	103.5	113.0	100.7	100.7
ALL/EUR average exchange rate	123.0	123.8	122.5	119.0	108.7	93.0
NEER	92.0	89.9	86.4	78.6	67.9	60.0
Banking Sector						
Non-performing loans ratio (%)	8.4	8.1	5.6	5.0	4.7	4.17

Source: INSTAT, Bank of Albania, Ministry of Finance.

**Data on economic growth and the external sector are from the first 9 months of 2024.*

1/ "Labour force survey results", published by INSTAT (2024 not included).

2/ Based on the monetary flow data published by the Department of Statistics The data is adjusted for the foreign-exchange effect and written-off loans.

3/ GDP assessment for 2024. Data as a ratio to GDP are calculated on this assessment, except when differently specified.

2.2 MONETARY OPERATIONS

The Bank of Albania, implements its monetary policy by using three instruments: open market operations, standing facilities, and the required reserve. The main market operations are the repurchase and the reverse repurchase agreement of seven-day maturity, whose interest rate is determined by the Supervisory Council of the Bank of Albania and is referred to as the key rate.

OPEN MARKET OPERATIONS AND LIQUIDITY NEEDS MANAGEMENT

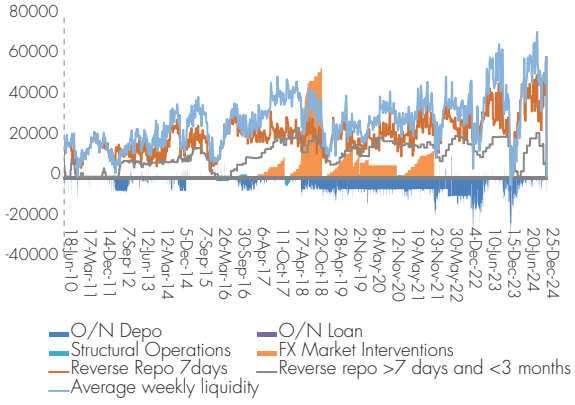
Open market operations include the main operation, which is refinancing in the form of reverse repurchase agreement of 7-day maturity; fine-turning instruments of 1-day or 8-days and up to 3-months maturity; and structural operations consisting of outright transactions in secondary markets.

These operations are mainly aimed at accomplishing the Bank of Albania's operational objective: orienting short-term interbank interest rates close to the Bank of Albania's policy rate, and limiting their volatilities.

In 2024, the average number of banks participating in one-week injection auctions was 5, the same as that of the last three years. The average liquidity amounted to ALL 44 billion, slightly down compared to the previous year, but remaining in line with the upward trend observed in recent years. Liquidity demand was 74% for weekly injections and 26% for those with a maturity of up to 3 months.

The average interest rate on weekly injections fluctuated within a range of +2.81 to +6.6 basis points above the policy rate. These values decreased compared to the previous year, reflecting, among other factors, the cautious approach of banks and the Bank of Albania in regard to liquidity management, aimed at preventing unexpected fluctuations in the system. The highest spreads were recorded in the first and fourth quarters of the year.

Chart 32 Banking system liquidity*



*One-week average liquidity (left-hand axis) is the average of one-week injections (Boa's injections through one-day + one-week+1-3-months + intraday loans reverse REPO agreements) minus (liquidity withdrawals from BoA through one-day + one-week + 1-3-month REPO agreements +deposits).

Source: Bank of Albania.

Table 5 Structure of liquidity injection operations by the Bank of Albania

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Main instrument	55%	80.7%	61.6%	54%	61%	56%	59%	63%	65%	74%
Long-term liquidity	45%	19.3%	39.4%	46%	39%	44%	41%	37%	35%	26%

Source: Bank of Albania.

STANDING FACILITIES

Standing facilities - overnight deposits and overnight loans at the Bank of Albania - are instruments available to commercial banks to manage unexpected liquidity on a daily basis. These facilities define a limit within which interest rates fluctuate in the interbank market.

In 2024, the Bank of Albania lowered the policy rate twice, along with the overnight deposit and overnight loan. At the end of the year, the policy rate and the overnight facility rates stood at 2.75%, 1.75%, and 3.75%, respectively.

The interest rate corridor remained symmetric, with a width of +/- 100 points from the policy rate, unchanged from the previous year. The overnight deposit facility was used 549 times, with an average daily volume of ALL 7.2 billion, decreasing from ALL 8.86 billion in 2023 and ALL 9.1 billion in 2022. The overnight lending facility was used 39 times, down from 54 times in 2023, with an average volume of ALL 1.83 billion.

REQUIRED RESERVES

The required reserve in lek is a monetary policy instrument used by the Bank of Albania that aims to adjust liquidity in the banking system and stabilise the interest rate. The reserve requirement ratios for lek and foreign currency liabilities at the Bank of Albania have remained unchanged from the previous year.[19]

Throughout 2024, banks utilized up to 70% of their required reserves in lek, as needed, while always maintaining a minimum daily level of 30%.

In accordance with the regulatory framework, the remuneration rate on required reserves in lek for commercial banks has remained 100% of the policy rate. The remuneration rate on required reserves in US dollar and the euro is 0%.

[19] *The last regulatory adjustment occurred in 2018 as part of the de-euroization program, where the required reserve rate decreased to 7.5% for the reserves in domestic currency and increased to 12.5% for the reserves in Euro, from the undifferentiated level of 10% adopted one year prior.*

2.3 FINANCIAL STABILITY AND MACRO-PRUDENTIAL POLICY

Pursuant to the legal framework in force, the Bank of Albania is responsible for the smooth functioning of the banking system and the financial system, supporting the preservation of financial stability in Albania. In order to achieve this objective, the Bank of Albania drafts and implements the macro-prudential policy, which aims at identifying, assessing, preventing and mitigating systemic risks in the financial system. Intermediate macro-prudential objectives, risk indicators, as well as the instruments that can be used for each risk are described in detail in the Macro-prudential Policy Strategy. The Bank of Albania, along with the Ministry of Finance, the Financial Supervision Authority and the Deposit Insurance Agency, is a member of the Financial Stability Advisory Group, an inter-institutional structure with an advisory nature, which assists in the preservation, stability and development of financial markets in the Republic of Albania.

The regular reports and survey analyses published by the Bank of Albania provide information on developments in the banking sector and the financial system. These reports provide an elaboration of the potential risks and those identified during the analyses, the instruments implemented to mitigate and prevent the risks, the financial situation of enterprises and households, the results of stress tests of the banking sector against adverse macro-financial scenarios, as well as the impact of the implemented macro-prudential measures. The Bank of Albania also publishes relevant regulations, decisions, and methodologies in dedicated spaces related to financial stability.

The Albanian banking sector closed the year 2024 with a positive financial result, a high level of capitalization and activity indicators, and improved indicators of credit quality. Systemic risks in the financial system are considered to be under control, and the resilience of the banking sector to potential shocks is strong.

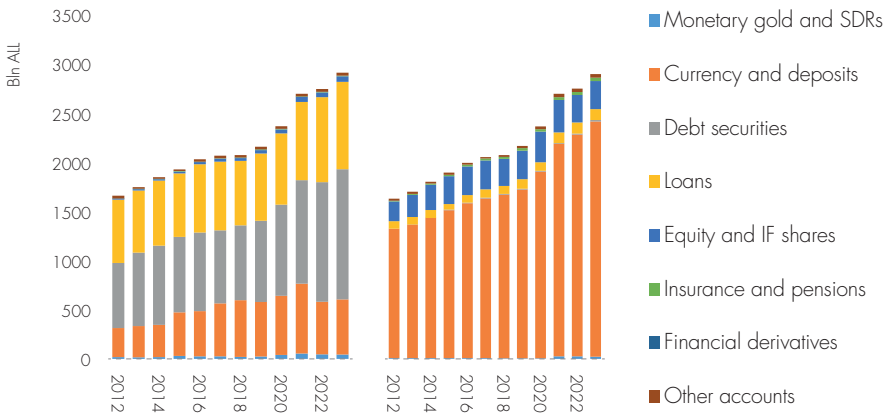
2.3.1 HIGHLIGHTS IN THE FINANCIAL SYSTEM AND BANKING SECTOR

In 2024, the assets of the financial system, predominantly dominated by banking sector assets, expanded at a rate comparable to the growth of Gross Domestic Product (GDP). As a result, the ratio of financial entities' assets to the annual GDP (for 2024 Q3) was approximately 92%, a level comparable to the previous year. The total assets of the financial system have expanded by around 8%[20]. All segments of the financial system expanded their assets. The

[20] *This rate reflects a weighted average of the growth rates of the activities within the various segments of the financial system (Table 6), with each segment's growth rate weighted according to its share in the financial system.*

assets of non-bank financial institutions (18%), insurance companies (16%), and pension and investment funds (about 20%) grew the fastest. The indicators of asset quality and profitability of financial entities remain at good levels. Net exposures within the financial system and between the financial system and the resident and non-resident sectors are balanced.

Chart 33 Assets (left) and liabilities (right) of financial corporations by instruments



Source: Bank of Albania.

The banking sector expanded its activity in 2024, while maintaining good asset quality, improving financial results and preserving high levels of capitalization. Specifically, the assets of the banking sector grew by 7%, with equal contributions from lending activities and investment in securities, which increased by approximately 13%. Bank loans in domestic currency and foreign currency (in original currency) increased by around 15% annually with growth observed across all segments by maturities and sectors. A rapid expansion of bank loans and a slight decline in non-performing loans resulted in an improvement in credit quality and a decrease in non-performing loans ratio to 4.17% (from 4.7% in the previous year). On the liability side, the expansion of activity was supported by a 5% annual increase in deposits. The growth was primarily driven by current accounts and term deposits, mainly from households, and included contributions from deposits in both lek and foreign currency.

Table 6 Financial system activity indicators

	2020	2021	2022	2023	2024
Main indicators of the banking system's financial soundness					
Regulatory capital to risk-weighted assets (%)	19	19	19	19	20
Non-performing loans ratio to total loans (%)	8.1	5.7	5.0	4.7	4.2
Return on equity (ROE) (annual basis, %)	10.4	12.6	11.8	16.9	18.2
Liquid assets to short-term liabilities (%)	47	46	41	43	42
Deposits/Loans (%)	211	214	212	217	202
Net open position in foreign exchange to regulatory capital (%)	7.9	8.9	4.8	6.1	8.6
Weight of assets to GDP (%)*					
Banking sector	97.8	93.9	87.8	84.5	82.4
NFBIs and SLAs	4.9	4.7	4.5	4.4	4.7
Insurance companies	2.4	2.2	2.0	2.0	2.2
Pension and investment funds	4.4	4.3	2.2	2.3	2.5
Financial system	109.5	105.1	96.5	93.1	91.9

*Source: Bank of Albania. * September 2024.*

The profit of the banking sector amounted to around ALL 37.4 billion, 17% higher than in the previous year. This result reflected a greater increase in revenues from operations with customers, investment in securities interests, and financial asset investments, compared to a rise in banks' expenses for interest paid on deposits account holders and operational costs. The slight increase in interest rates of households' deposits and their volumes was reflected in the growth of expenses for paid interest. Meanwhile, income from loans in lek and foreign currency increased significantly, primarily due to growth in the loan base, while the average interest rate on new loans declined. Non-performing loans provisioning were comparable to the previous year, while operational costs increased slightly. In light of these developments, the banking sector's capital adequacy ratio at the end of the year stood at 20%.

2.3.2 SYSTEMIC RISK ASSESSMENT AND MACROPRUDENTIAL POLICIES

ASSESSMENT OF SYSTEMIC RISKS

Mitigating and preventing the spread of systemic risks is the main objective of macroprudential policies and a fundamental condition for maintaining financial stability. For this reason, identifying the sources of these risks, assessing their intensity, and analysing their transmission channels require a significant commitment of time and resources from the Bank of Albania, as the macro-prudential authority. The Macro-prudential Map of Systemic Risks, monthly reports on financial soundness indicators for the banking sector and quarterly assessments of the banking sector's resilience, along with stress-test exercises, serve as the foundation for macro prudential discussions and decision-making. Meanwhile, published materials such as the Financial Stability Report and survey-based analyses also support the Bank of Albania's transparency and accountability toward the public and the financial system.

Analyses carried out in 2024 show that systemic risks in the financial system remained contained, and the resilience of the banking sector to potential

macro-financial shocks was robust. Indicators related to the overall growth of credit, liquidity position, fluctuations in the foreign exchange market, and the concentration of exposures and activities within the financial system reflected a balanced situation and risk levels comparable to historical averages. However, some activity indicators, such as unhedged foreign currency loans and the short-term mismatch between banks' assets and liabilities, exceeded established thresholds. Nonetheless, these were assessed to be under control, due to regulatory measures or the downward trend observed in recent periods.

MACRO-PRUDENTIAL MEASURES

By the end of 2024, the set of macroprudential measures implemented by the Bank of Albania included the capital requirements defined in Regulation 41/2019 "On Macroprudential Capital Buffers".

The Bank of Albania considers that the implementation of these measures, combined with the fulfilment of new requirements related to the bank resolution function, has contributed to strengthening the resilience and soundness of the domestic banking sector.

Throughout 2024, in line with the regulation, all domestic banks met the capital conservation buffer at its full level of 2.5%. Meanwhile, four systemically important banks fulfilled an additional capital buffer ranging between 0.5% and 1.5%, known as the systemic risk buffer.

In June, the Bank of Albania increased the countercyclical capital buffer (CCyB) for Albania for the first time, at 0.25%. By the end of December, the buffer was raised again to 0.5%. According to regulatory requirements, these buffers are to be met during 2025. The decision-making for this instrument is based on the performance of the credit-to-GDP ratio gap, the primary indicator in the relevant methodology, alongside the Complementary Early Warning Indicator (CEWI) and other indicators reflecting credit growth in specific segments.

Although the primary indicator remained below the levels that would justify a positive CCyB rate, the performance of the CEWI highlighted a positive financial cycle, supported by strong overall credit growth and in particular segments (e.g., residential real estate loans). Such positive financial cycles are typically accompanied by strong financial performance from economic agents and financial institutions. However, they may also contribute to lower credit standards, increased concentration of lending in specific sectors, rising debt levels among enterprises and households, and a deterioration in credit quality, ultimately weakening banks' resilience to shocks.

The activation of the countercyclical capital buffer aims at mitigating the financial cycle and prevent the transmission of risks. Moreover, higher capital levels strengthen banks' ability to absorb shocks and decrease volatility in lending activity during the downturn phase of the financial cycle.

2.3.3 LEGAL AND METHODOLOGY FRAMEWORK

Throughout 2024, the Bank of Albania worked on improving the macroprudential policy framework by focusing on reviewing the methodology for identifying systemically important banks, refining the approach to determining the countercyclical capital buffer, and establishing, for the first time, a detailed database on lending standards in the real estate sector. At the same time, efforts continued toward implementing the objectives set out in the Bank of Albania's strategy "On the Management and Supervision of Climate-Related Financial Risks in the Financial Sector for 2023–2025." The key areas of focus are listed below:

- In February, the Bank of Albania published an updated version of the methodology "On the Calculation and Adjustments of Banks' Systemic Importance and the Corresponding Macroprudential Capital Buffer''. The review aimed to strengthen the Bank's oversight in identifying systemically important banks, particularly when a bank changes its status, either entering or exiting this category. Moreover, the methodology addresses structural changes in the banking sector, such as mergers, demergers, or other developments that directly affect the number and size of banks.
- During 2024, in cooperation with experts from the International Monetary Fund and the European Central Bank, the Bank of Albania also explored the feasibility of introducing a positive neutral rate for the countercyclical capital buffer in Albania. This project, expected to be completed during 2025, aims to develop a conceptual framework for the potential implementation of this instrument, calibrate it to the specific context of Albania, and conduct a comparative analysis with similar economies that have adopted a positive neutral rate regime for the countercyclical capital buffer.
- Following the approval of Regulation No. 44/2023 "On data reporting, identification and monitoring of indicators related to real estate lending and investments", the Bank of Albania began collecting the banking data required by this regulation: quarterly data on new loans and annual data on outstanding loan balances. The data were presented in a distribution analysis on key lending standards indicators such as the loan-to-value (LTV), the borrower's debt-to-income (DTI) ratio and the debt service-to-income (DSTI) ratio. Each indicator was compiled based on borrower categories and the characteristics of the loan and collateral, as defined by the Regulation. They will be continuously monitored and analysed as part of the Bank of Albania's regular systemic risk assessments in the real estate market.
- The Bank of Albania's work has continued toward implementing several activities set out in its strategy "On the management and supervision of climate-related financial risks in the financial sector for 2023-2025''. One of these activities involved drafting a questionnaire aimed at collecting information from the largest companies in the country

regarding their assessment of climate change impacts, their budgets and resources to ensure sustainability, challenges faced, and their management of physical risks. This questionnaire is expected to be launched in 2025. As part of the Strategy, and with technical support from the World Bank's Financial Sector Advisory Centre (FinSAC), the Bank of Albania has also focused on evaluating the impact of climate risks on the financial sector through a dedicated climate stress-test exercise. This exercise focuses on the banking sector's exposure to transition risks, aiming for a position where climate-sensitive exposures are identified and managed, and seeks to assess the impact of the transition to a more climate-resilient economy on non-performing loans.

BOX 4:

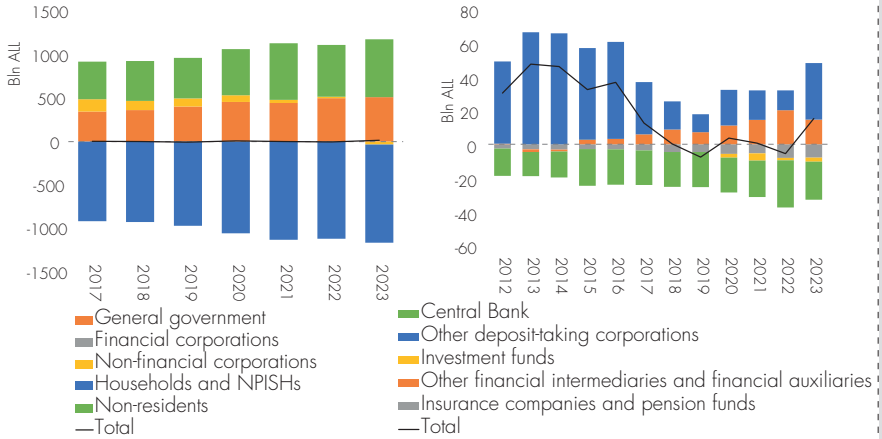
FINANCIAL POSITION AND CROSS-SECTORAL EXPOSURES

Cross-sectoral exposures in the system of national accounts are important for understanding the financial position and dynamics of specific sectors, as well as their contribution to the overall resilience or vulnerabilities of the economy.

Data from the national accounts system for 2023 show that (i) the assets of the financial system increased to around ALL 2,900 billion; (ii) they are primarily dominated by debt securities and loans; while (iii) approximately 80% of the financial institutions' liabilities are in the form of deposits.

The net position of the financial sector remains balanced, as the financial assets and liabilities of these institutions are of comparable value. Compared to other institutional sectors, financial corporations are positioned as net borrowers from households and net lenders to both non-residents and the general government. These positions expanded slightly during 2023. During 2017–2023, deposit-taking corporations (the banking sector), along with other financial intermediaries and auxiliaries, held a modest net creditor position, while insurance companies and pension and investment funds consistently maintained net debtor positions.

Chart 34 Net Position of Financial Corporations by Counterpart Sector (left) and by Segments (right)



Source: Bank of Albania.

2.4. BANKING SUPERVISION

The main objective of supervision at the Bank of Albania is to identify at an early stage and take the necessary measures to reduce risks to banking sector activity such as credit risk, liquidity risk, operational risk, interest rate risk, capital and profitability risk, reputational and money laundering risk. Banking supervision also aims to evaluate the efficiency of internal audit and corporate governance as they are important risk-mitigating factors in the whole sphere of the activity of banks in particular, as well as non-bank financial institutions and other institutions licensed by the Bank of Albania in general.

Timely action and effective regulatory measures through ongoing supervision and their implementation remain one of the most important steps towards successfully achieving the ultimate goal - to preserve the soundness of financial entities.

The activity of the banking sector was stable in 2024 as the level of capitalisation and liquidity was high and the quality of assets improved. The Bank of Albania continued to work toward the approximation of its own regulatory framework to the EU acquis and reviewed the legislation on consumer protection and liquidity risk.

2.4.1. ECONOMIC HIGHLIGHTS

MAIN INDICATORS OF THE BANKING SECTOR FINANCIAL SOUNDNESS

The capital adequacy ratio stood at 19.82% in December 2024, from 19.93% last year. The non-performing loans ratio reached 4.17% at the end of the year, from 4.75% in the previous year. This indicator was positively affected by a 0.67% drop in the volume of non-performing loans and 12.8% hike in the loan portfolio. Liquidity level remains high, where the liquidity coverage ratio and the net stable funding ratio are 273.4% and 182% respectively, against their regulatory minimums of 100%.

The system's financial result was ALL 37.4 billion, up by ALL 5.5 billion compared with the previous year. Profitability indicators, ROA and ROE, appear to have improved as well by 1.86% and 18.21%, respectively.

CONSUMER PROTECTION

An important development of the Supervision Department during 2024 was the revision of the regulatory framework regarding the protection of individual borrowers in case of default on loan obligations. These regulatory amendments

adopted new financial analysis criteria on individual borrowers from non-bank financial institutions. The purpose of this analysis was not solely to assess a borrower's ability to cover debt obligations, but also to include a guarantee that the borrower is able to pay for other necessary expenses without significantly affecting their overall financial situation.

These requirements include setting a debt service cap to prevent over-indebtedness and avoid irresponsible lending practices to consumers. Additionally, restrictions have been placed on loan agreements, excluding individuals with certain characteristics, such as those who have been listed in financial institutions'registers for not being allowed to take loans; individuals with disabilities; or those who are restricted in their legal capacities, in cases where this prevents them from repaying the loan. Furthermore, the regulatory amendments determine the time frame within which loan agreements might be devised, and restrict the number of consumer loans that an individual can take.

CREDIT RISK MANAGEMENT

The regulations which shall undergo changes in order to respond to the new requirements on financial reporting of the International Accounting Standards, were identified. The main regulation that will be subject to change is that pertaining to credit risk management. To this end a working group was created that will review the entire existing regulatory framework and will adapt it to the new standards.

In the context of this project, work is being done to build a model that calculates the failure probability of borrowing entities. This model will help create prudential supervisory filters regarding the classification and provisioning of loans according to international and European accounting standards.

REVIEWING THE OPERATIONAL RISK MANAGEMENT FRAMEWORK

The regulatory framework for operational risk management was reviewed with the aim of improving and clarifying supervisory expectations on institutions which are subject to this regulation; updating to market standards and best practices; as well as strengthening off-site supervision. Consequently, the new Regulation "On the operational risk management by banks, payment institutions and electronic money institutions" was drafted and approved, which follows the reviewed standards of the Basel Committee on operational risk management. The entities subject to this regulation are banks and branches of foreign banks, payment institutions and electronic money institutions, licensed by the Bank of Albania, according to the supervisory assessment. Simultaneously, some amendments were approved on the existing regulation "On operational risk management" pertaining to non-bank financial institutions and savings and loan associations. These amendments aim to harmonise regulatory requirements with the financial activity of the entities subject to this regulation, by also reflecting the revised standards of the Basel Committee.

The abovementioned amendments to the regulation are also accompanied by new reporting requirements, which include early warning indicators and the registry of operational risk events. As a result, amendments to the Regulation "On the reports at the Bank of Albania according to the Unified Reporting System," were also approved.

GREEN FINANCE

In the context of green finance and the strategy drafted for its inclusion in the supervisory processes, in 2024, the guideline on supervisory expectations for the inclusion of climate-related risks in the internal bank processes was drafted and published for the first time. This guideline sets out general requirements for banks related to developing internal bank processes for managing risk, building the necessary capacities for climate issues and preparing the adequate products to address this phenomena. This guideline is in the form of orientation and serves as a preliminary step for preparing the banking sector for future regulatory changes. In accordance with this guideline, banks are expected to conduct a self-assessment on their level of compliance with the supervisory expectations. This report will be realised in 2025.

2.4.2 ON-SITE EXAMINATIONS

In 2024, eleven on-site examinations were carried out, including three full-scope examinations in banks, five in non-bank financial institutions, two examinations in electronic money institutions and one examination took place in a Savings and Loan Association (SLA).

Table 7 Number of examinations by topic in 2024

Examined institutions	Strategic Risk	Organisational Risk	Credit Risk	Liquidity risk	Interest Rate Risk	Market Risk	Information and Communication Technology	Operational risk	Reputational Risk	Profitability	Capital
2022	8	9	12	12	8	8	8	8	82*	8	12
2023	8	8	8	8	4	8	7	7	61**	8	8
2024	11	10	9	11	3	11	8	8	48***	11	11

** In 2022, examinations were carried out in 70 Foreign Exchange Bureaus on Reputational Risk and 12 other examinations for this risk were carried out in banks and non-bank financial institutions.*

*** In 2023, examinations were carried out in 50 Foreign Exchange Bureaus on Reputational Risk and 11 other examinations for this risk were carried out in banks and non-bank financial institutions.*

**** In 2024, examinations were carried out in 37 Foreign Exchange Bureaus on Reputational Risk and 11 other examinations for this risk were carried out in banks and non-bank financial institutions.*

In 2024, examinations were carried out in one systemic bank and two non-systemic ones. The main focus of the examinations was risk management, with main priority given to credit risk as it is the risk with the highest weight in banks' profiles. In this framework, the appropriate division of duties and reporting

lines, effective assurance of independence for key positions of control, and the effective supervision by senior management were critically assessed.

In regards to governance, in addition to compliance with legal and regulatory requirements, banks must ensure a stable culture for a qualitative implementation of the principles of "good governance." This culture implies that senior management should be actively involved in the compilation and harmonisation of business development documents and those related to maintaining acceptable risk exposure levels to the extent that they can be absorbed by the bank's available capital. Operational risk related to rapid digital developments and the interaction of various systems and technologies used in banks' activities had a significant place as well.

In 2024, the examination of non-bank entities and SLAs focused on covering various areas of activity, such as electronic money lending and microcredit entities. The examinations focused on business models, governance systems, credit risk, market and operational risks, accuracy of reports to the Bank of Albania, transparency with customers and the risk of money laundering. This examination has identified that the activity of these entities generates stable income which has continuously supported capital. Overall, the internal organisational and regulatory framework is congruent with the size and complexity of the relevant entities. Meanwhile, new entities entering the market, particularly those in the business of electronic money payment have some deficiencies and require improvements and enhancements in line with the current level of activity, principles of corporate governance, accuracy of reporting according to the requirements of the Bank of Albania, transparency with clients and prevention of money laundering.

For the breaches that have been identified, the Bank of Albania has taken the relevant supervisory measures. It has revoked the licences to two non-bank financial institutions, suspended the activity of two non-bank entities and two SLAs, imposed fines and issued warnings to the administrators of a bank, drawn the attention of one FEB, issued an administrative measure (fine) to twelve FEBs and has revoked the license of one FEB.

After revoking the licences of two entities, MCA and Final, the Bank of Albania has worked hard to address the grievances of their borrowers. To this end, a dedicated staff has been assigned to provide clarity to borrowers on how to maintain a relationship with the entities, on the continuation of their loan obligations under the new circumstances, and the transferring of these two entities over to the Agency for Sequestered and Confiscated Property Management.

2.4.3 REVIEW OF THE LEGAL AND METHODOLOGY FRAMEWORK

In 2024, the Bank of Albania has continued to complete and improve the supervisory regulatory framework, by approving several new regulatory acts

and reviewing some existing ones, furthering its approximation with the EU acquis, while simultaneously taking into account the developments of the banking and financial system in Albania.

The following are some of the main changes to the regulatory framework during 2024:

I. In the framework of regulating the activity and supervision of payment service providers, the Supervisory Council approved:

- The Guideline "On major incident reporting" aims to define the criteria to be adopted by payment service providers for classifying operational or security incidents as major incidents. This also includes reporting templates and procedures that payment service providers must use to notify the Bank of Albania in the event of a major incident of an operational or security nature.
- Some amendments to the regulation "On the comparability of the fees related to payment accounts and payment accounts switching service", which include some new requirements in accordance with the legal provisions of Law No 100/2023"On payment account with basic features." These amendments guarantee that the requirements of this regulation are implemented in the same manner for both payment accounts and payment accounts with basic features. These requirements relate to comparability, transparency of fees and switching of accounts, and provide the methodology for calculating the reasonable fees charged for the services provided by this type of account.
- The Regulation "On information accompanying transfers of funds", which sets forth the rules on the information needed from payers and payees accompanying transfers of funds, in euro, in the context of the Single Euro Payments Area (SEPA), where at least one of the payment service providers involved is established and licensed in Albania.

II. With the view of reviewing the regulatory framework on operational risk management, in 2024, the Supervisory Council approved the following:

- The Regulation "On operational risk management by banks, payment institutions and electronic money institutions", which defines the minimum requirements and rules for the management of operational risk in banking and/or financial activities by banks, payment institutions and electronic money institutions. The drafting of this Regulation was based on the revised Basel Committee standards on operational risk management.
- Some amendments to the Regulation "On operational risk management"[21], which aim to adapt the regulatory requirements to the activities of non-bank financial institutions, as well as savings and loan

[21] *The approved amendments include changes to the title of the Regulation to "On the operational risk management by non-bank financial institutions, savings and loan associations and their Unions."*

associations and their unions. This adjustment is necessary since only these entities will now implement the requirements of this regulation, given that banks, and payment and electronic money institutions will be subject to newly approved regulation.

- Some amendments to the Regulation "On reports at the Bank of Albania according to the Unified Reporting System", which consist in the presentation of new forms with quarterly frequency related to early warning indicators and the operational risk register, in accordance with the new or revised reporting requirements, based on the typology of the supervised entities. Amendments to the reporting system of the entities include the addition of an important form with quarterly periodicity, which aims to secure information regarding the structure of shareholders/partners in the capital of the reporting entities (i.e., banks, non-bank financial entities, payment institutions and electronic money institutions).

III. In the framework of improving and strengthening the licensing and supervisory requirements and addressing risk management in non-bank financial entities, the following were approved:

- Some amendments to the Regulation "On licensing and activity of non-bank financial institutions"[22], which aim to further strengthen the regulatory framework of non-bank financial entities, mainly in regards to license revocation, as well as the processes that accompany the liquidation of their loan portfolios.
- Some amendments to the Regulation "On licensing, exercise of activity, revocation of licences and liquidation of credit portfolio created from the financial activity of non-bank financial institutions", which stipulate changes to the legal form of non-bank financial entities, from a limited liability company to a joint stock company, applicable for entities that will be licensed following the entry into force of these amendments as well as those that currently operate in the market. These amendments also include some additional and improved regulatory requirements related to capital growth and changes to the structure of the capital of non-bank financial institutions, and documents required for the approval of the chairs of the entities' steering bodies.
- Some amendments to the Regulation "On risk management of the activity of non-bank financial institutions", which include the addition of new requirements for assessing borrowers' repayment capabilities in consumer loan agreements compiled by non-bank financial institutions and microfinance institutions. These amendments also include the requirement imposed on non-bank financial entities which purchase non-performing loans with the aim of classifying them as performing loans. The instalments repayment of purchased loans should not be made through another loan.

[22] *The approved amendments also include changes to the title of this regulation to the Regulation "On licensing, exercise of activity, revocation of licences and liquidation of credit portfolio created from the financial activity of non-bank financial institutions."*

2.4.4 LICENSING FRAMEWORK AND APPROVALS

In 2024, the number of banks operating in Albania remains eleven, unchanged from the previous year. The banking sector continues to be dominated by foreign banking group subsidiaries with capital originating mainly from the EU.

The Bank of Albania issued preliminary approvals for ownership of the qualifying holding of shares of two non-bank financial institutions; amendments to the statutes of two banks, issuance of subordinated debt from two banks and settlement from one bank; as well as the approval of authorised chartered auditors (statutory auditors) for auditing the financial statements of all banks in 2024.

The Bank of Albania issued approvals for 56 bank administrators, including 21 members of steering councils, 8 members of audit committees, and 27 executive and internal audit directors of banks.

In 2024, the network of banks within the territory of the Republic of Albania expanded with eleven new branches, while banks have issued a notification for the closure of one branch/agency within Albania. By the end of the year, banks operated with 400 branches/agencies.

Table 8 Banks' ownership structure, number of banks (at period-end)

	2016	2017	2018	2019	2020	2021	2022	2023	2024
Banks in Albania, of which:	16	16	14	12	12	12	11	11	11
I. Majority foreign owned[1]	13	13	11	8	8	8	6	6	6
• EU-based banks	9	9	7	6	6	6	5	5	5[2]
• Turkish based	1	1	1	1	1	1	1	1	1[3]
• Majority owned by an international financial institution (Saudi Arabia)	1	1	1	1	1	1[4]			
II. Majority Albanian owned	3	3	3	4	4	4	5	5	5[5]

Source: Bank of Albania.

1 *"Majority" is, in all cases, the simple majority of 50% of the votes plus 1 vote.*

2 *Banks with capital originating from EU countries, at the end of 2023, are from: Italy (Intesa Sanpaolo Albania), Austria (Raiffeisen), Germany (Procredit), Hungary (OTP Bank, Albania), and Bulgaria (First Investments Bank Albania).*

3 *National Commercial Bank.*

4 *United Bank of Albania.*

5 *Majority Albanian-owned banks at the end of 2023, are: Union Bank, Credins Bank, American Bank of Investments, Tirana Bank, and United Bank of Albania.*

Based on the applications received, the Bank of Albania approved an additional financial activity (payment initiation service and account information service) for one electronic money institution.

Over 2024, the Bank of Albania updated the licences and annexes of licences of five payment institutions and electronic money institutions, as well as one savings and loan association which also carries out payment activities/services. By the end of the year, there were 37 non-bank financial institutions (including microcredit institutions), payment institutions and electronic money institutions exercising their financial activity. Non-bank financial institutions also received preliminary approvals for 8 administrators, 4 Chairman of Steering Council, and 1 Chairman of Audit Committee.

Additionally, approvals were granted for the appointments of authorised chartered auditors to audit the financial statements for the end of 2024 for Payment Institutions and Electronic Money Institutions, as well as the approval for the issuance of subordinate debt by one non-bank financial institutions and one savings and loan association.

During 2024, 46 new foreign exchange bureaus were licensed, while licenses were revoked from 25 existing bureaus. By the end of 2024, there were 642 foreign exchange bureaus.

Table 9 Number of banks, non-bank financial institutions, savings and loan associations and foreign exchange bureaus licensed by the Bank of Albania (end-period)

	2016	2017	2018	2019	2020	2021	2022	2023	2024
Banks	16	16	14	12	12	12	11	11	11
Non-bank financial institutions	28	31	30	32	30	35	38	39	37
Foreign exchange bureaus	428	426	463	503	538	556	583	621	642
Unions of savings and loan associations	2	1	1	1	1	1	1	1	1
Savings and Loan Associations	13	13	13	14	14	16	16	16	16

Source: Bank of Albania.

2.5 RESOLUTION

The law "On Recovery and Resolution in banks in the Republic of Albania" grants the Bank of Albania the competence of the Resolution Authority in Albania.

This legal mandate aims to ensure an organized resolution of banks in case of insolvency, avoiding negative impact on the real economy and the financial system by minimizing the use of taxpayers' money, as well as guaranteeing the protection of customers' assets and insured deposits.

The year 2024 was in important one for the Bank of Albania in its role as the Resolution Authority, since it marked a series of achievements during its activity. The Bank of Albania's approach was guided by the objectives set forth in the 2022-2024 Medium-term Development Plan, which aims to fully approximate to the resolution standards of the European Union.

Its main achievements were the following:

1. Strengthening the ability for resolution in banks;
2. Compliance with regulatory requirements for regulatory capital instruments and eligible liabilities;
3. Continuous fulfilment of the resolution regulatory and methodological framework;
4. Operationalization of the Resolution Fund.

In the context of drafting the Resolution Plans, the Bank of Albania has maintained a stable dialogue with the banking sector by means of which it has regularly monitored the fulfilment of the annual working programme for the development of banks' capacities, as part of the recommendations identified over the annual inspection process.

The results derived from assessing resolution capabilities indicate that banks have made significant progress in successfully supporting resolution. All banks with resolution strategies met the intermediate level of the Minimum Requirement for Own Funds and Eligible Liabilities (MREL) for 2024 by issuing eligible bonds in the domestic market for this purpose. The development of local banks' capacities for resolution, especially for those that are part of cross-border banking groups, should be established within the context of relevant developments across the entire banking group. For this purpose, based on the cooperation agreement signed with the Single Resolution Board (SRB) in 2024, the Bank of Albania participated in the Extraordinary Resolution Colleges meetings for two European banking groups operating in Albania through their subsidiaries.

In accordance with the legal framework requirements, the Resolution Fund has been established and has been growing through the annual contributions by banks. In 2027, this Fund will reach a level equal to 0.5% of the total banking sector's liabilities. After all banks paid their annual contribution which amounted to ALL 982 million, the Resolution Fund reached ALL 5.7 billion at the end of 2024, accounting for approximately 0.3% of the banking sector's liabilities.

In parallel to building the regulatory framework, work has been ongoing for the operationalization of resolution instruments. This processes has been facilitated by international institutions, such as World Bank (FinSAC Project) and EBRD, which have supported the Bank of Albania in preparing the guidelines and manuals for the purpose of increasing the level of implementation of resolution in order to preserve financial stability in Albania.

2.5.1 STRENGTHENING THE ABILITY FOR RESOLUTION IN BANKS

RESOLUTION PLANS

Pursuant to the respective legal and regulatory framework, the Bank of Albania updates each year the resolution plans for all banks operating in Albania. During the 2024 annual cycle, BoA updated the resolution plans according to the information reported periodically by banks, and the results and information obtained from onsite inspections carried out during May 2024.

As part of the annual process of updating the resolution plans, in 2024 the following were made possible: the identification and evaluation of the economic functions of critical importance and the assessment of public interest for all banks. This test evaluates whether the resolution objectives have been fulfilled by all those banks which carry out at least one critical function. During the resolution planning annual cycle, the measures that the bank should undertake to render it capable to implement the preferred strategy for resolution, have also been assessed. In conclusion, the executive summary of the resolution plan was communicated to each bank, focusing on assessing the bank's capacity to efficiently implement the preferred strategy for resolution.

Over the 2024 cycle, banks have progressed towards fulfilling the objective of governance, as well as increasing capacities for absorbing losses and recapitalizing them. They have also made positive steps in ensuring operational continuity and maintaining access to the market, in case the banks are subject to resolution. In fulfilment of the priorities for the 2024 planning cycle, banks have submitted to the Bank of Albania their methodology for the identification and allocation of collateral, and the plan for communicating the event of resolution. Furthermore, in alignment with the priorities from the previous cycles and continuing the recommendations of the Bank of Albania, banks have completed the methodology for measuring and reporting liquidity in the event of resolution.

The Bank of Albania has established and communicated to banks the 2025 priorities, including drafting of the operational manual for internal recapitalisation and preparing the information needed for conducting assessment in the event of resolution. The annual priorities set out within the framework of the resolution plans' updating cycles will be up for review until 2027, which is the deadline for when capacity for the implementation of resolution is set to be fully reached.

INSPECTIONS IN BANKS

In the framework of assessing the ability for resolution in banks, inspections were carried out in May 2024 in banks that provide critical functions for the economy. These inspections focused on evaluation of the fulfilment of recommendations communicated during the 2023 cycle, and the priorities for the 2024 resolution planning cycle.

Compared to 2023, inspections identified the progress achieved in regards to measures undertaken by banks to increase their ability to implement resolution. More concretely, the following were identified: establishment of governance structures and processes for resolution, including the engagement of the audit unit; the drafting of annual plans focused on the priorities communicated by the Bank of Albania; enhancement of the quality of information required during resolution events; and establishment of sufficient financial resources for implementing the preferred strategy for resolution by meeting the annual intermediate MREL requirement.

Following this examination cycle, the Bank of Albania prepared individual reports for each bank with respective evaluations and recommendations. Banks use a specific plan of communication to inform the Bank of Albania regarding the implementation of its recommendations.

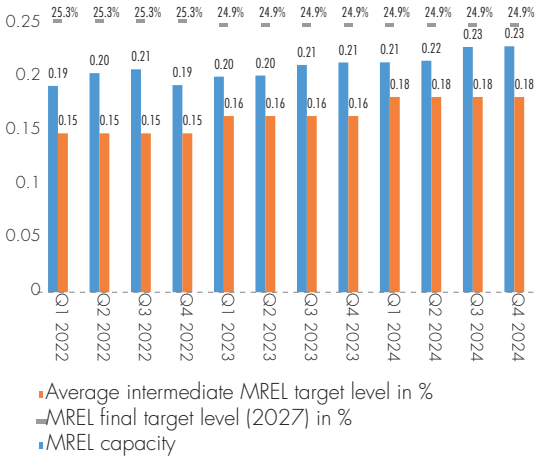
2.5.2 THE MINIMUM REQUIREMENTS FOR REGULATORY CAPITAL INSTRUMENTS AND ELIGIBLE LIABILITIES (MREL)

(MREL) constitutes the foundation for the financial preparation of banks regarding their capacity for resolution. By fulfilling the MREL, the banking sector gradually builds the financial capacity to absorb losses and to recapitalize through internal resources, in case it is subjected to resolution.

In compliance with the regulatory framework, the full level of MREL must be achieved within 2027. However, during the transitory period, BoA communicates with banks on an annual basis regarding the intermediate level of MREL that they must fulfil.

In 2024, the banking sector met the MREL intermediary level of requirements by using regulatory capital instruments and eligible liabilities. In December 2024, the aggregate MREL capacity reached 22.9% of risk-weighted assets,

Chart 35 MREL capacity, for the 2022-2024 period, in percentage of risk-weighted asset



Source: Bank of Albania.

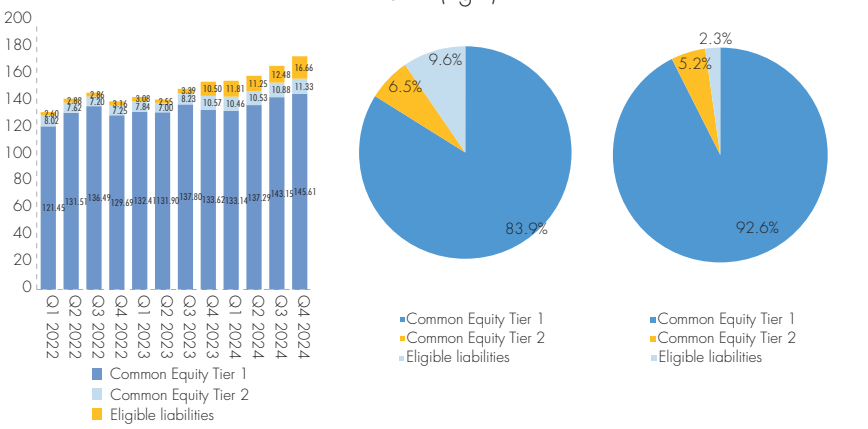
against the intermediate annual target of 18.2% set out by the Bank of Albania and those banks that are subject to MREL.

Furthermore, by the end of the year, communication was sent to banks regarding the decision on the intermediate level of MREL that must be fulfilled in 2025. The ongoing accomplishment of the objective constitutes an important step toward achieving full financing, which is also the final goal according to this regulatory requirement. The Bank of Albania periodically monitors the capacity of the banking sector to fulfil MREL as part of the annual resolution plan drafting process.

BOX 5: SOURCES OF FINANCING MREL IN 2024

Fulfilment of the intermediate level of MREL (i.e., the Minimum Requirement for Own Funds and Eligible Liabilities) was supported by banks' abilities to find funding in the domestic capital market. In 2024, the banking sector successfully issued "unsecured" bonds, accepted for MREL purposes, in lek, euro and US dollars. New issuances totalled ALL 6.3 billion, up by around ALL 3 billion compared to 2023. The diversification of MREL financing sources with instruments other than the regulatory capital was rendered possible in 2023. The stock of "eligible liabilities" in the banking sector balance reached ALL 16.7 billion at the end of 2023, from ALL 10.5 billion recorded in the previous year. Following the continued strengthening of the regulatory capital position through the increase in the tier 1 capital and new issuances of subordinated debt for tier 2 capital purposes, the banking sector recorded a significant improvement in providing the financial means imposed by MREL.

Chart 36 MREL financing sources in ALL billion for the group of banks subject to this requirement (left) and MREL structure, in December 2024 and December 2022 (right)



Source: Bank of Albania.

In reflection of these developments, the structure of MREL in 2024 consisted of around 90.4% regulatory capital instruments and 9.6% eligible liabilities, compared to 92.5% and 7.5% in 2023, and 97.8% and 2.3% in 2022, respectively.

These developments reflect continuous compliance with the regulatory requirements in the banking sector and the stability achieved through diversifying the financing sources of banks' activities. The realisation of these criteria increases financial stability and strengthens banks' balance sheets.

2.5.3 COMPLETING THE REGULATORY AND METHODOLOGICAL FRAMEWORK ON RESOLUTION

The development of the regulatory and methodological framework for resolution represents an important objective in the work of the Bank of Albania.

In 2024, work was done to complete the regulatory and methodological framework for the operationalization of resolution instruments and the development of banks' capacities to implement resolution.

Specifically, work was done in the following areas:

a. In the beginning of the year an agreement was signed with the Ministry of Finances and the Deposit Insurance Agency "On the use of public financial support for resolution and deposit compensation to maintain financial stability." This agreement outlines the coordination mechanisms among institutions when utilizing public financial support for resolution and deposit compensation to maintain financial stability;
b. In compliance with the legal and regulatory framework, the Bank of Albania conducted a process to select an independent appraiser and signed a three-year framework agreement for the provision of assessment services during resolution.
c. In accordance with the provisions laid down in Regulation No. 78/2020 "On the minimum requirements for regulatory capital instruments and eligible liabilities" and following the annual consultation cycle, the Bank of Albania sent to banks the document on "The methodology, policies and the way of fulfilling the minimum requirement for capital instruments regulatory and eligible liabilities", for the cyclical year 2024. In the context of the ongoing dialogue held annually with banks, the methodology used for calculating MREL did not change in 2024;
d. The methodology for measuring and reporting liquidity during resolution was developed, outlining the requirements for banks subject to the resolution strategy to report liquidity data;
e. In cooperation with the European Bank for Reconstruction and

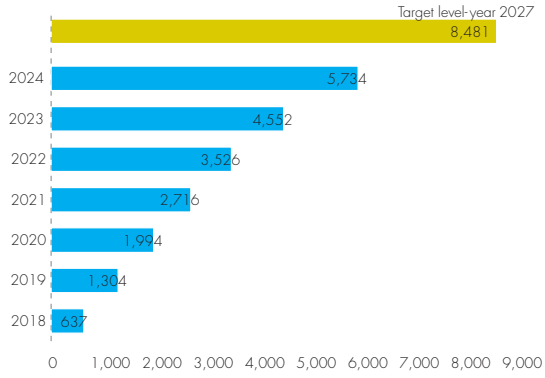
Development (EBRD) and a grant from the Monarchy of Luxembourg, the manual for the operationalization of the business sales instrument and the corresponding contracts for the sale of shares and the transfer of commercial activity, was compiled;

f. Additionally, in the framework of cooperation with the EBRD, the Bank of Albania was involved in the regional project for the analysis of the regulatory gap of resolution in Albania, focusing primarily on the minimum requirement for regulatory capital instruments and eligible liabilities.

In 2015, the Bank of Albania has provided for the drafting of a series of methodological manuals and documents which will help banks to fulfil their annual priorities and improve the implementation of resolution strategy and resolution instruments laid down in Resolution Plans.

2.5.4 OPERATIONALIZATION OF THE RESOLUTION FUND

Chart 37 The Resolution Fund* build up throughout the years and the targeted level for 2027 (ALL million)



*The preliminary data on the Resolution Fund value by the end of 2024.
Source: Bank of Albania.

In accordance with legal and regulatory requirements, banks pay annual contributions to the Resolution Fund, in order to meet the target level of the Fund.

The target level of the Fund for 2027 stands at 0.5% of the banking sector's total liabilities.

Based on the latest assessments for 2024, which is also the seventh year during which the banking sector has made contributions to the Resolution Fund, the target level of the Fund is ALL 8.5 billion. After adding the banks' annual contribution to the Fund of ALL 982 million, in April 2024, the Resolution Fund reached ALL 5.7 billion by the end of the year. Therefore reaching 67.6% of the target level aimed for 2027.

The Bank of Albania regularly monitors the performance of the financial assets of the Resolution Fund, based on the periodic reports of the Deposit Insurance Agency, which acts as the Fund's Administrator pursuant to the investment policy approved by the Bank of Albania.

2.6 CURRENCY ISSUE

The Bank of Albania has the exclusive right to issue and put into circulation the national currency – the Albanian lek. The Bank of Albania determines the form, measure, weight, model, and other features of Albanian banknotes and coins of legal tender in Albania.

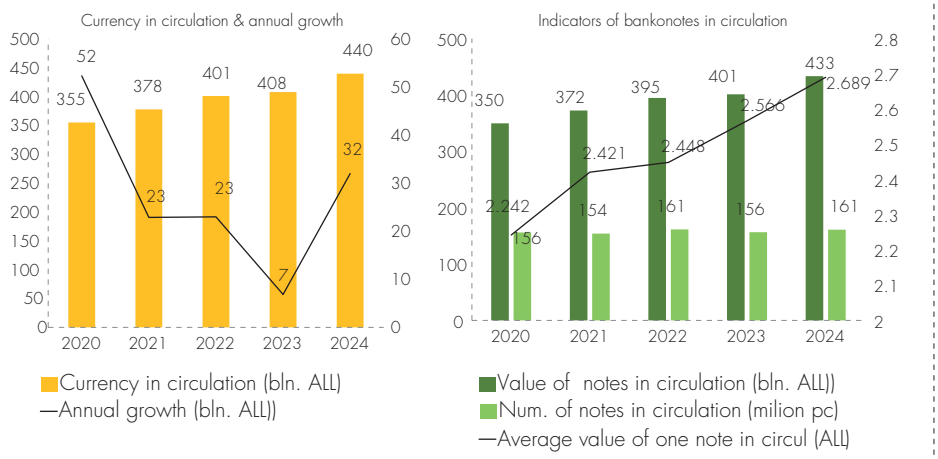
One of the main responsibilities of the Bank of Albania is to meet the needs of the economy for cash, ensuring the continued public trust in our national currency, the lek. This is made possible through the issuance of modern and quality banknotes and coins that communicate security and stability to the users.

This goal was also achieved by the preparation and putting in circulation of the new series of 200 Lekë and 500 Lekë denomination banknotes, which marked the 5th year since their first issuance in 2024.

BANKNOTES AND COINS IN CIRCULATION[23] AND THEIR VALUE

The domestic currency in circulation at the end of 2024 reached ALL 440 billion, up by ALL 32 billion compared to the end of 2023 (+8%). At this amount, there were about 161 million notes in circulation worth about ALL 433 billion. Compared with 2023, the number of banknotes in circulation increased by around 4 million banknotes (+2.5%). The increase in the number and value of banknotes in circulation reflects their structural shift in favour of large denomination, mainly 10,000 Lekë and 5,000 Lekë. Consequently, the

Chart 38 Performance indicators of the domestic currency (left) and the banknote in circulation (right)



Source: Bank of Albania.

[23] *It is the number and value of banknotes put in circulation by the Bank of Albania.*

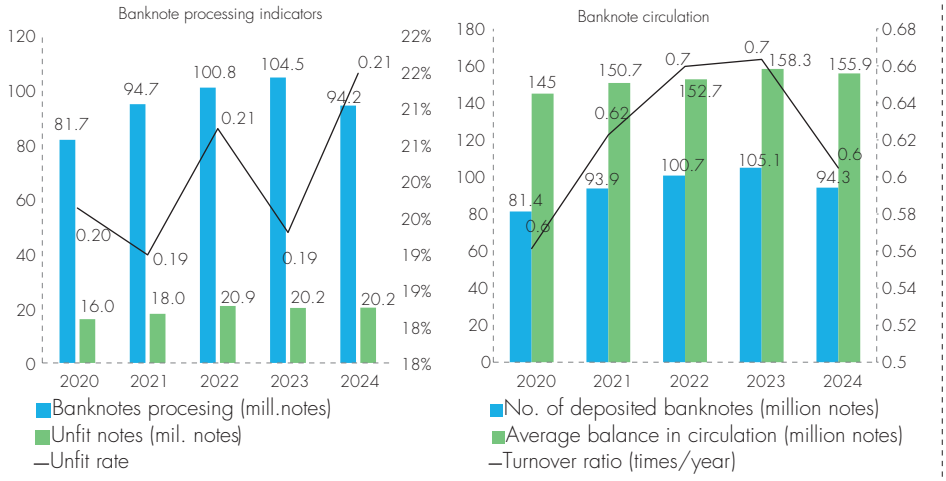
average value of one banknote in circulation at the end of 2024 reached ALL 2,689 compared to ALL 2.566 at the end of 2023.

In regard to coins, their number in circulation reached 291 million pieces compared to 273 million at the end of 2023, up by around 18 million pieces or +6.2%. The average value of a coin in circulation at the end of 2024 reached ALL 25 per coin.

CASH RECYCLING, BANKNOTE QUALITY AND ITS CIRCULATION

During 2024, after being checked for authenticity and fitness for recirculation, about 94.2 million banknotes were processed compared to 104.5 million in 2023. The sorting rate[24] was 21.5%, compared to 19.3% in 2023. Over the year, unfit banknotes were replaced case-by-case with new banknotes fit for circulation.

Chart 39 Processing and fitness indicators and circulation ratio



Source: Bank of Albania.

The[25] banknote circulation coefficient for 2024 was 0.6, implying that a banknote is returned at the cash desks of the Bank of Albania on average less than once a year. This coefficient is higher for 500 Lekë and 1,000 Lekë denominations (around 1 time) and lower for 5,000 Lekë and 10,000 Lekë denominations (around 10.000 and 0,728, respectively).

PROTECTING BANKNOTES AND COINS AGAINST COUNTERFEITING

There were 156 counterfeit national banknotes sequestered in 2024, compared to 195 in 2023. As well, 50 counterfeit national coins were removed from circulation. The coefficient of counterfeit banknotes per 1 million banknotes in circulation continues to decrease significantly, dropping to 1 for 2024

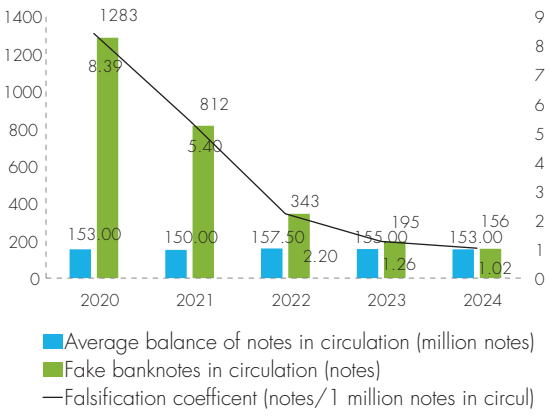
[24] *Ratio of unfit banknotes to the total number of banknotes sorted during one year.*

[25] *Ratio of the number of banknotes received at the Bank of Albania cash desks to the average annual number of banknotes in circulation.*

compared to 1.3 in 2023. This indicator reached the lowest historical value in 2024, demonstrating the high quality of our banknotes, particularly the ones belonging to the new series.

By structure, the 1,000 Lekë and the 2,000 Lekë denominations have the main share in the total counterfeited banknotes, followed by the 5,000 Lekë denomination. Amongst counterfeit coins, the 50 Lekë denomination continues to be the most counterfeited, although at a very low and quite insignificant amount. The largest share of counterfeited banknotes belongs to the old denominations with 133 banknotes, accounting for 85% of the total, compared to the new series of banknotes, which have a high quality and include strong security features.

Chart 40 Performance of counterfeited banknotes in circulation



Source: Bank of Albania.

As regards the technical and/or technological aspect of counterfeiting domestic banknotes, they are reproductions using commercial digital equipment, mainly ink-jet, as well as technological artisanal methods to imitate security elements. Whereas, security feature imitations in counterfeit banknotes, readable by authenticating/sorting equipment has not been encountered in any case.

2.7 PAYMENT SYSTEMS

Operation, oversight and reform of payment systems are some of the main functions of the Bank of Albania. Their implementation guarantees the security, sustainability and efficiency of the basic infrastructure of payments. This is a crucial precondition for transmitting the monetary policy, safeguarding financial stability and overall economic growth. In addition to ensuring the stable operation of payment systems, the Bank of Albania has paid particular attention to the supervisory and catalytic role in the implementation of the National Retail Payments Strategy.

The year 2024 marked a historic moment for the Bank of Albania and Albanian citizens. On November 21, the European Payments Council (EPC) approved the inclusion of Albania in the geographical scope of the Single Euro Payments Area (SEPA) payment schemes.

This achievement also fulfils one of the objectives of the 2024-2027 New Growth Plan approved by the European Commission for Albania and the regional countries of the Balkans. For those countries aspiring to join the EU, being approved into SEPA is an instrument toward European integration and it precedes official EU membership. EU integration brings a number of benefits to our economies as regards market expansion, a higher level of formalisation, and reduction of the costs of cross-border transactions[26].

2.7.1 PERFORMANCE OF PAYMENT SYSTEMS

The Bank of Albania plays a key role in promoting the normal functioning of payment systems through the operation and administration of three main infrastructures for processing interbank payments and one infrastructure for the settlement of securities. The AIPS system is considered the sole infrastructure for the settlement in real time of large-value payments in lek. This infrastructure enables the settlement of various segments within the internal financial market as well. The AECH system enables the clearing of interbank transactions with a value of less than ALL 1.5 million for bank clients (households and enterprises). The AIPS EURO system, enables real-time gross settlement of payments in euro within the territory of Albania.

Additionally, the Bank of Albania operates the central system of settlement and registration of transactions with government securities, i.e., AFISaR. All systems have been fully engaged, are operating smoothly and are compliant with the rules and operating schedules laid down in the relevant regulations.

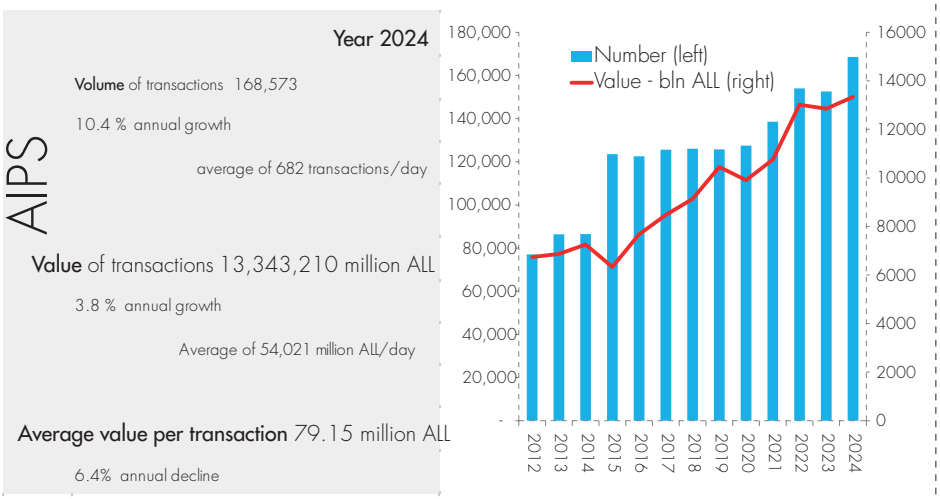
[26] *For a more comprehensive treatment of the benefits derived from receiving SEPA membership refer to Box "The participation of Albania in SEPA" from the 2023 Annual Report of the Bank of Albania. Whereas, for more information on the accession process to the EU and the role of BoA concerning it, please refer to the following Box 6.*

AIPS - ALBANIAN INTERBANK PAYMENT SYSTEM FOR LARGE-VALUE PAYMENTS

The large-value payment system is crucial in maintaining the stability of the financial system as it ensures the normal circulation of liquidity in markets and the economy. Every bank operating in Albania, the Bank of Albania and the Ministry of Finance (as an indirect participant) are participants in the AIPS system. The total volume of liquidity circulated in the system was ALL 13,343 billion over 2024. In relation to GDP, this amount is around 5.3 times higher.[27]

The system has demonstrated high efficiency, with funds circulating smoothly, enabling real-time transaction settlements. The intraday loan facility (ILF) is an instrument denoting the system's liquidity. The intraday loan facility (ILF) is an AIPS system instrument offered by the Bank of Albania to participating banks to ensure the normal continuation of interbank payments operation. This instrument value to the total value of payments settled in the AIPS system remains low, indicating that the system's exposure to liquidity risk of participants is low.

Chart 41 Number and value of transactions processed in AIPS



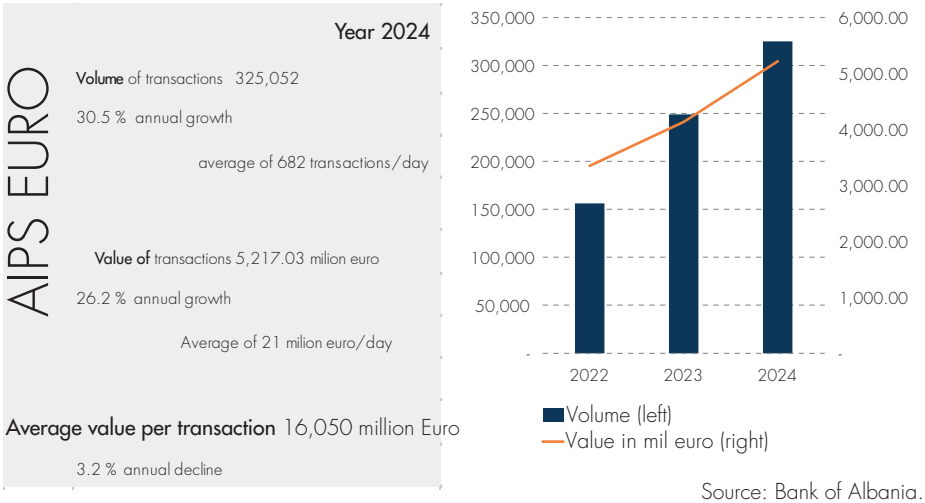
Source: Bank of Albania.

ALBANIAN INTERBANK PAYMENT SYSTEM FOR DOMESTIC CUSTOMER PAYMENT ORDERS IN EURO CURRENCY, WITHIN ALBANIA (AIPS EURO)

The AIPS EURO system was established on 24 January 2022. The main purpose behind AIPS Euro was to enable Albanian citizens to make payments in Euro domestically, at a lower cost and within a shorter time-period. This process was previously carried out through correspondent banks. The activity of this system has increased progressively. Data show that it is being increasingly used for small-value payments, indicating a higher familiarity of households with the system.

[27] *The GDP for 2024 is calculated by the Bank of Albania.*

Chart 42 Number and value of transactions processed in AIPS EURO



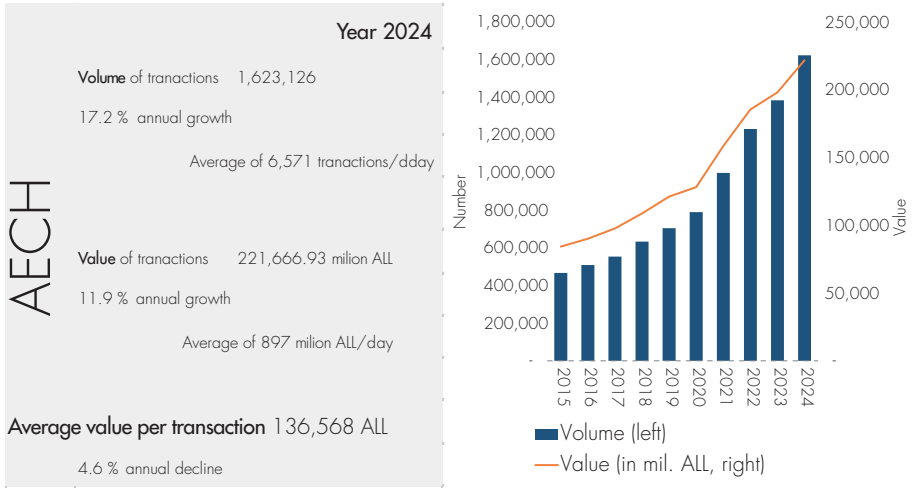
Source: Bank of Albania.

Expanding its use helps bolster financial inclusion and promotes electronic payments in the country. Furthermore, by using this system, payments in euro carried out domestically are completely regulated by the legal and prudential regulatory framework on costumer protection, thus avoiding relations with correspondent banks.

ALBANIAN ELECTRONIC CLEARING HOUSE FOR RETAIL PAYMENTS (AECH)

The AECH system enables the clearing of interbank transactions of a small value, while clearing results are settled in AIPS system. The use of this system reflects for the most part the use of bank transfers by households and enterprises, mainly medium-sized and small ones.

Chart 43 Number and value of transactions cleared in AECH



Source: Bank of Albania.

Activity in the system has continuously increased over the years in both nominal terms and in relation to the population. Meanwhile, a decrease in the average value per transaction indicates an increase in the use of electronic payments for low-valued transactions, needed for daily life chores. This performance has been encouraged by the removal of fees on transactions up to ALL 20,000. The share of these transactions account for 37% of total AECH transactions, from 27% in 2020. Additionally, there has been a differentiation of commissions applied by banks, favouring retail payments carried out electronically[28].

SECURITIES SETTLEMENT SYSTEM (AFISAR)

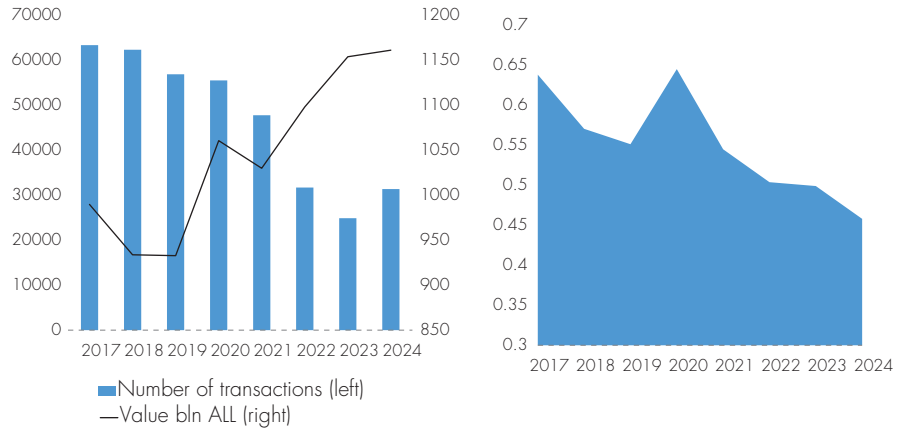
The AFISaR system, which has been running since 2015, is the central system for the settlement and registration of government securities transactions. This system is operated by the BoA in the capacity of the fiscal agent. Through the AFISaR system, the Bank of Albania offers the issuer (i.e., the Ministry of Finance and Economy) and the market, the organization of auctions for the issuance of Albanian State securities in the domestic market, in both lek and euro, as well as the settlement and registration of transactions with these securities in the secondary market. In this system, the collateral is the securities of the Albanian State or the reverse repurchase agreements, where these securities are the subject. In addition to the above, the system also provides tax collection services for securities income and interest payment events. It also informs account holders in this system about the balance and movements in these accounts.

At the end of 2024, the AFISaR system registered fourteen financial institutions as direct participants, including one issuer (Ministry of Finance and Economy) and one central bank (BoA), six indirect participating financial institutions with accounts through the Bank of Albania, and connection with one Private Stock Exchange. By the end of 2024, there were 19,840 individual accounts in the AFISaR system opened through the Bank of Albania.

At the end of 2024, the total nominal value of Albanian securities issued in the domestic currency in the AFISaR system, was ALL 788.51 billion, up by 7.68% compared to the end of 2023. By the end of 2024, there were no securities issued in the euro currency in the AFISaR System recorded.

[28] *The regulatory amendment for the use of the system (2020), provides for the elimination of commissions for retail payments initiated electronically (home-banking) up to the amount of ALL 20,000 as well as the differentiation of fees for the other part of payments initiated electronically up to 50% of those initiated in paper form.*

Chart 44 Performance of transactions processed through the AFISaR system (left) and in percentage to GDP (right)



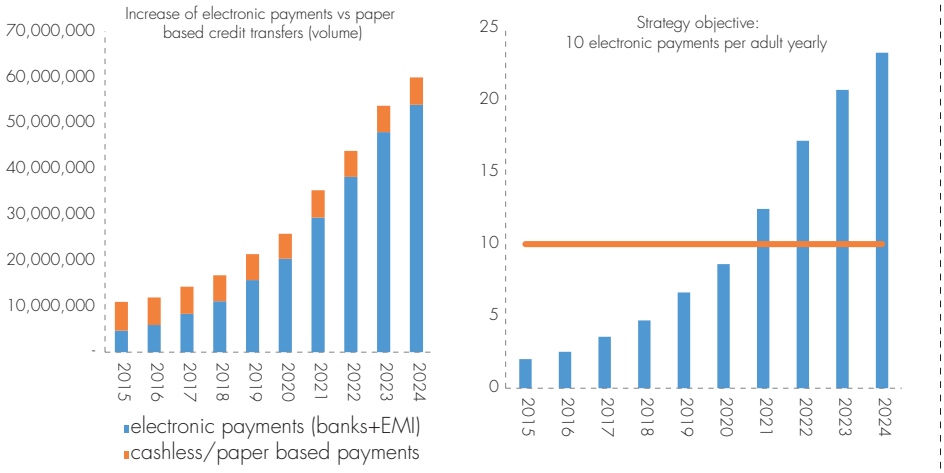
Source: Bank of Albania.

2.7.2 PAYMENT INSTRUMENTS

In 2024, electronic payments have trended upwards. The number of electronic payments carried out through banks amounted to ALL 42.3 million, reaching a total value of ALL 2,802 billion. Their number was up by 24.4% compared to the previous year, whereas their value increased by 17.8%.

The positive developments of electronic payments have elevated the indicator which measures their use, as it reached twenty-three e-payments payments per capita. The "payments per capita" indicator which was set to reach 10 payments per capita in 2023 by the framework of the National Strategy of Retail Payments, was reached since 2021. This indicator reflects the progress made in improving access to electronic payments and the adoption of modern payment instruments. The progress in this area reflects the growing trend of

Chart 45 The number of electronic and cash payment instruments over the years (left); number of payments per capita (+15 years old) over the years (right)



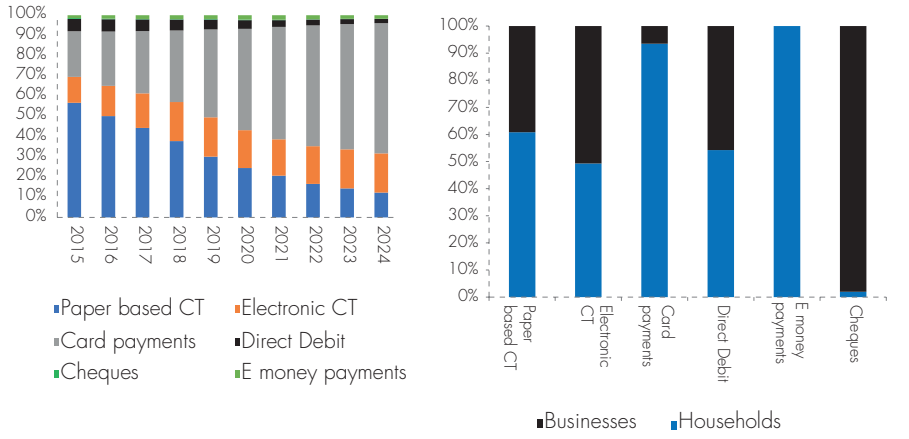
Source: Bank of Albania.

digitalization in financial services and the facilitation of e-transactions for both households and businesses.

PAYMENTS PROVIDED BY THE BANKING SYSTEM

Banking institutions are the main providers of payment services. In recent years, they have been active in promoting digital payment instruments following clients' preferences for a fast, safe and easier approach to financial services. Thus, "home banking" applications are offered by all banks and are being widely adopted by the Albanian users. In addition to their basic features, such as providing information on the account balance, they are being used for online payments as well. The share of the number of remote credit transfers has gone up by 61% of total transfers.

Chart 46 The share of payment instruments according to the number of transactions (left) and users according to the typology of payment instruments, throughout 2024 (right)



Source: Bank of Albania.

In 2024, the number of payments and the value of "home banking" transactions increased by 22.1% and 19%, respectively. The upward progress of online transfers was also driven by a series of factors such as the measures taken by the Bank of Albania to reduce commissions for this type of transaction[29], developments in infrastructure, expansion of internet access, as well as the familiarization of bank customers with the use of this instrument.

The number of accounts accessible remotely increased by 23.2% in 2024, accounting for 39.1% of the total of all customers' accounts in banks. Given the ongoing innovations and the automation of services, the use of Home Banking is expected to continue rising, offering an ever more efficient and personalised experience to its clients.

Electronic money payments have gone up by 18.6% number-of-transaction wise, and by 11.8% value wise, compared to last year, reflecting the increasing

[29] *Referring to the differing commissions between on-line payments and those in-person in bank branches.*

trend in the digitalisation of payments. These payments, which are carried out electronically or as pre-payments, are primarily used by households.

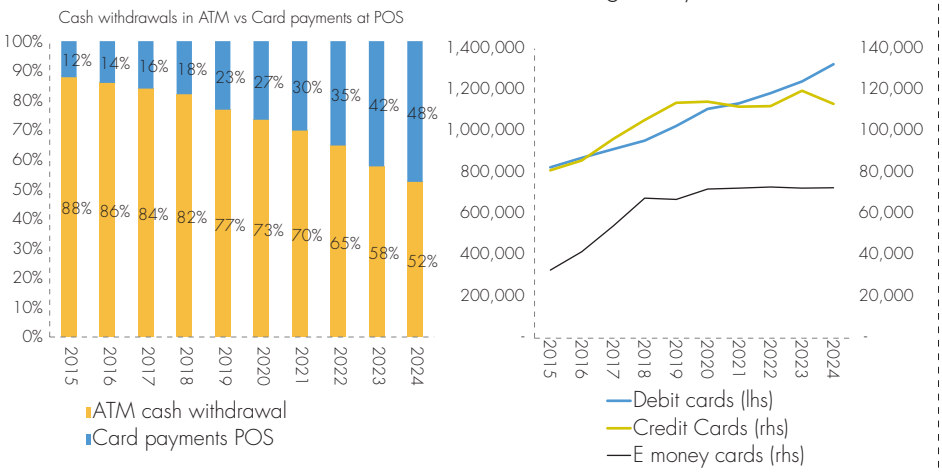
BANKS CARDS AND THE INFRASTRUCTURE FOR THEIR USE (ATM & POS)

Almost 64% of the total number of payments through banks were carried out with debit and credit cards. Compared to the same period last year, the number of card payments has increased by 26.3%. Households recorded the highest use of cards (93.5% of card payments).

All eleven banks that operate in the Republic of Albania are licensed as card issuers, of which nine of them are licensed also as card accepters. At the end of 2024, there were 1,510,606 active cards in circulation, a number which has gone up by 5.4% from last year. Almost all the cards available feature a payment as well as a cash option. The use of debit cards dominates at 87.7%, with an ALL 6,746 average value per transaction. The rest of card payments are carried out through credit cards, which usually record a higher average value per transaction.

The use of cards for purchases at POS terminals has continuously increased, as a result of a combination of factors, one of them being the spread of more POS terminals over the course of the years, the increase in the number of cards issued, and lately a heightened financial awareness among people [30] regarding the use of these cards at terminals.

Chart 47 Use of cards for carrying out payments vs. cash withdrawals at ATMs and number of total cards through the years



Source: Bank of Albania.

[30] *In January 2024, the Bank of Albania approved the "Strategy of the Bank of Albania for Financial Education and Inclusion 2024-2025," which promotes financial inclusion as a public good, further reinforcing financial inclusion, consumer protection, an increase in the financial well-being of households and overall sustainability of the financial system.*

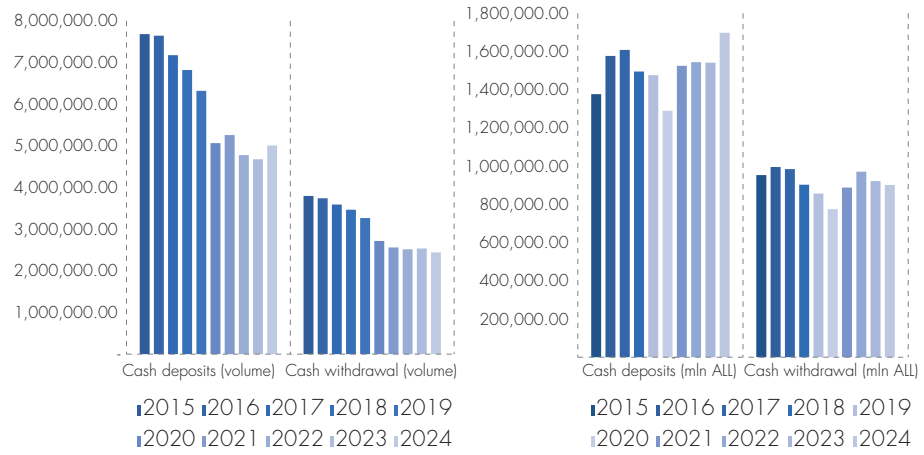
The POS infrastructure offered by commercial banks has been considerably on the rise, which shows that businesses are becoming more familiar with the provision of POS services. They have a positive reaction when clients request to pay with cards. Their number was up by 27.61% compared to 2023. Over the year, the number of virtual POS systems has increased, indicating that e-commerce has become more prominent in Albania.

The number of ATMs rose by 9.3% over the year. This was due to the higher level of tourism, offering foreigners remote services. Although ATMs are primarily used for cash withdrawals, in 2024, there was a rising number of ATMs offering other services, as well. Twenty-six ATM terminals are now offering cash deposits, and 144 offer transfer orders. These functions allows bank clients to use alternative means to manage savings and make payments.

CASH TRANSACTIONS

Cash deposits at bank counters have increased in both number (by 7.1%) and value (by 10.1%) in 2024. On the contrary, transactions of cash withdrawals continue to follow a downward trend over the years. The use of physical cash in the Albanian economy remains a predominant phenomenon, causing high costs to the economy.

Chart 48 Number and value of cash transactions at bank counters



Source: Reports submitted by banks according to the "Methodology for reporting payment instruments."

2.7.3 ELECTRONIC MONEY INSTITUTIONS

Electronic money products are offered by non-bank financial institutions licensed as electronic money institutions. There are ten electronic money institutions operating in the Albanian market, offering a variety of solutions for different consumer groups. The use of electronic money provides convenience mainly to that group of the Albanian population that does not own a bank account. The advantages for this group consist in higher flexibility when conducting

payments, considering the spread of these institutions across the country through agents, as well as lower costs on small-value payments, such as fines, monthly utility bills, etc.

Over the first nine months of 2024[31], these institutions have processed close to 11.7 million electronic money payments in total, up by 12.5% compared to last year.

2.7.4 PAYMENT SYSTEM OVERSIGHT AND THE REFORMATORY ROLE

Beyond the operation of the payment systems, the Bank of Albania oversees their supervision and the use of payment instruments. As a result, it continues to improve and strengthen the regulatory framework and payment infrastructure in compliance with the European standards.

The payment services activity is laid down on the Law "On payment services" and its regulatory framework, which has transposed the Payment Services Directive (PSD2) of the EU. This law has opened the payment market for a variety of services and institutions, in favour of increasing competition, reducing costs and increasing transparency for the consumer.

At the end of 2023, the Law "On the payment account with basic features" was approved, with its effects entering into force in April 2024. This Law lays down the terms and conditions for opening and using a payment account with basic services for consumers and households, including in particular those who are not covered by banking services, regardless of income level, employment status or history of repayment capability within the Republic of Albania. The Law is also expected to positively affect the use of payment services and increase the number of citizens that own and use a payment account. Up until the end of 2024, there were 1007 new accounts opened at banks by pensioners, recipients of government assistance/invalidity claims, and students.

INFRASTRUCTURE DEVELOPMENT

For the purpose of developing the infrastructure, the Bank of Albania has worked meticulously throughout 2024 on:

- The project to upgrade the AIPS, AIPS euro and AECH systems, which aims to implement international standards for message processing (SEPA/ISO 20022). These standards render transactions more secure as well as ensure uniformity in the exchange of data at a global level. This project is expected to be completed by 2025.
- The project for the development of the instant payments infrastructure. "Instant payments" are small-value settlement of electronic payments available 24/7/365, meaning that interbank transactions are settled immediately or almost immediately. By ensuring that the movement

[31] *Data on electronic money is available until September 2024. Annual data will be generated after March 2025.*

of funds is carried out in real-time, instant payments increase the availability and safety of funds for the users and support the efficiency of the financial system. Instant payments are also valuable because they help to extend the use of electronic payments and financial inclusion among people.

The project for the development of infrastructure for instant payments has become ever more important over the past year to the benefit of economic interactions between the countries of the Western Balkans and the integration of Albania into the EU markets. The Bank of Italy (BdI) has been engaged in the process of developing an instant payment system identical to TIPS of the ECB for Albania, and the other regional countries of the Balkans (referred to as TIPS Clone). This will enable the development of instant payments at a national and cross-border level between the countries of the region. In January 2025, the Bank of Albania together with the other regional central banks signed the Letter of Interest during an official ceremony held at the Bank of Italy.

NATIONAL PAYMENT SYSTEM COMMITTEE

In order to increase the efficiency and reliability of the payment markets and their respective infrastructure, the Bank of Albania plays the role of a catalyst in the field of payments. The Bank of Albania uses its expertise in the field of payment systems and shares it with the market players through regular consultations and coordinated meetings with representatives of the private and public sectors. Within this role, it leads the National Payment Systems Committee. The annual meeting of the National Payments System Committee was organised on 5th December 2024, which corresponded with the 10th anniversary of the Committee's establishment. Priority projects in the field of payments were discussed during this meeting such as open banking, SEPA membership of payment service providers, and the development of the instant payment system in Albania. The experience of other countries and services related to instant payment transactions were presented during this meeting. There was particular emphasis put on the topic of financial education, where the Bank of Albania has played a key role in organising educational activities on the use electronic payment instruments and promoting more affordable and efficient cross-border payments through SEPA schemes.

BOX 6: THE PROCESS OF SEPA MEMBERSHIP AND THE ROLE OF THE BANK OF ALBANIA

SEPA – the Single Euro Payments Area – aims to harmonise the method used to carry out payments in Euro in electronic form (cashless) between member countries[32]. It is the next step toward realisation of economic and financial market integration within the European Union, and is supported by the European payment industry, governments of EU countries, the European Commission, the Eurosystem and other public authorities. Taking into consideration the principle of one single market, the standardisation of euro payments aims to increase their efficiency through low costs and speedy transactions.

On 12 June, the Bank of Albania, on behalf of the Albanian financial community, submitted an official request to join the SEPA geographical area, marking an important step towards integrating the Albanian financial system into the European market. Albania became the first country in the Balkan region that applied to receive SEPA membership. The Bank of Albania led the application process, however this process came as a result of close and synergistic collaboration with other government authorities.

The work dedicated to the application for SEPA membership has been ongoing for years. The Bank of Albania has undertaken a series of measures to approximate national legislation with the acquis communautaire of the EU in the field of payment services, in order to fulfil the regulatory criteria needed for membership. These criteria aim to evaluate approximation with the European standards related to the supervision of payment services, financial system supervision, supervision of the activities for preventing money laundering and preventing financial terrorism, ensuring the principles of competitiveness, protection of personal data, free movement of capital and lastly, the coordination of European foreign politics with national politics.

The Bank of Albania has worked closely with the World Bank to realise legal changes in due time, and has received good feedback on its readiness to become a SEPA member. The transposition of the European Payment Services Directives 2 and exiting the "grey list" were crucial to the fulfilment of these criteria. However, there is still work being done in order to address unfulfilled criteria. On 3 April 2024, the Regulation "On determining the requirements for credit transfers and direct debit in euro" was approved. The approval of this regulation fulfilled one of the legal obligations required by SEPA membership.

Another point which indicated a meeting of the requirements was the strengthening of some legal aspects related to the prevention of money laundering and financing of terrorism. The Regulation "On information accompanying fund transfers," which was drafted in cooperation with the Financial Intelligence Agency, addressed some of the main shortcomings as regards compliance with SEPA membership criteria.

The decision to accept countries into SEPA system is made by the European Payments Council, an institution based in Brussels, which is responsible for the standardisation and improvement of the payments system in Europe. In its meeting, on 21 November 2024, the EPC decided to accept Albania into the

[32] *The SEPA geographical area comprises 36 countries, where, in addition to the European Union countries, the other member countries include the United Kingdom, Iceland, Norway, Liechtenstein, Switzerland, Monaco, San Marino, Andorra, the Holy See, and from November onward, Albania and Montenegro, as well.*

geographical area of SEPA. During the same meeting, the EPC approved the membership of Montenegro as well, which had applied a little after Albania.

Following the approval of Albania in the geographical area of SEPA, each institution providing payment services in Albania must apply individually to become member of schemes managed by the EPC. This also implies that some technical conditions must be developed by our institutions so that they can adopt their infrastructure to the operationalization of SEPA payment schemes.

Albanian institutions may start their application to get memberships in these schemes starting from April 2025. The Bank of Albania is collaborating with the World Bank and the EPC to guide these institutions in the application process and adherence to the schemes.

2.8 MANAGEMENT OF THE INTERNATIONAL RESERVE

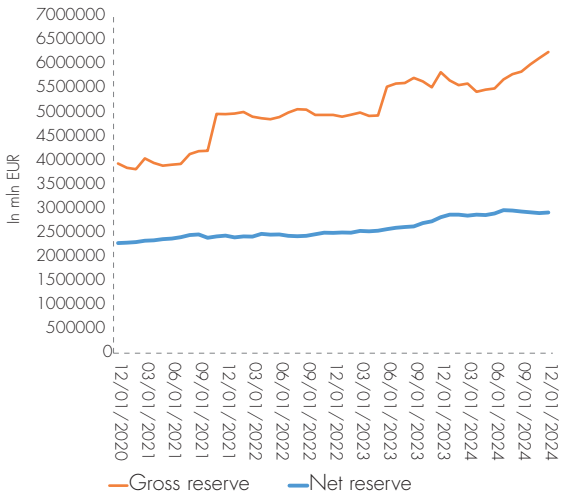
The Bank of Albania is the national responsible authority for maintaining and managing the international reserve of the Republic of Albania. It uses its best opportunities to achieve and maintain a certain level of international reserve, conducive to Albania's financial stability, and in accordance with the monetary policy.

In 2024, the gross international reserve grew to EUR 6,268.01 million, from EUR 5,846.06 million at the end of last year. The growth recorded indicates a significant improvement of the country's solvency.

The Regulation "On the policy and management of the international reserve", approved by the Supervisory Council, clearly defines the primary objectives of the international reserve management process which are liquidity and security. The third objective aims to generate returns from reserve funds management, as long as it does not infringe upon the primary objective of liquidity and security. The Supervisory Council also approves the qualitative principles and criteria for the development of international reserve management.

In order to implement these criteria, the Investment Committee approves the quantitative indicators and names of entities where the international reserve is allowed to be invested, while it tracks the implementation of the investments policy through periodical reports. The names in which the international reserve is allowed to be invested include the governments of the USA, Japan, UK, Canada, Australia and those in the Euro area, with an overall rate of at least A- (for the euro area governments the accepted minimum rate is BBB-[33]). The entities allowed for investment also include agencies or institutions related to governments, multilateral institutions or other entities rated at least AA- (for banks/other financial institutions, the accepted minimum rate is A-).

Chart 49 FX reserve performance



Source: Bank of Albania.

At the end of December 2024, the stock of the gross international reserve is EUR 6,268.01 million, including monetary gold which amounted to around 108.59 thousand ounces, or 3.38 tons.

COMPOSITION OF FOREIGN EXCHANGE RESERVE PORTFOLIO BY CURRENCY

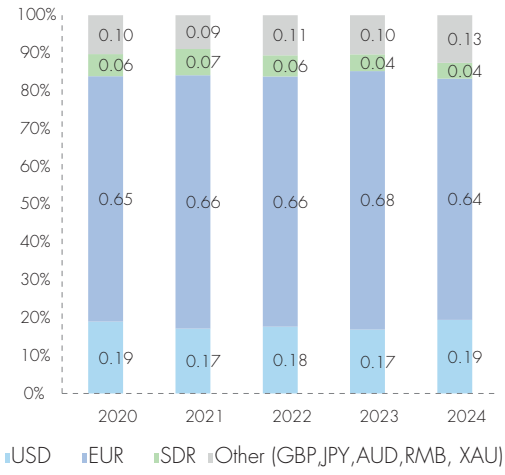
At the end of 2024, the composition of the gross international reserve by currency was: USD 19.5%, EUR 63.8%, GBP 2.5%, JPY 2.2%, RMB 2.8%, AUD 0.8%, SDR 4.2% and monetary gold 4.4%. With the aim of using the

[33] *i Names / instruments listed up to BBB- are included in the category "For investment" (investment grade).*

composition of the SDR basket as a reference for a portion of the reserve, the share of RMB is distributed among two currencies, RMB and AUD, according to a ratio approved by the Investment Committee.

The chart below shows the performance of the composition by currency of the gross foreign exchange reserve, where euro currency continues to have the main share in the portfolio.

Chart 50 Composition by currency of the gross international reserve

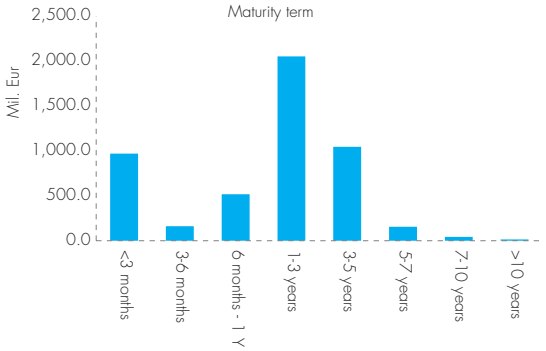


Source: Bank of Albania.

THE COMPOSITION OF INTERNATIONAL RESERVE PORTFOLIO BY MATURITY TERM

The international reserve managed by the Bank of Albania is invested in liquid assets, mainly with a maturity of 1-3 years. The share invested in debt instruments with maturity over 5 years has slightly increased over the current year, accounting for around 4.4% of the reserve portfolio invested in securities by the year-end. The duration of investment for part of the reserve went up as it reflected the expectations for a decline in interest rates. The increase of exposure to investments of up to three years maturity represents the growth in deposits held mainly with the central banks. As the reserve stock has grown, the part of the portfolio invested in debt instruments has also gone up compared to the previous year. The portfolio managed by the external administrator (i.e., the World Bank) continues to be invested against a 1-3 year reference portfolio, mainly in debt instruments issued by governments and government agencies.

Chart 51 Distribution of reserve by maturity of instruments *,**



*The Chart also presents deposits with central banks which have not been settled by the year-end. The Chart does not reflect funds held in current accounts or that part of the reserve which is in monetary gold and SDR. The current accounts balance at the end of the year stands at EUR 0.92 billion.

**The Chart does not reflect the funds kept in current accounts. The balance of current accounts at the end of the year is about EUR 700 million.

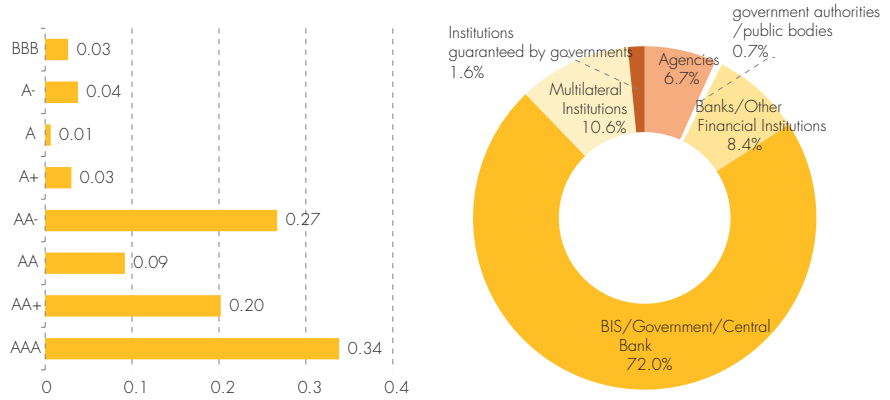
Source: Bank of Albania.

COMPOSITION OF THE RESERVE PORTFOLIO BY RATING AND TYPE OF ISSUER/ COUNTERPARTY

By the end of 2024, around 90% of the international reserve portfolio was invested in names with high quality rating (class AAA and AA, including exposures to current accounts and SDR)[34]. Exposures by type of issuer/counterparty are represented by governments/central banks (72%), followed by multilateral institutions (10.6%), banks/other financial institutions (8.4%), agencies (6.7%), institutions guaranteed by governments (1.6%) and government authorities/ public bodies (0.7%).

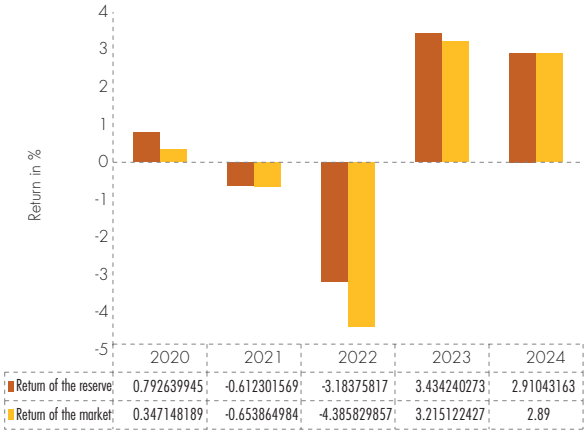
[34] *This distribution excludes monetary gold, since it is held at the Bank of England.*

Chart 52 Composition of the reserve portfolio by evaluation (left) and counterparty (right)



Source: Bank of Albania.

Chart 53 Return of International Reserve



	2020	2021	2022	2023	2024
Return of the reserve	0.792639945	-0.612301569	-3.18375817	3.434240273	2.91043163
Return of the market	0.347148189	-0.653864984	-4.385829857	3.215122427	2.89

*The return estimation does not account for the exchange rate effect.

Source: Bank of Albania.

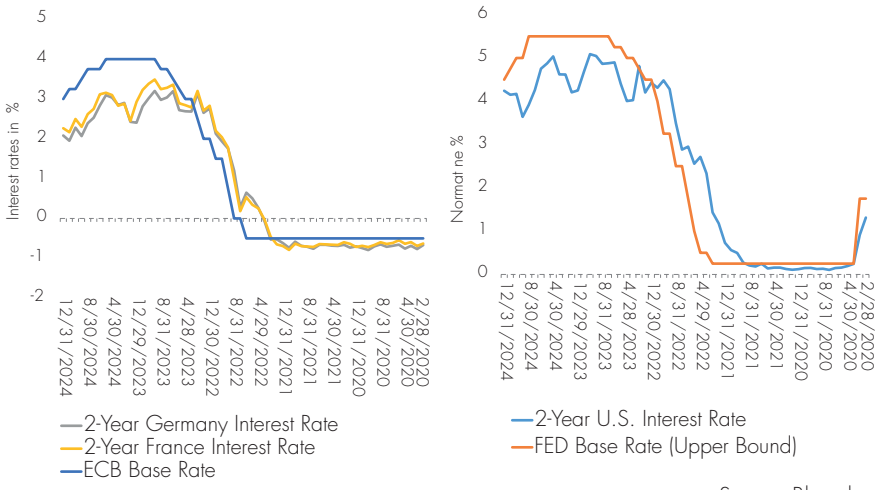
RETURN ON THE INVESTMENT OF RESERVE PORTFOLIO

The absolute return of the total reserve for 2024, including the fund managed by the World Bank, was positive at 2.91%. The return generated by the active management of the reserve portfolio was positive. For comparison purposes, the chart reflects the performance of the reserve portfolio return against market returns.[35]

The positive return of the reserve portfolio stemmed from the high interest rates recorded in international markets over 2024. Although the main central banks gradually dropped policy rates after the first six months, their overall level remains higher compared to the two previous years.

[35] *The market return reflects the aggregate performance of the markets in developed countries according to the share that the main currencies EUR, USD, GBP, JPY and AUD have in the international reserve portfolio.*

Chart 54 Two-year interest rates for government issuances with significant weight in the reserve portfolio



Source: Bloomberg.

OTHER DEVELOPMENTS RELATED TO THE INTERNATIONAL RESERVE

Cooperation with the World Bank in the framework of the Reserves Advisory Management Program (RAMP) continued in 2024 as well. The World Bank has continued to provide training and specialized education programs. These qualifications were aimed at consolidating and increasing the level of professionalism of the employees engaged in the process of managing the foreign exchange reserve, the staff that supports or monitors the progress of this process, as well as the bank's staff in general.

In addition, the deadlines for certain agreements have been renewed and postponed in favour of the Bank of Albania, in order to preserve the availability of necessary liquidity and support the country's financial stability. Therefore, the deadline of the existing agreement with the European Central Bank for the collateralized credit line of EUR 400 million, was postponed to January 2027. Whereas, the agreement based on Repo with the Bank for International Settlements for EUR 500 million, was renewed. Liquidity needs are supported by the Swap agreement with the People's Bank of China, for a sum of RMB 2 billion.

In term of the information technology infrastructure, the process of drafting the Terms of References (requirements and accompanying documents) to obtain a new system, was finalized. This system will support the activities carried out by the Department of Monetary Operations as they manage the foreign reserve fund and the implementation of the monetary policy. It will also support the payment services and transfer activities of the Department of Payments Systems, Accounting and Finance. For drafting and evaluating the requirements from the new system in support of the international reserve management, the Bank of Albania relies on the technical assistance of the World Bank. Meanwhile, to address the requirements of the new system for implementing monetary policy and providing payment and transfer services, technical assistance from the Bank of Italy was made available under the Regional Program for Strengthening the Capacities of Central Banks in the Western Balkans.

BOX 7: FLOWS AFFECTING THE INTERNATIONAL RESERVE IN 2024

During 2024, the gross international reserve, estimated and reported in Euro, increased by EUR 421 million, amounting to EUR 6,267.05 million at the end of December. The main factors that have impacted the gross foreign exchange reserve are grouped below:

- ***Transactions with the Ministry of Finance provided a negative impact, estimated at EUR 373.93 million, according to the following items:***

- *net inflows from grants and disbursement of loans from the World Bank at EUR 265.35 million;*
- *Net inflows from the purchase of foreign currency by the Bank of Albania and earned interest at EUR 108.13 million;*
- *transfers (outflows) for debt service and others at EUR 747.41 million;*

- ***Transfers from commercial banks and other entities provided a negative impact at EUR 327.71 million, according to the following items:***

- *transfers from commercial banks to their account at the Bank of Albania to fulfil the required reserve and manage the balance sheet exposures at EUR 3,338.94 million;*
- *transfers from commercial banks at the amount of EUR 3,669.62 million;*
- *net outflows on account of other entities (IDA, etc.) at EUR 2.97 million.*

- ***Bank of Albania's transactions provided a positive impact, estimated at EUR 896.55 million, according to the following items:***

- *net purchase of foreign currency by commercial banks and other institutions at EUR 916.55 million:*
  - *from commercial banks at the amount of EUR 913.80 million[2];*
  - *from other institutions at EUR 2.75 million;*
- *net sales of foreign currency to the Ministry of Finance of the amount of EUR 102.74 million;*
- *Inflows from interests, coupons etc. (calculated on a cash basis) created by the investment of the foreign exchange reserve, calculated at EUR 93.45 million;*
- *transfers amounting to EUR 10.71 million.*

- ***Market factors provided a positive impact in the amount of EUR 226.09 million, according to the following items:***

- *fluctuations in the exchange rate of the currencies constituting the foreign exchange reserve have positively affected the value of the gross reserve reported in Euro by EUR 157.08 million;*
- *the revaluation effect for the portfolio, as a result of interest rate fluctuations, is calculated at a positive value of around EUR 69.01 million[3].*

1. *The net effect of SWAP transactions with the Ministry of Finance was EUR 480 million in 2024, while the net impact of the transactions is neutral.*
2. *This does not include the amount of 25.5 million Euros from forward purchases with a foreign-currency value date of 6 January 2025.*
3. *This value contains also the impact created from the payment of coupons and securities and is corrected for transactions of purchase/sale/maturity of securities on cash basis.*

2.9 STATISTICS

In accordance with the provisions laid down in the Law "On the Bank of Albania," the National Statistics Programme and the Law on Official Statistics, the statistical function at the Bank of Albania aims to be unbiased, objective and reliable to the service of and in compliance with the legal objectives of the Bank of Albania, being the central bank of the Republic of Albania and the statistics agency within the National Statistical System.

In 2024, the statistical function at the Bank of Albania has been developed in the context of European integration and the adoption of the International Standards.

The statistics produced by the Bank of Albania – monetary and financial statistics and the statistics of the external economic sector[36] – are necessary to monitor and analyse economic and financial developments, providing reliable information for drafting the monetary policy and preserving financial stability. They guide decision-making institutions, financial markets and the wider public to take informed decisions and ensure transparency and compliance with international standards. In this framework, the Bank of Albania has continued to enhance the quality, granularity and adherence of the data with the highest international standards.

The integration of Albania into the European Union has brought about a number of challenges and obligations that must be fulfilled in regards to the compliance of our statistics system with the European one, including the European System of Central Banks (ESCB). The Bank of Albania has a key role in this process, by producing essential financial and macroeconomic statistical data in order to adopt the requirements imposed by the Eurostat and ESCB, as well by developing a contemporary IT infrastructure. In this context, in 2024 the Bank of Albania has increased the level of cooperation with the Bank of Italy (BdI) to modernize the infrastructure for processing statistics, analysis, and reporting in accordance with the technical standards followed by every central bank in member countries. At the same time, a number of new projects have been launched focused on shrinking statistical gaps, strengthening analytical capacities, and adopting advanced methodologies for processing and interpreting financial statistics.

In 2024, international institutions such as the IMF and the United Nations will review the two main methodological manuals: the System of National Accounts and the Balance of Payments Manual (BPM7) in response to the challenges of digitalisation, climate changes and Fintech developments. The priority of the Bank of Albania is to adopt these methodological changes. The Bank of

[36] *The statistics generated by the Bank of Albania and their respective methodology are published on the official website under Statistics.*

Albania has actively participated in international consultations on the IMPF/ BPM7 and has prepared an action plan for its implementation aiming to fully harmonise the balance of payments statistics and the international investment position.

The Bank of Albania remains unswerving in its engagement to generate qualitative statistical data, harmonise with the international standards which support informed decision-making and facilitate Albania's integration into the European system of statistics. Through ongoing investments in advanced methodologies, digital transformation and international cooperation, the goal of the Bank of Albania is to build a flexible statistical system, adequate to withstand future challenges.

In 2024, in the context of the methodological approximation of statistics with international standards and their harmonisation pursuant to the acquis communautaire, the following were carried out:

1. Reporting to Eurostat on quality reports for balance of payments statistics/international investment position statistics, financial and monetary indicators and financial accounts.

The implementation of the provision on data quality comes in line with the public commitment to harmonise with quality standards and the structure of European Statistics of the ESCB, in accordance with the content suggested and the ECB/EUROSTAT standard. In 2024, there has been an increase in the level of detail of the data delivered to Eurostat, particularly statistics on international trade in services and financial accounts reporting on cross-sectoral transactions. The latter provide a thorough analysis of the financial interactions between different sectors of the economy.

Eurostat deems the international trade in services statistics to be in full technical compliance with the EU acquis. Meanwhile, statistics on foreign direct investment have been evaluated to have "a high level of compliance" during this year as well.

2. The automation of the reporting of external sector statistics has continued with integration of the automated validation systems of Eurostat (STRUVAL and CONVAL), thus reducing manual handling and enhancing the efficiency of data transmission through the EDAMIS platform.

The implementation of these advanced quality-check methods is a contribution towards the full integration of Albania into the EU's statistical system, in a sustainable manner, free from methodological or technical obstacles.

3. IPA2022 Project on Foreign Direct Investment Statistics

In 2024, a new project supported by IPA2022 was launched with the purpose of fully aligning with the acquis regarding the complete range of foreign investment reporting, in accordance with the Commission Regulation of the EU[37].

4. Improving government finance statistics and fiscal supervision has been among the key objectives of the Bank of Albania throughout 2024.

In cooperation with INSTAT and the Ministry of Finances, the Bank of Albania continued its efforts to strengthen the compilation and reporting of data in the framework of the Excessive Deficit Procedure (EDP), which is an essential element of fiscal governance in the EU. Furthermore, the coverage of quarterly financial accounts for the government sector has also expanded, ensuring full compliance with the ESA2010 standard, and additional mechanisms that ensure data quality have been enacted.

5. The Bank of Albania has intensified the efforts to harmonise the quarterly financial accounts for the government sector and institutional sectors with the Eurostat's requirements, increasing compliance with ESA 2010 standards.

This process is being carried out in cooperation with SECO and the Graduate Institute of Geneva and aims to enhance methodological capacities and improve data consistency

6. As a member of the Committee for Statistical Data in Tourism, the Bank of Albania has been active in strengthening the analytical base and improving the quality of tourism data.

The Bank of Albania supports the Ministry of Tourism and Environment for its commitment and vision shown in the development of the 2025-2030 National Strategy for Tourism Development and Action Plan. This document represents an important step towards the sustainable and quality-oriented development of the tourism sector, creating a well-structured approach for economic growth and promoting Albania as a competitive travel destination.

7. The statistical function of BoA will adopt the EU's requirements on green finances and measure the impact of climate change on the financial sector.

The integration of financial stability indicators into monetary statistics has been a key development, putting special emphasis on assessing financial risks related to climate change and green finances. An analytical framework to assess the exposure of the Albanian financial sector to environmental risks was developed for the first time, fulfilling the international objective for the transparency of sustainable finance.

[37] *Regulation of the European Commission (EC) No 555/2012, amended, requires that member states of the EU report to EUROSTAT data on foreign direct investment once per year.*

8. The preparation and reporting of data from the Questionnaire on Access to and Use of Financial Services.

The FAS (Financial Access Survey) pilot project aims to improve the gathering and reporting of data on financial services access. One of the main objectives of this project is to expand the range of information collected with data from households and small and medium-size enterprises which are more detailed and structured, and which help in conducting a deeper analysis on the use of financial services. These data serve to identify the groups in need of support and for implementing more effective policies to improve access to finance and the use of financial services.

9. Completing the framework of Financial Soundness Indicators and implementing the changes outlined in the new FSI Guide (IMF, 2019), with an increased focus on the stability of the financial system.

The implementation of new requirements has led to the development and reporting of new indicators that complete the framework for assessing the soundness of the financial sector, particularly for other financial institutions, non-financial corporations, households, and real estate markets.

10. The harmonisation with international regulatory reporting standards for banking supervision.

To align with the EU regulatory requirements for banking supervision, the Bank of Albania has continued its work on implementing the European Banking Authority (EBA) reporting package, ensuring the harmonization of Albania's regulatory framework with international financial reporting standards (IFRS). A key step in this process has been the development of bridging tables, which serve as a tool to connect the current reporting framework with the standardized financial reporting requirements of banks (FINREP) according to the EBA standard.

In addition to adapting the methodology, the Bank of Albania has conducted a consultation with the banking sector to identify gaps and assess banks' readiness for implementing the new reporting system. This process has enabled the collection of important information on the technological capacitances available to banks, the need to improve their systems, and challenges they face in adapting to the new reporting standards.

The Bank of Albania has determined a clear deadline for the first transmission of FINREP data, allowing banks the time to adjust their systems. Simultaneously, internal capacities that manage these reports have been strengthened, through collaboration with analogous banks in the EU, and investing in an advanced data process platform in accordance with EBA's and ECB's requirements.

2.10 RESEARCH

The Bank of Albania aims to base its decision-making process on a solid foundation of knowledge and understanding of the Albanian economy. Investment in creating solid research capacities contributes to improving the quality of the Bank of Albania's work, reputation and credibility as an institution with the relevant methodologies and required know-how to guarantee the macroeconomic equilibriums of Albania. Therefore, the active development of scientific research assumes a primary role in the Bank of Albania's development strategy.

Scientific research at the Bank of Albania in 2024 has generally been focused on the analysis of economic and financial phenomena in the context of monetary policy and financial stability. Other research efforts were directed towards pertinent issues such as green finance and the challenges of the banking system in coping with unforeseen climate risk; improving education and financial inclusion in the country; as well as issues on international finance and development economics.

Based on the medium-term strategy of scientific research, the scientific investigation at the Bank of Albania in 2024 supported the decision-making process for the development and implementation of the Bank of Albania's policies through the creation of the necessary statistics and the enhancement of the portfolio of econometric models by utilizing the tools and techniques offered by artificial intelligence.

Projects subject to the monetary policy and financial stability decision-making have continued to focus particularly on analysing the economic challenges stemming from climate changes. Studies concentrated on the macrofinancial impact of these changes in Albania, focusing on carbon taxes and their subsequent socio-economic effects. In this context, climate transition scenarios have been assessed, comparing a gradual approach to an abrupt implementation of these policies.

The collaboration between the Bank of Albania and national and international institutions have become more involved for the purpose of implementing the green strategy. In this regard, the Annual Progress Report on the achievements and challenges of managing climate risks and the Report on the Assessment of the Banking Sector's Exposure to Climate Risks (2024) have been published. The latter constitutes an important step towards improving the sustainability of the financial sector and aligning it with international sustainability standards.

Research projects under the monetary policy framework focused on the impact of the money base structure and price responses, as well as the role of foreign reserves in stabilizing exchange rate. One particular study which focused on the exchange rate performance in Central, Eastern, and Southeaster European countries finds that the level of international reserves can play a key role in stabilizing the exchange rate, especially in countries with less developed financial systems.

The Bank of Albania has continuously paid special attention to improving communication with the public and the challenges posed by financial education and inclusion of individuals for the efficiency of transmitting monetary policy. In this context, a study has been conducted aimed at assessing the 'sentiment' in the Bank of Albania's monetary policy reports. It has been analysed through the 'web scraping' method, focusing on the terms 'tightening' and 'easing' to create an index that indicates the periods when one of these terminologies predominates.

Research efforts on financial stability focused on the impact of housing prices on economic stability and the impact of artificial intelligence (AI) on commercial banks. The rapid developments in AI require banks to adapt their management strategies, and authorities to take regulatory measures to balance innovation and security in the financial sector. In this context, the Bank of Albania developed a questionnaire aimed at collecting information on the potential benefits and challenges of adopting technological innovations.

Other research projects have focused on international economics and development. In this regard, two empirical analyses have been conducted for the Western Balkans countries, which show that the globalization of trade and the exchange of goods and technologies with environmental impact can enable economic growth and productivity, despite the risks posed by climate change. They also highlight that negative shocks such as the financial crisis, COVID-19, and geopolitical tensions have pushed the Western Balkans to deepen trade exchanges with other partners, particularly in sectors that impact the climate. Research on the 1965 monetary reform reveals that its implementation took place during a significant period for the economies. The study suggests that the monetary reform in Albania may have been driven by external factors, in addition to internal ones, and this may have contributed to its misunderstanding by the population.

These and other studies have been the subject of discussion in activities and conferences organized by the Bank of Albania or other institutions. In this context, the Bank of Albania organized the '18th Regional Research Meeting for Southeaster Europe' on November 19-20, 2024. This scientific research activity serves as a forum for discussing research papers on current economic and financial issues, and encourages the exchange of views among researchers from the Bank of Albania, central bankers, and the academic community, both in the region and beyond.

More complete and detailed information on research papers published by the Bank of Albania is found on the official website of the Bank of Albania in the sub-category "Publications/Researches and Working papers". Other research works are published as articles in the "Economic Review" of the Bank of Albania. The semi-annual magazine "Scientific novelties at the Bank of Albania" informs about completed study materials or those that are still in process, materials presented in the "Friday Seminars", and other activities organized by the Bank of Albania throughout the year.

2.11 EUROPEAN INTEGRATION AND INTERNATIONAL COLLABORATION

Bank of Albania continued to contribute to the fulfilment of the obligations deriving from the opening of the negotiation process for the EU membership, the Stabilization and Association Agreement, the Progress Report of the European Commission, participation in joint EU-Albania subcommittees and the National Plan for European Integration. It chairs two Inter-institutional Working Groups of European Integration for two Chapters of the ACQUIS and has contributed substantially to six other chapters.

The Bank of Albania has continuously supported the European integration process, including active engagement and participation in inter-institutional groups and the drafting of strategic documents that facilitate the alignment of legislation and policies.

During 2024, work in this regard focused on preparing negotiating positions as a follow-up step to the publication of the Screening Reports by the European side for each chapter. The Bank of Albania, as the leading institution for Chapter 4 - Free movement of capital and Chapter 17 - Economic and Monetary Policies, has been maximally engaged in the successful preparation of negotiating positions for these chapters. It has had a leading role in the coordination of the work with the contributing institutions in these chapters, through meetings of inter-institutional European integration work groups and through cooperation with the Office of the Chief Negotiator. Also, the Bank of Albania has contributed to the preparation of negotiating positions for other chapters, such as Chapter 9 – Financial Services; Economic Criterion Chapter; Chapter 32 – Financial Control; and Chapter 18 – Statistics; Chapter 28 - Consumer protection. The negotiating positions clearly reflect the commitment of Albanian institutions to completing the process of aligning national legislation with that of the EU and achieving European standards in all relevant areas by 2027, as an ambition for the overall closure of membership negotiations.

Bank of Albania was represented at the annual high-level meetings of the Stabilization and Association Committee and in the meetings of two subcommittees: 10 Domestic Market and Competition as well as 2) Economic, Financial and Statistical Issues, as well as Economic and Financial Dialogue between the EU and Western Balkan Countries and Turkey. In the above mentioned meetings, issues such as: drafting and implementation of monetary policy, financial stability, indicators and developments of the banking sector, financial inclusion of the population, etc. were discussed at the political and technical level.

In October 2024, the European Commission submitted to the Albanian authorities the Progress Report 2024, which describes the progress made by Albania during the year. In chapter 4, Albania has a moderate level of readiness regarding the free movement of capital. At the same time, progress has been made in further aligning payment systems with the EU acquis, as well as in the measures taken to remove Albania from the grey list of the Financial Action Task Force (FATF). In Chapter 17, Albania ranks between a moderate and good level of preparedness in the area of economic and monetary policy, with progress being made through the efforts of the Bank of Albania to maintain price stability and adhere to the fiscal rule.

COOPERATION WITH INTERNATIONAL INSTITUTIONS

The Bank of Albania has closely cooperated with international institutions within the framework of institutional engagements, exchanging analysis and opinions that have improved the coordination of macroeconomic policies and professional expertise.

RELATIONS WITH THE INTERNATIONAL MONETARY FUND

Albania's relations with the IMF continue to be focused on Article IV consultations. On 17 January 2025, the Executive Board of the IMF concluded the Article IV consultations with Albania, at the end of which it published positive assessments on the performance of the Albanian economy as well as other public economic policies being followed and made the relevant recommendations.

The Republic of Albania continues to stand in the SDR 139.3 million quotas (0.03% of the total) and owns 2,858 votes or 0.06% of the total sum of the votes of all members of the IMF. It is in the same constituency with Italy, Greece, Portugal, Malta, and San Marino. As of 31 December 2024, outstanding purchases and loans stand at SDR 96.18 million.[38]

RELATIONS WITH THE WORLD BANK GROUP

The World Bank Group began working in Albania in 1991 and has supported numerous projects aimed at alleviating poverty and providing sustainable means for the long-term development of the country. Albania is part of the constituency composed by Greece, Italy, Portugal, Malta and Timor-Leste.

Total loans extended by the World Bank Group amounts USD 520 million and that of grants amounts USD 1.6 million[39].

Cooperation with the World Bank has increased in the areas of payments, financial supervision, resolution, statistics, cybersecurity, education and financial inclusion, etc.

[38] *Information obtained from the official website of the International Monetary Fund for Albania.*
[39] *Information obtained from the official website of the World Bank Group for Albania, updated in October 2024.*

TECHNICAL COOPERATION

During 2024, continued the implementation of Phase II of the EU-funded "Programme for Strengthening the Central Bank Capacities in the Western Balkans with a view to the integration to the European System of Central Banks".

This program supports central banks and banking supervisory agencies in EU candidate countries and potential candidates in the Western Balkans. It aims to further strengthen institutional capacities, mainly through the further improvement of their analytical and policy instruments based on the best international and European standards into national practices. The program is supported by the European Union (EU) through its Instrument for Pre-Accession Assistance (IPA III).

During 2024, the Bank of Albania engaged in the trainings sessions hosted by the European Central Banks and benefited from the expertise of experts in the fields of monetary policy, financial stability, consumer protection, financial inclusion and financial education, payment systems, statistics, European Integration and legal aspects, and accounting. Furthermore, the Bank of Albania continued its close cooperation with the Bank of Italy and the Bank of Romania in the framework of implementing bilateral measures in the fields of accounting, reserve management and human resources.

OTHER ACTIVITIES AND PARTICIPATION IN INTERNATIONAL ACTIVITIES DURING 2024

- On 16-17 January, the Governor of the Bank of Albania, Mr Gent Sejko, attended the Central and Eastern European (CEE) Forum. This annual event hosted by Euromoney brings together renowned figures from academia, leading stakeholders in economy and finance from the CEE countries - to discuss the latest economic developments mainly in its eastern and southeaster region.
- On 16 February, the International Monetary Fund/World Bank Group constituency meeting was held for the first time in Albania at the premises of the Bank of Albania. This meeting, organised under the auspicious of the Bank of Albania and the Ministry of Finance, brought together governors and ministers of finance from the member countries under this constituency.
- On 13 March, the Governor of the Bank of Albania, Mr Gent Sejko had an official visit to the Bank of Italy, in the context of the excellent relations between the two central banks and the future development of technical cooperation in various fields. During the visit, Governor Sejko met with Mr Fabio Panetta, Governor of Banca d'Italia and other senior managing executives.
- On 18-21 April, the Governor of the Bank of Albania, Mr Gent Sejko, attended the Spring Meetings of the International Monetary Fund (IMF) and the World Bank Group (WBG) in Washington D.C., USA. The Spring Meetings bring together central bank governors, ministers of finance of member states, executives from international financial

institutions, and representatives from academia, private sector and civil society.

- On 1 October 2024, the Governor of the Bank of Albania, Mr Gent Sejko attended the High-Level Conference of the National Bank of the Republic of North Macedonia and Reinventing Bretton Woods Committee, on "Central Banks and Central Banking in a Highly Complex World: Demonstrating Commitment and Preserving Credibility",, held in Skopje, North Macedonia.
- On 24-27 October, the Governor of the Bank of Albania, Mr Gent Sejko, attended the 2024 Annual Meetings of the International Monetary Fund (IMF) and the World Bank Group (WBG), held in Washington DC, USA.
- On 15 November the Governor of the Bank of Albania, Mr Gent Sejko, attended the high-level Conference on "Bridging Borders, Building Futures: SEPA Integration for Financial inclusion - Empowering Growth and Financial Resilience" hoisted by the Central Bank of the Republic of Kosovo on the occasion the 25th Anniversary of its foundation. Governors of central banks, high-level managers of regional supervisory authorities and representatives of international financial institutions attended this Conference.

2.12 TRANSPARENCY AND PUBLIC COMMUNICATION

Public communication is an important pillar in Bank of Albania's activity for both fulfilling the responsibility to offer maximum transparency about decision-making and in order to increase its effectiveness, through strengthening its credibility. In this framework, to the Bank of Albania the interacting communication with the public is a primary issue of strategic importance, to transmit its activities to the public opinion, as correctly and comprehensibly as possible.

AN OPEN AND TRANSPARENT CENTRAL BANK

Beyond legal obligations, the Bank of Albania communicates a diverse information to the public regarding its role and activity, ranging from the decision-making of the Supervisory Council to its daily operational activity. This transparent communication, which passes through multiple communication channels, contributes to increasing the effectiveness of the policies followed by the Bank of Albania, making the public understand the decisions it has taken.

During 2024 the Bank of Albania continued publishing regular reports, surveys, analyses, evaluations and opinions on the country's macroeconomic situation as well as the Bank's role in supporting it. In this framework, the eight decisions of the monetary policy were accompanied by press conferences held by the Governor. Its aim is to explain the reasons for the decisions taken by the Supervisory Council, to the public. Each press conference were followed by publication of the Governor's speech, and related Question & Answer.

Also, after each meeting, a brief summary of key decisions taken by the Supervisory Council of the Bank of Albania was published. All public decisions of the Supervisory Council, as well as orders or acts of the administrators, applicable by entities licensed by the Bank of Albania, were fully published in the Official Bulletin of the Bank of Albania, in 9 issues of this publication.

Communication with the media has been ongoing throughout 2024, through press conferences, speeches, presentations and announcements in activities organized by the Bank of Albania or other institutions. This includes dedicated interviews, participation in television shows, and expressing positions of public interest, or other activities by the Governor as well as other representatives of the Bank of Albania. These communication formats have resulted in 170 speeches, announcements and press conferences,111 interviews and participation in television shows and 7 "off the record" presentations of periodic reports.

In a world where information flows rapidly and digital platforms are becoming the main sources of communication, the Bank of Albania has increased its interaction with the public through its presence on Linkedin, X, Facebook, YouTube, Flickr and, most recently, Instagram.

BOX 8: ACTIVITIES WITHIN THE COUNTRY, ORGANIZED DURING 2024

- *On 8 and 9 February, the Bank of Albania, in collaboration with the World Bank, organized the workshop "Modernization of Payment Systems in Albania", with the participation of key actors in the payment system and the infrastructure of financial markets. First Deputy Governor, Ms Minxhozi emphasized the importance of international cooperation in this field, as well as the priorities of the Bank of Albania for implementing the law 'On Payment Services' (PSD2), integration into SEPA, and the development of fast payments.*
- *On 16 February, the Bank of Albania held for the first time in Albania the IMF & WB Constituency Meeting, bringing together governors and ministers of finance from the member countries. The meeting focused on addressing economic challenges and coordinated approaches to development.*
- *On 28 February 2024, the Bank of Albania, in cooperation with the Ministry of Finance, organized the Ministerial "Western Balkans towards the European Payment SEPA) The Ministerial brought together Ministers of Finance and Governors of central banks from the countries in the Western Balkan, with the participation of representatives of the European Commission, the World Bank and the EBRD. Governor Sejko highlighted the importance of the Western Balkans' economic integration with the EU, particularly through payment systems and SEPA membership.*
- *On 28 March, Governor Sejko receives in an official visit the Governor of the National Bank of Croatia. Boris Vujčić. This visit, which marks an important step for the further development of bilateral relations between the Bank of Albania and the Croatian National Bank.*
- *On 14 June, the Bank of Albania, in cooperation with the World Bank, organized the workshop "Albania's path to SEPA integration, financial inclusion and education. This activity focused on the progress of Albania's integration into SEPA, its benefits and the importance of financial inclusion and education in market development and social well-being.*
- *On 11 July, Bank of Albania in collaboration with the Centre for Economic Transition Expertise at LSE organize the workshop ''Navigating Interconnected Risks: Implications of Environmental Degradation and Climate Change''. This workshop brought together representatives from key public and private institutions in Albania, prominent national and international experts, policymakers, and economists, with the main goal of engaging various actors in a dialogue about the challenges posed by climate change and its implications on the economy and finance.*
- *On 7 October, Governor Sejko receives in an official visit the Governor of the National Bank of Croatia Mr Robert Holzmann. This visit represented a step forward in strengthening bilateral cooperation between the two central banks.*
- *On 13 November the Bank of Albania in cooperation with the Albanian Association of Banks organized the annual conference: "The role of central banks and banking systems on the path to EU" In particular, the 'Governors' Panel' discussed the institutional strategies and perspectives*

of the banks in the region, regarding price stability, the challenges faced by central banks and the banking system, as well as the opportunities and challenges by the convergence process within EU.

- *On 19-20 November 2024, the Bank of Albania hosts the 18th SEE Economic Research Workshop for Southeast Europe. 25 research materials were presented at this workshop by authors from the Bank of Albania and researchers from central banks and international universities such as those in Austria, Italy, and Turkey.*
- *On 5 December 2024, The National Payment Systems Committee held its tenth meeting, chaired by Mrs, Luljeta Minxhozi, and First Deputy Governor of the Bank of Albania. Gent Sejko, held the opening speech, where he declared that the last decade has marked a revolution for the payment area in Albania, radically transforming every aspect of the system. The Governor highlighted that the Bank of Albania has been a leader in this transformation, showing a proactive side in regard to technological changes in the international payments environment, and guiding the market towards the controlled adoption of these changes.*
- *On 16 December, on the occasion of the end-of-year, Governor Sejko held a meeting with publicists, politics and economics analysts, and representatives of the media. During this event, the three winners of the Governor's Award for the Best Diploma Thesis 2024 were announced.*

A RESPONSIBLE AND ACCOUNTABLE CENTRAL BANK

Bank of Albania aims to inform citizens, and in particular the Parliament, on all its activities.

Institutional relations with the Assembly develop in several directions, where the most significant ones are the Governor's hearing sessions in the Parliamentary Commission of Economy and Finance (CEF) and plenary sessions of the Assembly. In May 2024, the governor presented the Annual Report of the Bank of Albania for 2023 to CEF and after, in July to the Assembly of Albania, responding to MP's interest in related matters. As every year, the Governor presented in November 2024, in a special hearing of the CEF, the opinion of the Bank of Albania regarding government' draft-budged for the upcoming year (2025).

During 2024, three special hearings were held in various Parliamentary Committees, where Governor Sejko presented the Bank of Albania's opinion on issues including non-bank financial entities (May) the preparedness of Albanian institutions regarding the Single Euro Payments Area - SEPA (July), and disinformation and the impact on the financial system (October).

Citizens may find comprehensive and up-to-date information on the financial and economic situation as well as on main macroeconomic developments, the role and the contribution of the Bank of Albania in this regard, on the official website www.bankofalbania.org: www.bankofalbania.org. During 2024, the

Bank of Albania continued its regular update of its website, which had around 2.2 million visitors, who browsed in total around 8.4 million pages.

Periodic and non-periodic publications carried out in 2024, consisted of about 3000 pages of analyses, statistics and research in both Albanian and English. The set of periodic reports was the same as in the previous year: Annual Report, Quarterly Monetary Policy Report (quarterly), Financial Stability Report (semi-annual) and Supervision Report (Annual). In addition to periodic reports, the following were published with the Official Bulletin, the semi-annual Central Banking, the semi-annual Economic Magazine of the Bank of Albania, the semi-annual magazine "Research newsletter", as well as various study and educational papers.

In order to inform the public, the Bank of Albania informs its citizens in writing or in electronic form, depending on how they want to receive this information. During 2024, 74 official requests addressed to the coordinator for the right to information were answered. Additionally, 2400 correspondences between departments within the Bank of Albania and the general public on receiving information, complaints and questions regarding the banking system have been received by the Bank's official contact address at public@bankofalbania.org.

2.13 FINANCIAL EDUCATION

Public financial education is a significant part of the activity of the Bank of Albania. It is realised through educational activities and programmes, visits at the Museum, exhibits, as well as well as special publications. Two are the main goals of the activities prepared by the Bank of Albania: presenting the central bank, its functions and role to the public; and cultivating and strengthening financial literacy in the Albanian society.

"THE BANK OF ALBANIA FINANCIAL EDUCATION AND FINANCIAL INCLUSION STRATEGY"

At the beginning of 2024, the strategy of the Bank of Albania on Financial literacy and inclusion was drafted - the first institutional document that promotes financial literacy, and encourages financial inclusion, prosperity and stability.

In this first year of implementation of the strategy, the aim has been not only to increase and enrich educational activities, but also to include the largest possible number of people - with special attention to vulnerable groups, as well as to adapt educational materials and programs to the real needs of these groups, identified through research. Thus, the focus was broadened to include not only children but also adults, categorized according to their specific needs, and engaging with them at appropriate stages of the life cycle. Nearly 10,000 participants of all ages have participated in our educational activities.

NATIONAL STRATEGY FOR FINANCIAL EDUCATION AND FINANCIAL INCLUSION

In 2024, work also began on drafting a National Strategy for Financial Education and Financial Inclusion (NSFEFI) with the establishment of inter-institutional structures, namely the Steering Committee and the Technical Committee. Their task is to define and coordinate the objectives, instruments, action plan, and financial education programs in the country, in implementation of the NSFEFI.

On 15 June 2024, chaired by the First Deputy Governor, Ms Minxhozi, the Technical Committee held its first meeting, with the participation of representatives from the Albanian Association of Banks, the Albanian Microfinance Association, Junior Achievement of Albania, and World Vision Albania.

EDUCATIONAL PUBLICATIONS

During 2024, a new educational brochure "What Do Banks Offer?" was compiled, explaining in a simple language the main banking products and services offered in the Albanian market.

Likewise, the distribution of textbooks "Personal finances in your hands" for high schools, which have chosen to develop the subject has continued as well as the distribution of brochures and educational materials prepared in previous years mainly for Museum visitors.

THE MUSEUM OF THE BANK OF ALBANIA

Also this year the Bank of Albania Museum continued its mission which presents the history of the national currency and the central bank, as well it promotes financial education to the public. During 2024 the Museum was visited by about 5200 visitors, or about 13% more visitors than in the previous year (4600 visitors). Visiting the Bank of Albania Museum has become integrated into the educational curriculum or even leisure time for elementary students, high schools and university students.

During the year, the Museum of the Bank of Albania has organized a number of activities, including:

- Exhibition: "Berat in the 8th-20th century: Economic and Commercial Development: Special Collections of Local Banknotes and Coins Reflecting the Monumental and Cultural Heritage of Berat' was held on April 18 and 19, 2024, in collaboration with the National Museum Centre of Berat.
- On the International Day of Museums, 18 May 2024, with the theme 'Museums for Education and Research,' the Bank of Albania Museum remained open to the public with extended hours and no restrictions on visitor numbers. On this occasion, the program included exhibitions of historical documents, animated films, and artistic works by students.
- The Museum Nights lecture series, given by prominent figures from various fields, addresses the history of money and banking, economics, finance and financial education, numismatics, as well as disciplines such as philately, art, and architecture. Thus, during the month of October, 2 lectures were delivered: Inflation and its Impact on the Cost of Living," by economics expert Prof. Assoc. Dr. Selami Xhepa; and "Psychology of money and personal growth" , by Prof. Assoc. Dr. Niko PANO;
- The joint exhibition with the Museum Centre in Durrës, organized on November 7–8, 2024, at the Venetian Tower in Durrës, showcased photos and information about the monetary tradition of ancient and medieval Dyrrachium, as well as the treasures discovered in this city.

ORGANIZATION OF EDUCATIONAL ACTIVITIES

- Global Money Week 2024, under the slogan "Protect your money, secure your future!", 18 March2024. This activity focused on raising awareness about the importance of cybersecurity and shared clear and practical messages and advice for children and adults on recognizing and avoiding the risks they may encounter while navigating the internet, the importance of keeping personal information safe, avoiding

suspicious messages and websites, as well as protecting financial information from fraud and other online threats. As part of this event, educational and awareness-raising activities were organized, directly engaging over 4,750 pupils and students from more than 165 schools of all levels across the country.

- Exhibition: " MONEY smART - Financial education for all'' June-November 2024 This exhibition is the result of the common work of the Bank of Albania and the World Bank, with financial support from SECO, as part of the Bank of Albania's Strategy for Financial Education and Inclusion. The educational exhibition of the Bank of Albania it was held for the first time in Tirana on 13 June 2024 aims at introducing to the general public a diverse range of information on financial issues that are relevant to the banking consumer, presented in a simple and attractive manner. In the following months, the exhibition also travelled to Korça (October 17–18, 2024), Shkodra (October 31 – November 1, 2024), and Durrës (November 7–8, 2024).
- The Workshop: "Albania's path to SEPA integration, financial inclusion and education", 14 June 2024 The Bank of Albania and the World Bank co-organised the Workshop: "Albania's path to SEPA integration, financial inclusion and education" Discussions in this activity focused on the integration status of Albania in the Single Euro Payments Ares and the benefits for Albania, as well as on the importance of financial inclusion and education for the development of market and social welfare.
- Youth School for Financial Education, 5-6 October 2024, took place at the premises of the Bank of Albania (Dajti Building), with the participation of around 60 students of high schools from Tirana, Durrës, and Elbasan. The two-day activity was organized as part of the initiative of the Albanian Government to improve financial education in pre-university education, led by the Minister of State for Youth and Children, in collaboration with the Ministry of Education and Sports, the Bank of Albania, and other stakeholders. The educational program aimed to help young people acquire sustainable financial skills. Based on its impact and success, this pilot program for financial education for youth may be extended nationally in the future and be included in the curriculum of pre-university schools.

3. HUMAN RESOURCES AND INFRASTRUCTURAL CAPACITIES

The Bank of Albania aims to develop its human resources in accordance with its strategic objectives and relevant policies, by creating an adequate and motivating work environment. This approach not only helps increase the professionalism and skills of employees, but also contributes to the continuous improvement of the organisation's administrative processes.

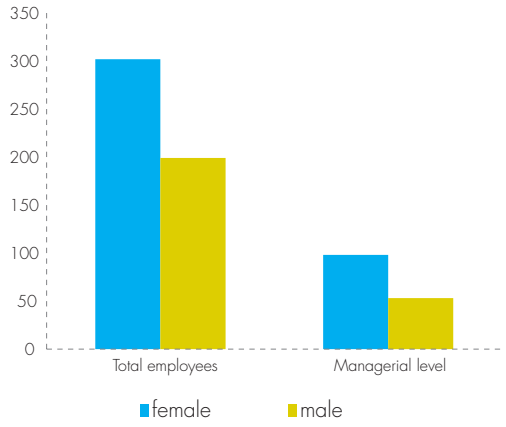
3.1. HUMAN RESOURCES

Pursuant to the medium-term strategic objectives of the institution, the human resources management policy has focused on the implementation of the most advanced models and practices in this field. We are focused on the professional development of staff, the establishment of a motivating and highly responsible work environment, as well as the improvement of the Bank's legal framework and organizational structure. This has been achieved through the continuous adoption and implementation of best human resource management practices, as applied in similar institutions within the European Union.

Effective human resource management requires continuous updating and adjustment of the institution's regulatory infrastructure, aligning it with the best standards and enabling ongoing development and advancement for employees with professional experience. Through policies aimed at enhancing professional competencies, the goal is to maintain staff stability and identify new talents. The implementation of policies for employment, management, and career advancement aims to create and maintain an efficient, professional, and dynamic organizational structure. Also, the rationalization of the organizational structure and the improvement of institutional performance, in line with strategic objectives and the relevant regulatory framework, remain at the core of these policies.

Some statistics, including gender representation and professional training, for the Bank's staff are provided below. The female-to-male ratio among the total staff is approximately 60% - 40%, while this ratio at the managerial level is 62% - 38%. The average age of the staff is 46 years, while special attention has also been given to the combination of experienced staff with new staff. Around 88% of the employees at the Bank have higher education, and about 58% of them have completed postgraduate studies at the

Chart 55 Male/female ratio at the Bank of Albania



Source: Bank of Albania.

Master's/PhD level, as well as obtained professional certificates recognized by international institutions.

Indeed, another crucial aspect of human resources policies is ensuring the provision of high-quality training, both domestically and internationally, to facilitate the implementation of new work processes. Participation in these specialized training, organized by central banks, international financial institutions(IFIs) or other institutions, besides increasing the professional knowledge, serves the staff of the Bank also to exchange professional and managerial experiences with representatives of other financial institutions.

Professional training activities have covered a wide range of Bank functions, with the aim of strengthening the institutional capacities of central bank. Its distribution for 2024 is as follows: in the area of Payment Systems (10.73%), Central Banking (9.87%), Financial Statistics (9.01%), Banking Supervision (8.15%), Monetary Operations (7.30%) and Informatics (7.30%). The rest of the training has been organised in areas such as: monetary policy, resolution, information technology, internal auditing, etc.

Likewise the previous years, training activities have been carried out, via online platforms as well.

During 2024 several activities were organized within the cooperation agreements of the Bank of Albania with homologue institutions such as: State Secretariat for Economic Affairs (SECO), European Commission (EC), European Central Bank (ECB) and Bank of Germany, European Banking Authority (EBA), etc. 27 different activities with the participation of 65 employees are realised in the framework of these agreements, aiming at acquiring the targeted and specific information.

3.2. INFRASTRUCTURE IMPROVEMENTS

The Bank of Albania underwent continuous improvements in information technology systems and infrastructure.

Special attention has been paid to cybersecurity. In this regard, a series of initiatives have been undertaken – aimed at increasing the security level of infrastructure and information systems – including further enhancement of the regulatory and procedural framework, continuity plans, and the updating of Security and Protection Systems. These initiatives help ensure a faster response to security events, as well as increase awareness and responsiveness to cybersecurity threats.

The Bank of Albania has intensified controls and monitoring over the systems and services it provides. In addition, special attention has been given to intensifying

awareness campaigns to increase the preparedness level of responsible staff, as well as enhancing the vigilance of every employee in using electronic systems and services, regarding their response to various forms of threats they may face, in order to avoid falling victim to cyber threats.

The Bank of Albania has carefully monitored every cybersecurity event in the Republic of Albania, and beyond, while simultaneously intensifying cooperation with foreign and domestic institutions within the framework of improving security, such as the International Monetary Fund and the World Bank. National Cyber Security Authority (NCSA), and the Albanian Association of Banks (AAB).

Further modernisation of Payment Systems from an infrastructural perspective was important objective of the Bank of Albania over the course of 2024. This approach is a response to technological developments, precedes European integration, and expands the use of electronic payment services at the national and regional levels. At the same time, it addresses the need to implement strong security rules and protective measures to tackle all risks. It is achieved through the implementation of the best international standards and the legal and regulatory acts approved at the national level for cybersecurity.

4. INTERNAL AUDIT

The main objective of the Control Department is to ensure compliance with the laws and by-laws in the activity of the Bank of Albania. The internal audit function ensures periodically and independently to the Bank's Administrators the verification and evaluation of internal audit systems by testing the effectiveness of the in-place controls and procedures. Internal audit at the Bank of Albania is carried out by the Control Department.

4.1. HIGHLIGHTS IN INTERNAL AUDIT IN 2024

A. Implementation of the Internal Audit Policy

The Annual Internal Audit Plan at the Bank of Albania was reviewed and approved in accordance with International Standards on Auditing. The annual plan for 2024 was drafted by the Department of Audit and the Inspector General and it was submitted for review by the Audit Committee. Furthermore, agreed by the Audit Committee, the plan was presented to the Supervisory Council, and was approved by its Decision No. 52 dated 06.12.2023.

B. Internal Audit Quality Assessment Programme

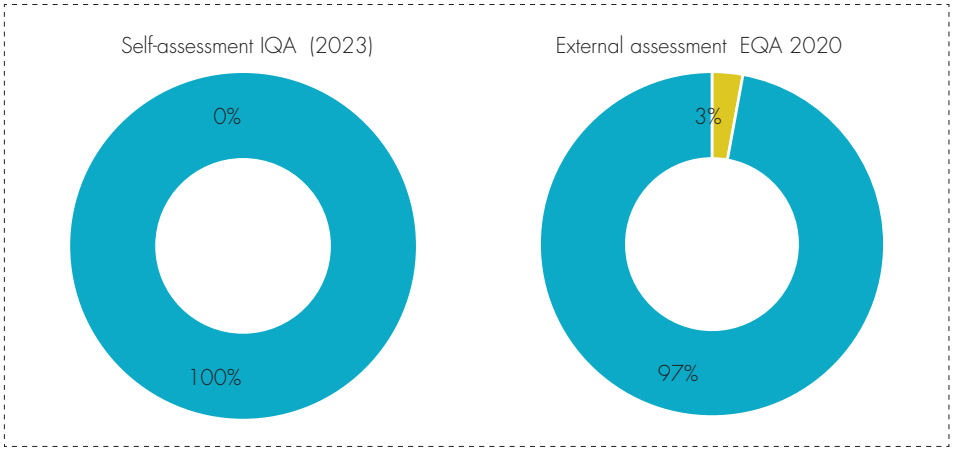
The International Standards for the Professional Practice of Internal Auditing (Standards) require that an external quality assessment (EQA) of the internal audit activity to be performed at least once every five years by a qualified, independent appraiser or evaluation team from outside the institution. The standards also require a periodic self-assessment to be performed every 2 years.

The overall opinion of self -assessment is: The Bank of Albania's Internal Audit Activity is "Overall Compliant"[40], as the highest rating with the Standards of the Institute of Internal Auditors (IIA) and the Code of Ethics according to the IIA Quality Assessment Manual. This level of compliance demonstrates a clear goal and commitment to achieving the Essential Principles for the Professional Practice of Internal Audit and the Definition of Internal Audit.

The following highlights the improvements in the Internal Audit practice of the Bank of Albania according to the last self-assessment, the EQA 2020 assessment.

[40] *The IIA Quality Assessment Manual suggests a three-point scale, "Overall compliant, "Partially compliant" and "Non-compliant".*

Compliance levels according EQA	Standards assessed during EQA (2023)	Standards assessed during EQA (2020)
Non compliant	0	0
Partially compliant	0	3
Overall compliant	104	101
Overall assessment	Overall compliant	Overall compliant
TOTALI	104	104



The observations addressed by the evaluation team are divided into two categories: Successful Internal Audit Practices and Opportunities for Continuous Improvement. Currently, all the addressed recommendations in view of engagements on Quality assessment have been implemented.

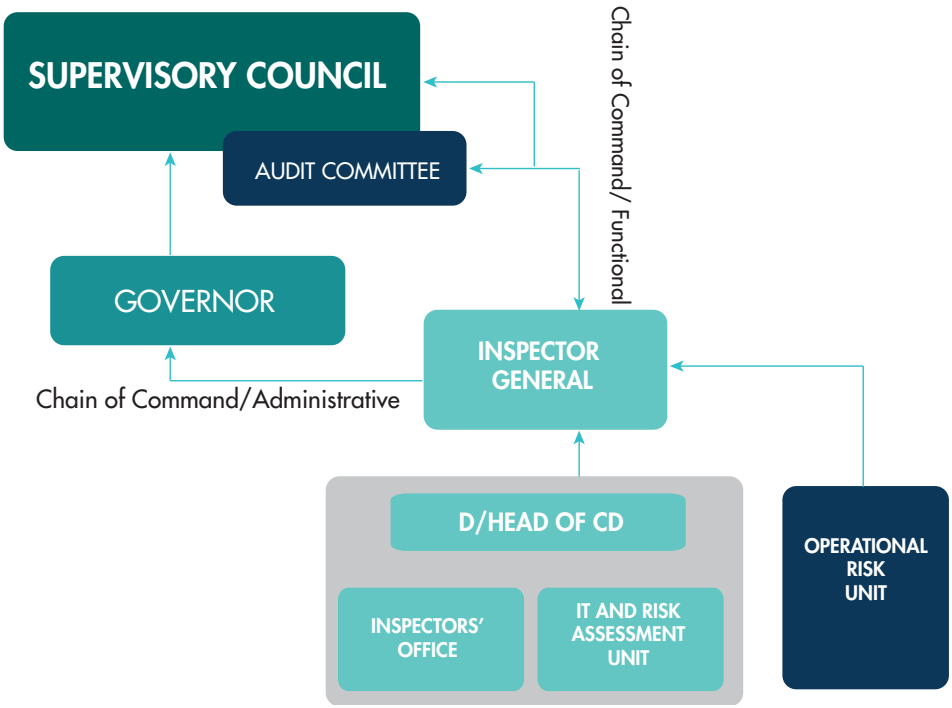
In 2024, the Global Institute of Internal Auditors published the new internal auditing standards, with an implementation date of January 2025. The new standards outline a reorganization to make them easier to use, placing greater emphasis on the role of governance and the mutual relationship between senior management and the internal audit function. The Control Department plans to review the regulatory framework in 2025 to align it with the new standards.

4.2. ABOUT THE AUDIT DEPARTMENT

In accordance with the Law "On the Bank of Albania", the status of the Bank of Albania, the policy and regulation of the Internal Audit and the regulation of the Audit Committee, the structure of Control Department is presented in the following chart, with the purpose the preserving of the objectivity, independence, integrity of information, the efficient use of resources and the effectiveness of internal control systems at the Bank of Albania.

A. Organizational structure of Audit Department

Following is provided the organizational structure managed by the Inspector General:



B. Professional capacity building and continuous training

In order to meet the strategic objective regarding capacity building of internal audit staff members, the audit inspectors have participated in on-line training programmes for internal audit and risk management provided by central banks. They hold titles in professional certifications such as ACCA, CIA, CISA, and have also completed the minimum required hours for their maintenance.

4.3. ENGAGEMENTS AND MAIN FINDINGS IN 2024

Audit engagements conducted during 2024 are focused on: providing an opinion on the adequacy of the internal controls established by the Management for the audited functions/processes, including supporting applications for carrying out activities.

During 2024, total of 26 recommendations resulting from 11 audit engagements were addressed. The recommendations mainly addressed the need for improving the processes, especially in the context of improving the processes (70%); the review of the regulatory base (11%) and others on the implementation of the regulatory base (19%).

The findings and recommendations for each of the audits carried out during this period were first addressed to the heads of the units and then to the Bank of Albania's Administrators and the Audit Committee.

5. OPERATIONAL RISK MANAGEMENT

The main objective of Operational Risk Management is to: better manage uncertainties of the activity of the Bank; inform at any time the Administrators; assisting in the decision-making process on possible risks that may hinder the achievement of Bank of Albania's objectives or have adverse financial and/ or reputational impacts.

The Operational Risk Management Unit, as one of the second control lines in the Bank of Albania, has continued its activity aimed at strengthening and increasing its role. From the annual reports of the Bank's structures, it emerged that the internal controls set up by the structures are generally effective in minimizing/avoiding damage/risks deriving from accidents that have occurred. Examining the possibility of the emergence of new risks related to global events has been the constant focus of assessments and analyses of the Bank's exposure to operational risk.

A. Assessment of Operational Risk Management by international experts

METHODOLOGY USED BY IORWG

The growth and strengthening of the unit's activity is reflected in the latest assessment carried out by the international experts of the IORWG (International Organization Risk Working Group).

The Bank of Albania, as a member of the above-mentioned organization, participated in the periodic assessment conducted by this organization, which included 102 central banks, as well as supervisory and monetary authorities (such as BIS, ECB, FMN). The final assessment is as follows:

For 2024, the assessment by IORWG (International Organization Risk Working Group).for the Bank of Albania was 82.7%. This assessment is consistent with the recent positive self-assessments of the Bank of Albania and aligns with the 'Managed' category, where the majority of central banks are classified. From the "Advanced" category with 86%, it is only a few percentage points away, which is also the mid-term objective to be achieved by the unit.

AD-HOC	BASIC	MANAGED	ADVANCED	MATURED
<61%	≥61%	≥69%	≥86%	≥94%

The assessment is done periodically based on the IORËG assessment matrix, based on 5 main pillars:

a) the level of design of processes and control systems covering these processes;
b) the way and structure of the organization of the risk management function;
c) the level of accurate and timely reporting;
d) results after risk management; and
e) risk culture, which is a challenge that requires awareness and continuous training from the Bank's units.

The assessment conducted by the IORWG was carried out for all member central banks for 2024, following the annual survey. It certifies the level of maturity from an independent international organization, of Operational Risk Management at the Bank of Albania, the awareness and education of the population, which has influenced and will influence the good functioning and continuous improvement of basic and supporting functions, in the framework of risk management.

B. Business continuity management (BCM[41])

The purpose of "Business Continuity Management" is that in case of operational interruptions during a Crisis/Emergency, to support the Bank in its efforts to improve the reaction capacity, ensure the continuation of critical processes and recover the normal activity of the Bank as rapidly as possible. The Supervisory Council has approved a complete regulatory framework regarding Business Continuity Management.

An integral part of this regulatory framework are the individual business continuity plans for each department, the strategies that are followed as well as the tasks and responsibilities of each participant. Regular tests - to ensure their effectiveness - are carried out, such are: simulations and reactions to natural disasters, cybernetic attacks, etc.

In this framework testing of scenarios on DDoS bad Ranosmware cybernetic attacks was conducted in collaboration with other departments. The main objective of this testing was to assess and ensure that the Bank is prepared to respond effectively to an emergency resulting from cyberattacks. The testing was successfully conducted and helped raise staff awareness in dealing with these events.

Risk prevention, business continuity planning, and improvements in incident management are the main focus, to ensure the institution's resilience.

C. Whistleblowing function at the Bank of Albania

The consolidation of whistleblowing function has helped the Operational Risk Management as well. In compliance with the Law No.60/2016 "On

[41] *BCM - Business Continuity Management.*

Signalling (Whistleblowing) and Protection of whistle blowers", this unit aims to:

a) prevent and fight corruption at the Bank of Albania;
b) promote alerts on suspected corruption actions or practices;
c) protect whistle-blowers who signal suspected corruption actions or practices at their workplace.

The bank operated with the full regulatory basis, in addition to all the guidelines (annexes) and necessary tools to provide staff the possibility to signal suspicious cases.

For 2024, no suspicious cases or actions have been reported.

6. MEDIUM-TERM DEVELOPMENT STRATEGY OF THE BANK OF ALBANIA 2025-2027

The Medium-term Development Strategy sets out the institutional objectives of the Bank of Albania over the period 2025-2027, serving also as a guide for preparing the planned medium-term budget. These objectives also include the recommendations of the Assembly Resolution for the evaluation of the activity of the Bank of Albania.

In accordance with tasks determined in the organic law, the priorities in the activity of the Bank of Albania are:

a) Strengthening the efficiency, effectiveness of monetary policy, and the quality of decision-making, through (i) expanding the instruments of monetary policy to address new challenges; (ii) enhancing cooperation with the banking sector and other authorities for the development of the money market; and (iii) fulfilling the requirements for aligning the legislation with the Economic and Monetary Union.

b) Preventing systemic risks and the increase of the financial system's resilience, based on (i) the enrichment with macroprudential instruments targeting structural systemic risks; (ii) the enhancement of monitoring and analysis of the system's exposures to specific products and markets; (iii) the improvement of the supervisory framework in accordance with the requirements of Basel III and European legislation; (iv) the harmonization of the credit risk management process with the practices of the European Union; (v) the regular updating of the methodology for determining the minimum requirement, in the capacity of the Resolution Authority.

c) Promoting the smooth operation of payment system through: The implementation of an Instant Payments system with the Bank of Italy and (ii) accelerated participation in the Single Euro Payments Area (SEPA) by taking measures for the continuous updating of the regulatory and legal framework.

d) Preserving public confidence in Albanian banknotes and coins, and meeting the increasing needs of the economy for cash that is suitable for circulation.

e) Increasing investment capacities in line with the growth of foreign exchange reserves and including new classes of financial instruments for a more diversified portfolio.

f) Compiling and disseminating statistics through the development of skills for data reporting and the use of real-time visualization tools.

g) Enhancing the presence of the Bank of Albania in social media with an understandable language and the organisation of various activities for strengthening financial education and literacy in Albania.

h) Updating the general accounting framework, network infrastructure and IT security as well as strengthening of the internal control system.

i) Improving and modernizing the regulatory framework for overseeing cyber risk and aligning it with European legislation.

BANK OF ALBANIA

FINANCIAL STATEMENTS
AS AT AND FOR THE YEAR ENDED 31 DECEMBER 2024

(WITH INDEPENDENT AUDITOR'S REPORT THEREON)

Building a better working world

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INDEPENDENT AUDITORS' REPORT

TO THE SUPERVISORY COUNCIL OF BANK OF ALBANIA

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

OPINION

We have audited the financial statements of Bank of Albania (the "Bank"), which comprise the statement of financial position as at 31 December 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at 31 December 2024 and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRS").

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing ("ISA"). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code") and with Institute of Authorizes Chartered Auditors of Albania Code of Ethics ("IEKA Code"), together with the ethical requirements of the Law No. 10091, dated 5 March 2009 "On the statutory audit and the organization of the statutory auditors and chartered accountants professions", amended, that are relevant to our audit of the financial statements in Albania, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA and IEKA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OTHER INFORMATION INCLUDED IN THE BANK OF ALBANIA 2024 ANNUAL REPORT

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting. Those charged with governance are responsible for overseeing the Bank's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank of Albania's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves true and fair presentation.

We communicate with those charged with governance of the Bank of Albania regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Ernst & Young Ekspertë Kontabël të Autorizuar,
Dega në Shqipëri

Milka Natcheva Ivanova
Partner

Mario Vangjel
Certified Auditor

26 March 2025
Tirana, Albania

STATEMENT OF FINANCIAL POSITION

In ALL million	Note	31 December 2024	31 December 2023
ASSETS			
Cash and balances with banks	9	136,222	128,980
Trading assets	13	13,785	13,041
Monetary gold	10	26,724	21,039
Accounts with the International Monetary Fund	11	39,597	41,043
Loans to banks	12	59,056	44,755
Investment in debt securities	14	476,154	486,787
Property, equipment, right-of-use and intangible assets	15	21,521	21,574
Other assets	16	3,144	3,335
TOTAL ASSETS		**776,203**	**760,554**
LIABILITIES			
Currency in circulation	17	440,390	407,968
Due to banks	18	172,923	224,111
Deposits and borrowings from third parties	19	2,816	1,997
Due to Government and public institutions	20	132,036	105,024
Due to the International Monetary Fund	11	36,221	37,156
Other liabilities	21	845	983
TOTAL LIABILITIES		**785,231**	**777,239**
CAPITAL AND RESERVES			
Statutory Capital and Realized Reserves	22	53,332	40,721
Unrealized Revaluation Reserves	22	(62,360)	(56,974)
Retained earnings	20	-	(432)
TOTAL CAPITAL AND RESERVES	8I	**(9,028)**	**(16,685)**
TOTAL LIABILITIES, CAPITAL AND RESERVES		**776,203**	**760,554**

The financial statements were authorized for issuance by the Supervisory Council of the Bank of Albania and signed on 26 March 2025 on its behalf by:

Gent Sejko
Governor

Ledia Bregu
Director, Payment Systems, Accounting and Finance Department

The notes on pages 132 to 194 are an integral part of these financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

In ALL million	Note	2024	2023
Interest income calculated using the effective interest method	23	18,595	15,716
Interest expense	23	(3,013)	(2,166)
Net interest income		**15,582**	**13,550**
Fee and commission income		203	184
Fee and commission expense		(48)	(47)
Net income from fees and commissions		**155**	**137**
Net trading income	24	507	882
Net losses from sales of financial assets at FVOCI	25	(634)	(2,772)
Net other income		360	130
Net gain / (losses) from changes in the fair value of monetary gold	10	5,685	(128)
Net foreign exchange losses	22	(13,488)	(36,020)
Total income from banking operations		**8,167**	**(24,221)**
Impairment losses on financial instruments, net	8(E)(vi)(b)	8	(6)
Employee benefit expenses	26	(1,734)	(1,639)
Depreciation and amortization	15	(372)	(360)
Other general and administrative expenses	27	(881)	(826)
Net profit /(loss) for the year		**5,188**	**(27,052)**
Other comprehensive income:			
Items that cannot be reclassified to profit or loss at a future point in time			
Items that can be reclassified to profit or loss at a future point in time		**2,469**	**11,526**
Debt instruments at FVOCI – net change in fair value	22	2,469	11,526
Other comprehensive income for the year		**2,469**	**11,526**
Total comprehensive income /(loss) for the year		**7,657**	**(15,526)**

The notes on pages 132 to 194 are an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

	Statutory Capital and realized Reserves			Unrealized Revaluation Reserves				
In ALL million	Capital	Legal reserve	Other reserves	Revaluation reserve	Fair value reserve	Other reserves	Retained earnings / (Accumulated losses)	Total
As at 1 January 2023	2,500	12,500	25,721	(20,566)	(13,922)	2,188	(3,323)	5,098
Total comprehensive income								
Net result for the year	-	-	-	-	-	-	(27,052)	(27,052)
Other comprehensive income	-	-	-	-	-	-	-	-
Fair value reserve (debt instruments FVOCI)	-	-	-	-	11,526	-	-	11,526
Other comprehensive income, net of tax	-	-	-	-	11,526	-	-	11,526
Total comprehensive income	-	-	-	-	11,526	-	(27,052)	(15,526)
Transfers to unrealised reserves (Note 22)	-	-	-	(36,147)	-	(53)	36,200	-
Contributions and distributions								
Capital deficit reserve (Note 22,14)	-						(6,257)	(6,257)
Distribution to Government of Albania (Note 20)	-	-	-	-	-		-	-
Total contributions and distributions	-	-	-	(36,147)	-	(53)	29,943	(6,257)
As at 31 December 2023	2,500	12,500	25,721	(56,713)	(2,396)	2,135	(432)	(16,685)
Total comprehensive income								
Net result for the year	-	-	-	-	-	-	5,188	5,188
Other comprehensive income	-	-	-	-	-	-	-	-
Fair value reserve (debt instruments FVOCI)	-	-	-	-	2,469	-	-	2,469
Other comprehensive income, net of tax	-	-	-	-	2,469	-	-	2,469
Total comprehensive income	-	-	-	-	2,469	-	5,188	7,657
Transfers to unrealised reserves (Note 22)	-	-	-	(7,802)	-	(53)	7,856	-
Transfer to other realized reserves (Note 22)	-	-	12,611	-	-	-	(12,611)	-
Contributions and distributions	-	-	-	-	-	-	-	-
Distribution to Government of Albania (Note 20)	-	-	-	-	-	-	-	-
Total contributions and distributions	-	-	12,611	(7,802)	-	(53)	(4,755)	-
As at 31 December 2024	2,500	12,500	38,332	(64,515)	73	2,082	-	(9,028)

The notes on pages 132 to 194 are an integral part of these financial statements.

STATEMENT OF CASH FLOWS

In ALL million	Note	2024	2023
Cash flows from operating activities			
Net result for the period		**5,188**	**(27,052)**
Adjustments for:			
Depreciation and amortization	15	372	360
Net impairment (reversal) /charge on financials instruments		(8)	6
Net interest income	23	(15,582)	(13,550)
Net trading (gain)/loss	24	(563)	901
Net loss on sale of investments in debt securities	25	634	(2,772)
Net (gain)/loss from changes in the fair value of monetary gold	10	(5,685)	128
Net losses from foreign exchange	22	13,544	34,238
		(2,100)	**(7,741)**
Changes in:			
Trading assets		(162)	384
Monetary Gold	10	-	(2,270)
Accounts with the International Monetary Fund		1,234	6,194
Loans to and deposits with banks		(30,567)	6,359
Other assets		192	166
Currency in circulation		32,422	6,838
Due to banks		(46,374)	18,431
Deposits and borrowings from third parties		833	4
Due to Government and state institutions		28,955	45,205
Due to the International Monetary Fund		(970)	(4,735)
Other liabilities		564	66
Reserve		2,375	(57)
Other		75	171
		(13,523)	**69,015**
Interest received		17,471	14,486
Interest paid		(2,990)	(2,208)
Net cash flows from operating activities		**958**	**81,293**
Cash flows from investing activities			
Acquisition of investment securities		(239,929)	(323,294)
Proceeds from sold and matured investment securities		233,854	286,900
Acquisition of property, equipment and intangible assets		(319)	(560)
Net cash used in investing activities		**(6,394)**	**(36,954)**
Cash flows from financing activities			
Distributions to Government	20	-	-
Net cash flows from financing activities		**-**	**-**
Increase in cash and cash equivalents		**(5,436)**	**44,339**
Cash and cash equivalents at the beginning of the year		**128,980**	**90,273**
Effect of movements in exchange rates on cash held		(3,546)	(5,632)
Cash and cash equivalents at the end of the year	**9**	**119,998**	**128,980**

The notes on pages 132 to 194 are an integral part of these financial statements.

1. GENERAL

The Bank of Albania (the 'Bank') is the central bank of the Republic of Albania established pursuant to the Law No. 8269, dated 23 December 1997 "On the Bank of Albania", as amended.

Pursuant to this Law, the Bank's main responsibilities include:

- formulating, adopting and executing the monetary policy of Albania, which shall be consistent with its primary objective;
- formulating, adopting and executing the foreign exchange arrangement and the exchange rate policy of Albania;
- issuing or revoking licenses and supervising banks that engage in the banking business in order to secure the stability of the banking system;
- holding and managing its official foreign reserves;
- acting as banker, adviser to, and fiscal agent of the Government of the Republic of Albania; and
- promoting an effective operation of payment systems.

The Bank is subject to the regulatory requirements of the Assembly of the Republic of Albania and the Law "On the Bank of Albania", as amended.

Macroeconomic and geopolitical uncertainty

The war in Ukraine and in the Middle-East

So far, the war in Ukraine and tensions in the Middle East have induced volatility in global commodity prices, which has been reflected mainly in the food and oil prices in the domestic economy. As these prices declined in 2024, they contributed to a reduction in inflation in Albania. Overall, the Albanian economy continued to be highly resilient to external shocks. Economic growth was strong, the external sector maintained its positive momentum and the financial sector remained robust. However, geopolitical tensions remain a downward risk to the Albanian economy, primarily due to their potential spill over effects on the broader European economy. Looking ahead, there are additional risks arising from trade tariffs and their impact on international trade and inflation, which might affect central banks' monetary policies and international financial conditions. So far, there is a lot of ambiguity related to the degree and depth of such tariffs, however, the solid stance of the Albania's economy implies good absorption capacities of potential adverse shocks.

Inflation, interest rate, foreign currency fluctuations and the current economic environment

The Bank of Albania is legally mandated to design monetary, regulatory, supervision and macroprudential policies to support price and financial stability.

To effectively fulfil these responsibilities, the Bank operates with a high degree of operational and financial independence. This ensures that: (i) the BoA has both the authority and the obligation to implement policies and utilize instruments it considers most effective in achieving its objectives; and (ii) its decisions remain unaffected by their impact on the BoA's financial results.

The Albanian economy has maintained a strong performance despite a challenging external environment. Inflation steadily declined throughout 2024, reaching 2.2% from 4.8% a year earlier, while economic growth and the labour market have remained stable. Against the backdrop of falling inflation, the Bank of Albania has lowered the policy rate twice in 2024, bringing it down to 2.75%. This accommodative policy stance has been transmitted to the financial markets, which are characterized by favourable credit condition and a rise in the credit to the private sector. These positive trends have been reflected in the credit rating upgrades from S&P and Moody for Albania.

2. STATEMENT OF COMPLIANCE

These financial statements have been prepared in accordance with the International Financial Reporting Standards ('IFRS'), as issued by the International Accounting Standards Board (IASB).

3. FUNCTIONAL AND PRESENTATION CURRENCY

These financial statements are presented in Albanian lek ("ALL"), which is the Bank's functional currency. All amounts have been rounded to the nearest million, except when otherwise indicated.

4. BASIS OF MEASUREMENT

These financial statements have been prepared on a historical cost basis, except for the following items:

Items	Basis of measurement
Monetary gold	Fair value
Financial instruments at FVTPL	Fair value
Financial assets at FVOCI	Fair value

5. USE OF ESTIMATES AND JUDGMENTS

In preparing these financial statements, management has made judgments, estimates and assumptions that affect the application of the Bank's material accounting policy information and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

A. Judgments

Information about judgments made in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements is included in the following notes:

- Applicable to 2024 and 2023:
  - Note 7(A)(ii) and Note 8(A)– classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are solely payments of principal and interest on the principal amount outstanding;
  - Note 8(E)(vi)(a): establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining methodology for incorporating forward-looking information into measurement of ECL and selection and approval of models used to measure ECLs;
  - Note 7(B) – currency in circulation: classification of cash in circulation as a financial liability;
  - Note 7(G) – monetary gold: measurement of monetary gold at fair value with changes in fair value recognized in profit or loss; and
  - Note 7(V) - The Bank determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

B. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 December 2024 is included in the following notes:

- Applicable to 2024 and 2023:
  - Note 8(E)(vi)(a) and Note 7(A)(vii) – impairment of financial instruments: determining inputs into the ECL measurement model, including incorporation of forward-looking information and key assumptions used in estimating recoverable cash flows;
  - Note 7(A)(vi) – determination of the fair value of financial instruments with significant unobservable inputs; and use of fair value models.

6. CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

New and amended standards and interpretations.

The Bank has not early adopted any new standards, interpretation or amendments that have been issued but are not yet effective in these financial statements.

- IAS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current is to clarify the principles in IAS 1 for the classification of liabilities as either current or non-current.
  The amendments clarify the meaning of a right to defer settlement, the requirement for this right to exist at the end of the reporting period, that management intent does not affect current or non-current classification, that options by the counterparty that could result in settlement by the transfer of the entity's own equity instruments do not affect current or non-current classification. The Bank has re-assessed its accounting policies disclosure and the amendments had no impact on the measurement, recognition and presentation of the items in the financial statements.
- IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments Disclosure - Supplier Finance Arrangements (Amendments).
  The amendments supplement requirements already in IFRS and require an entity to disclose the terms and conditions of supplier finance arrangements. Additionally, entities are required to disclose at the beginning and end of reporting period the carrying amounts of supplier finance arrangement financial liabilities and the line items in which those liabilities are presented as well as the carrying amounts of financial liabilities and line items, for which the finance providers have already settled the corresponding trade payables. Entities should also disclose the type and effect of non-cash changes in the carrying amounts of supplier finance arrangement financial liabilities, which prevent the carrying amounts of the financial liabilities from being comparable. The Bank has re-assessed its accounting policies disclosure and the amendments had no impact on the measurement, recognition and presentation of the items in the financial statements.

Other amendments and interpretations apply for the first time in 2024, but do not have an impact on the Bank's financial statements.

The following amendments are effective for the periods after 31 December 2024 and are not expected to have a material impact on the Bank.

IAS 21 The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability (Amendments). The amendments are effective for annual reporting periods beginning on or after 1 January 2025, with earlier application permitted. The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. A currency is considered to be exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations. If a currency is not exchangeable into another currency, an entity is required to estimate the spot exchange rate at the measurement date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at

the measurement date between market participants under prevailing economic conditions. The amendments note that an entity can use an observable exchange rate without adjustment or another estimation technique. No impact is expected from the amendment as the Bank rarely enters in currency transactions with lacking exchange rate.

Annual Improvements to IFRS Accounting Standards – Volume 11. The IASB's annual improvements process deals with non-urgent, but necessary, clarifications and amendments to IFRS. The Annual Improvements to IFRS Accounting Standards - Volume 11, includes amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10, and IAS 7. These amendments aim to clarify wording, correct minor unintended consequences, oversights, or conflicts between requirements in the standards. The Bank will analyse and assess the impact of the new amendments on its financial position or performance.

7. ACCOUNTING POLICIES

The Bank has consistently applied the following accounting policies to all periods presented in these financial statements.

The Bank may recognise a financial asset or liability in its balance sheet if, and only if it becomes a party to the contractual terms of the financial instruments used. The Bank derecognises a financial asset from its balance sheet:

- when it loses control over the contractual rights that constitute the financial asset;
- when the obligation stated in the contract is extinguished, cancelled or expired.

A. Financial instruments

(i) Recognition and initial measurement

The Bank initially recognises loans and advances and deposits on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Bank becomes a party to the contractual provisions of the instrument. A financial asset or financial liability is measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

Financial assets and liabilities are recognised in off-balance-sheet accounts from the trade date to the date of their settlement and are recorded in the Bank of Albania's balance sheet at the settlement date (value date). The initial recognition is at acquisition cost, i.e. the fair price paid on acquisition. Transaction costs are included in the acquisition cost of all assets and liabilities, except for financial assets and financial liabilities recorded at FVTPL, where

transaction costs are added to, or subtracted from, this amount. From that moment on, any changes in their fair value are recognised by the Bank as income or expense.

(ii) Classification

On initial recognition, a financial asset is classified as measured at either one of the following categories:

- amortised cost (AC);
- fair value through other comprehensive income (FVOCI); or
- fair value through profit or loss (FVTPL).

A financial asset is measured at amortised cost if it meets both the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The business model of financial assets held to collect contractual cash flows includes all current accounts and deposits of the Bank with foreign correspondents, and the cash flows under the model used for these assets represent only principal and interest payments.

These financial assets are measured at amortised cost.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The business model of financial assets held to collect contractual cash flows and for sale includes: securities and investment. Assets in this group are measured, as follows:

- debt securities: at fair value in other comprehensive income.

All other financial assets are classified as measured at FVTPL.

Business model assessment
The Bank carries out an assessment of the objectives of a business model in which an asset is held at a portfolio level, because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed; how managers of portfolios are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how future cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL, because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment whether contractual cash flows are solely payments of principal and interest ("SPPI")
For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition. "Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;

— prepayment and extension terms; and
— features that modify consideration of the time value of money – e.g. periodical reset of interest rates.

Reclassifications
Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Financial liabilities

The Bank classifies its financial liabilities as measured at amortised cost. For details, refer to (B), (D) and (H).

(iii) Derecognition

Financial assets
The Bank derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred, or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of: (i) the consideration received (including any new asset obtained less any new liability assumed), and (ii) any cumulative gain or loss that had been recognised in other comprehensive income ('OCI'), is recognised in profit or loss.

Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognised as a separate asset or liability.

The Bank enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them.

In such cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions.

In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Financial liabilities

The Bank derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

(iv) Modifications of financial assets and financial liabilities

Financial assets
If the terms of a financial asset are modified, the Bank evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised (see (iii)) and a new financial asset is recognised at fair value.

If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Bank recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower (refer to (vii)), then the gain or loss is presented together with impairment losses. In other cases, it is presented as a separate line as an " interest income" (refer to Note 7(L)).

Financial liabilities
The Bank derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss.

(v) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Bank has a legal right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under the IFRS, or for gains and losses arising from a group of similar transactions such as in the Bank's trading activity.

(vi) Fair value measurement

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as "active" if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an on-going basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is neither evidenced by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument, but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Bank measures assets and long positions at a bid price and liabilities and short positions at an ask price.

The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Bank recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period, during which the change has occurred.

(vii) Impairment

The Bank recognizes loss allowances for expected credit losses "ECL" for financial assets that are debt instruments and are not measured at FVTPL.

The Bank measures loss allowances at an amount equal to lifetime ECL except for the following for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments for which credit risk has not increased significantly since initial recognition.

The Bank considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of "investment-grade".

12-month ECLs are the portion of ECLs that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognised are referred to as 'Stage 1 financial instruments'.

Life-time ECLs are the ECLs that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as "Stage 2 financial instruments".

Measurement of ECLs
ECLs are a probability-weighted estimate of credit losses and are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows.

For more details, refer to Note 8(D)(vi)(b).

Credit impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired (referred to as "Stage 3 financial assets"). A financial asset is "credit impaired" when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;

- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; and
- the disappearance of an active market for a security because of financial difficulties.

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors:

- the market's assessment of creditworthiness as reflected in the bond yields;
- the rating agencies' assessments of creditworthiness;
- the country's ability to access the capital markets for new debt issuance;
- the probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness; and
- the international support mechanisms in place to provide the necessary support as "lender of last resort" to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

Presentation of allowance for ECLs in the statement of financial position

Loss allowances for ECLs are presented in the statement of financial position as follows:

- financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- debt instruments measured at FVOCI: no loss allowance is recognized in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognized in the fair value reserve.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI. Financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

B. Currency in circulation

Currency in circulation includes banknotes and coins in circulation and is presented under liabilities as a net of nominal value of all the banknotes and coins issued and the nominal value of the banknotes and coins on hand as at the reporting date.

C. Cash and cash equivalent

Cash and cash equivalents include banknotes and coins on hand in foreign currency and highly liquid financial assets with original maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments.

Cash and cash equivalents are carried at amortized cost in the statement of financial position.

D. Financial assets and liabilities at fair value through profit or loss (Trading assets and liabilities)

Trading assets and liabilities are those assets and liabilities that the Bank acquires or incurs principally for the purpose of selling or repurchasing in the near term, or holds as part of a portfolio that is managed together for short-term profit or position taking.

Trading assets and liabilities are initially recognized and subsequently measured at fair value in the statement of financial position, with transaction costs recognized in profit or loss. All changes in fair value are recognised as part of net trading income in profit or loss.

E. Financial assets and liabilities at fair value through other comprehensive income

Financial assets and liabilities at fair value through other comprehensive income represent those for which the Bank expects to collect contractual cash flows by either holding or selling the instrument. Investment securities include debt securities measured at FVOCI; gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:

- interest revenue using the effective interest method;
- ECLs and reversals; and
- foreign exchange gains and losses.

When a debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

F. Loans and receivables

Loans and receivables include loans measured at amortised cost (refer to Note 7(A)(ii)); they are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method. When the Bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognised in the Bank's financial statements.

G. Monetary Gold

The Bank of Albania as a central bank maintains particular volumes of gold as part of Albania's international reserves. In compliance with the requirements of the Law on the Bank of Albania, the Bank may take any necessary action in connection with the acquisition, possession and sale of gross international reserves, including monetary gold. Consequently, monetary gold as part of international reserves may be immediately used by the Bank without further constraints which determines it as a monetary asset. Pursuant to the requirements of the 'General Provisions for Defining the Valuation Basis in the Financial Statements' to the IFRS, the Bank defines the recognition and valuation of the monetary gold as an asset reported at fair value through profit or loss as the most reliable and appropriate base for a subsequent valuation of this monetary asset. Gold is measured at market value based on the London Bullion Market fixing in US dollar at the reporting date. Gold in standard form (monetary gold) is initially recognised at acquisition cost.

Monetary gold is valued at its fair value being the market value based on the official London Bullion Market price at the reporting date. Changes in the fair value are recognized in profit or loss and accumulated in the "Revaluation Reserve" in Capital and Reserves in accordance with Article 64 (a) of the Law "On the Bank of Albania", as amended. Unrealised gains and losses on the revaluation of the monetary gold and other gold instruments of the Bank are recognised in the income statement.

H. Deposits and borrowings

Deposits and borrowings are initially measured at fair value minus incremental direct transaction costs, and subsequently measured at their amortised cost using the effective interest method.

I. Printing and minting costs

The costs of printing banknotes and minting coins, which have not yet been put into circulation, are initially recognized as assets at acquisition cost and subsequently amortized on a straight-line basis over 5 years and 10 years, respectively.

J. Intangible assets

Intangible assets are recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the Bank and the cost of the asset can be measured reliably. Intangible assets are comprised of computer software and licenses.

Intangible assets acquired by the Bank are stated at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization is recognized in profit or loss on a straight-line basis over the estimated useful life of the intangible asset, from the date that it is available for use. Work in progress is not amortized.

The estimated useful lives are as follows:

- Software and licenses 4 years;
- Other intangible asset 6.6 years.

K. Property and equipment

(i) Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of certain items of property and equipment was determined by reference to fair value at 31 December 2014, which the Bank elected to apply as deemed cost as part of the transition to IFRS (refer to Note 22). Adjustments to the accounting records, as well as the relevant recognition records in the revaluation reserve are reported in accordance with International Financial Reporting Standards.

(ii) Subsequent costs

The cost of replacing a part of an item of property or equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Bank and its cost can be measured reliably. The carrying amount of the replaced part is derecognised.

The costs of the maintenance of property and equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property and equipment. Land, work in progress, and numismatic coins and objects are not depreciated.

The estimated useful lives are as follows:

–	Buildings	25 - 70 years
–	Installations	4 – 20 years
–	Vehicles	5 - 10 years
–	Furniture and equipment	4 - 20 years

Depreciation methods, useful lives and residual values are reassessed at the reporting date.

L. Interest

Effective interest rate

Interest income and expense are recognized in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instrument to:

— the gross carrying amount of the financial asset; or
— the amortized cost of the financial liability.

When calculating the effective interest rate for financial instruments other than credit-impaired assets, the Bank estimates future cash flows by considering all contractual terms of the financial instrument, but not future credit losses.

For credit-impaired financial assets, a credit-adjusted effective interest rate is calculated by using estimated future cash flows including expected credit losses.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortised cost and gross carrying amount

The amortized cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount

recognized and the maturity amount and for, financial assets, adjusted for any expected credit loss allowance.

The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, refer to Note 7(A)(vii).

As at 31 December 2024 and 31 December 2023 there are no credit-impaired financial assets.

Presentation

Interest income and expense presented in the statement of profit or loss and OCI include:

- interest on financial assets and financial liabilities measured at amortised cost calculated on an effective interest basis; and
- interest on debt instruments measured at FVOCI calculated on an effective interest basis.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Bank's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income (refer to Note 7(O)). Profits and losses, arising from changes in the fair value of financial instruments reported at fair value through profit or loss, are recognised in the income statement.

Interest income and expense are recognised on an accrual basis in accordance with the Bank's interest rate policy and concluded agreements with international financial institutions and customers of the Bank. Interest income and expense

are recognised in the income statement. Interest income and expense also include the amortisation of the discount and premium calculated on the basis of the effective interest rate.

Interest income on foreign securities held in the Bank of Albania's portfolio includes interest rates on interest coupons of securities issued. Interest income on deposits includes interest income on deposits in foreign currency and in gold.

Other financial income/expenses include income and expenses from sales and changes in the fair value of financial assets and liabilities held for trading and assets available for sale.

Net gains/losses from financial assets and liabilities include net gains from operations in securities, net gains from operations in foreign currency, net revaluation gains on securities, net gains from gold revaluation, net gains from revaluation of futures, and net gains from revaluation of assets and liabilities denominated in foreign currency.

M. Fees and commissions

Fees and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, fund transfer fees, placement fees and credit registry fees are recognised at the moment the related services are performed.

In accordance with IFRS 15, revenue from contracts with customers is recognised when the Bank has fulfilled its performance obligations by transferring the promised services to the customer. Revenue is recognised at an amount reflecting the consideration expected to be received in return. No changes in the valuation and recognition of fees and commissions have occurred as a result of the entry into effect of IFRS 15. Other fees and commission expense relate mainly to transaction and service fees, which are expensed as the services are received.

N. Transactions in foreign currency

Transactions in foreign currencies are translated into the functional currency at the spot exchange rates at the date of the transactions. The exchange rates of the major foreign currencies as of 31 December 2024 and 31 December 2023 are disclosed in Note 8 F(ii).

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated into the functional currency at the spot exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in the foreign currency translated at the spot exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the spot exchange rate at the date when the fair value is determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction. Foreign currency differences arising on translation and those arising from available-for-sale investments are recognised in profit or loss.

According to the Law No. 8269, dated 23 December 1997 "On the Bank of Albania", as amended, and the Decision No. 104 dated 27 December 2006 of the Supervisory Council, the net gains/(losses) from foreign exchange that are recognised in profit or loss in the period are accumulated to the 'Revaluation reserve' included in Capital and Reserves. According to Article 64 (b) in the above mentioned law, the Government of Albania issues debt securities at market interest rates to cover any negative balance of the revaluation reserve arising from the Bank's activity.

O. Net trading income

Net trading income comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, and foreign exchange differences.

P. Taxation and profit distribution policy of the Bank

Based on the Law "On the Bank of Albania", as amended, the Bank is not subject to income tax. The Bank's policy of distribution of profit from banking operations is defined in the Law "On the Bank of Albania", as amended. According to Article 10(2) of this Law, the Bank allocates all the realised profit to the State Budget after having fulfilled its requirement for the reserve fund and government security compensation pursuant to the Article 10(1) of the Law and as determined by the Supervisory Council of the Bank.

According to Article 11 of the Law "On the Bank of Albania", as amended, no transfer, redemption or payment under Articles 8, 9 or 10 of this Law shall be made if the assets of the Bank are less than the sum of its liabilities and paid-up capital. If such conditions arise, based on Article 7 of the Law "On the Bank of Albania", as amended, the Ministry of Finance shall transfer interest bearing negotiable government securities to the Bank, in such amount as would be necessary to remedy the deficiency (refer to Note 22).

Q. Employee benefits

(i) Defined contribution plans

Obligations for contributions to defined contribution plans are recognized in profit or loss as the related service is provided and included in personnel expenses.

(ii) Social and health contributions

The Bank makes compulsory social security and health contributions in a fund operated by the Albanian state that provide pension, health and other social benefits for employees. Obligations for such contributions are recognized in profit or loss when they are due and included in personnel expenses. The Albanian state provides the legally set minimum threshold for such contributions.

(iii) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognized for the amount expected to be paid under short-term cash bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

R. Leases

The Bank assesses at contract inception whether a contract is, or contains a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Bank applies a single recognition and measurement approach for all leases, except for the short term leases and leases of low–value assets.

The Bank recognises lease liabilities to make lease payments and Right-of–use assets representing the right to use the underlying assets.

Right-of-use asset

The Bank recognises right-of-use assets at the commencement date of the lease. Right-of use assets are measured of cost, less any depreciation or impairment losses, and adjusted for any remeasurement of lease liabilities.

The cost of the right-of–use assets include the amount of the lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right–of-use assets are depreciated in a straight-line basis over the lease term.

The right–of–use assets are presented within Note 15 "Property, equipment, right-of–use and intangible assets".

Lease liabilities

At the commencement date of the lease, the Bank recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any incentive receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Bank and payments of penalty for terminating the lease, if the lease reflects exercising the option to terminate.

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

As at 31 December 2024, the Bank does not have any lease contracts except for a short-term lease.

S. Impairment of non-financial assets

The carrying amounts of the Bank's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset exceeds its recoverable amount.

The recoverable amount of an asset is the highest of its value in use and its fair value less costs to sell. In assessing the value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if a change has occurred in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

T. Provisions

A provision is recognised if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable

that an outflow of economic benefits will be required to settle the obligation. The amount recognised as a provision is measured as the best estimate of the expenditure required to settle the present obligation at the end of the reporting period. Where the effect of the time value of money is material, the amount of a provision is the present value of the expenditures expected to be required to settle the obligation.

U. Grants

Grants are recognized initially as deferred income when there is reasonable assurance that they will be received and that the Bank will comply with the conditions associated with the grant. Grants that compensate the Bank for expenses incurred are recognized in profit or loss on a systematic basis over the period in which the related expenses are recognized. Grants that compensate the Bank for the cost of an asset are recognized in profit or loss on a systematic basis over the expected life of the asset.

8. FINANCIAL INSTRUMENTS: CLASSIFICATION, RISK MANAGEMENT AND FAIR VALUES

A. Classification of financial assets and financial liabilities

The Bank's accounting policies on the classification of financial instruments under IFRS 9 are set out in note 7(A)(ii).

(a) The Bank has classified the exposures with the IMF as debt instruments measured at amortised cost, given the long-term strategic objective of the Bank to hold these instruments and their contractual cash flows meeting the SPPI criteria.

(b) Investment debt securities are held by the Bank in separate portfolios to meet everyday liquidity needs. The Bank seeks to minimise the costs of managing those liquidity needs and therefore actively manages the return on the portfolio. That return consists of collecting contractual payments as well as gains and losses from the sale of financial assets. The investment strategy often results in sales activity that is significant in value. The Bank considers that under IFRS 9, these securities are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets. See accounting policies in Note 7(A)(ii).

(c) Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss. This category includes derivative instruments and trading assets administrated by "IBRD".

The following table provides reconciliation between line items in the statement of financial position and categories of financial instruments.

31 December 2024	FVTPL	FVOCI – debt instruments	Amortised cost	Total carrying Amount
ASSETS				
Cash and balances with banks	-	-	136,222	136,222
Trading assets	13,785	-	-	13,785
Accounts with the International Monetary Fund	-	-	39,957	39,597
Loans to banks	-	-	59,056	59,056
Investment securities FVOCI	-	476,154	-	476,154
Other assets	-	-	2,016	2,016
Total financial assets	**13,785**	**476,154**	**236,891**	**726,830**
LIABILITIES				
Currency in circulation	-	-	440,390	440,390
Due to banks	-	-	172,923	172,923
Deposits and borrowings from third parties	-	-	2,816	2,816
Due to Government and state institutions	-	-	132,036	132,036
Due to the International Monetary Fund	-	-	36,221	36,221
Other liabilities	-	-	764	764
Total financial liabilities	**-**	**-**	**785,150**	**785,150**

31 December 2023	FVTPL	FVOCI – debt instruments	Amortised cost	Total carrying Amount
ASSETS				
Cash and balances with banks	-	-	128,980	128,980
Trading assets	13,041	-	-	13,041
Accounts with the International Monetary Fund	-	-	41,043	41,043
Loans to banks	-	-	44,755	44,755
Investment securities at FVOCI	-	486,787	-	486,787
Other assets	-	-	2,158	2,158
Total financial assets	**13,041**	**486,787**	**216,936**	**716,764**
LIABILITIES				
Currency in circulation	-	-	407,968	407,968
Due to banks	-	-	224,111	224,111
Deposits and borrowings from third parties	-	-	1,997	1,997
Due to Government and state institutions	-	-	105,024	105,024
Due to the International Monetary Fund	-	-	37,156	37,156
Other liabilities	-	-	880	880
Total financial liabilities	**-**	**-**	**777,136**	**777,136**

B. Risk management framework

The financial instruments of the Bank are mainly used for the purposes of the foreign reserve management and monetary policy implementation. The Bank has exposure to the liquidity risk, credit risk, market risk, legal risk and operational risk from investments in financial instruments.

This note presents information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk.

Pursuant to the legal requirements, the Bank holds and manages the foreign reserves of the Republic of Albania. The Supervisory Council has the overall

responsibility for the establishment of the risk management framework and reserve management policies.

The Supervisory Council has approved the Regulation "On the functions of the management structure in the decision-making process of the management of the reserves". This Regulation defines the responsibilities of: the management; the Supervisory Council; the Governor; the Investment Committee; and the Monetary Operations Department, in managing the foreign reserves.

The Supervisory Council is responsible for approving the Regulation "On the policy and management of the foreign reserve"; the Investment Committee is responsible for approving the document "Operational Guidelines for Investment"; while the Governor approves other guidelines to ensure a more comprehensive regulation of the reserve management function.

The regulation 'On the policy and management of the foreign reserve' defines the objectives of the portfolio management ranked by priority, and the principles and qualitative criteria used as the basis of the risk management.

The Investment Committee approves the quantitative criteria based on the limits set forth by the Supervisory Council and monitors the compliance with the restrictions for permitted level of risk and foreign reserve investment portfolio performance.

In accordance with the decisions of the Supervisory Council on the eligible instruments, the reserve is invested in fixed income securities, in deposits or certificates of deposit and in derivative instruments related with these instruments.

The remaining foreign reserves are held in Special Drawing Rights ("SDR") and in monetary gold. Monetary gold is managed in accordance with the regulation 'On the policy and the management of gold', approved by the Supervisory Council.

Following the review of the accounting policy for monetary gold (see Notes 5(A) and 7(G)) in 2016, the Bank concluded that monetary gold is not a financial instrument.

C. Liquidity risk

Liquidity risk is the risk that:

a) the Bank will encounter difficulty in meeting obligations associated with its financial liabilities in due time; and
b) the Bank will not be able to sell a financial instrument within a specific time frame without causing significant loss compared to the market value.

Liquidity is amongst the primary objectives of the foreign reserve management and is defined as the goal to insure the availability at all times of sufficient funds to meet the liquidity needs associated with:

— implementing the monetary policy and the exchange rate policy of the Bank; and
— maintaining financial stability and meeting the needs of the country in periods of crisis.

The implementation of these objectives is performed through the breakdown of the foreign reserve in certain tranches that, within the context of a prudent management of the liquidity risk, serve specific purposes and carry specific features.

The foreign currency liability tranche represents investments in assets that are financed by the liabilities in foreign currency, which are mainly composed by the funds deposited by commercial banks as part of the reserve requirement and by the government.

The net reserve is composed of:

1. The working capital tranche: designed to meet the possible monthly liquidity needs arising during a one month time horizon;
2. The liquidity tranche: designed to meet the possible liquidity needs arising during a one year time horizon;
3. The investment tranche: it represents the remaining balance as surplus and is designed to meet the liquidity needs arising beyond the time horizon described in the first two tranches.

The selection of the financial instruments in which the majority of each tranche is invested, (the 'benchmark portfolios') and the duration of each benchmark portfolio are determined in line with the use of each tranche to meet the liquidity needs of the Bank and with the objectives determined by the Supervisory Council.

The tables below set out the remaining contractual maturities of the Bank's financial liabilities and financial assets. The Bank's expected cash flows on these instruments may vary from the contractual cash flows.

31 December 2024	Up to 1 month	1 to 3 months	3 to 6 months	6 months to 12 months	1 to 5 years	Over 5 years	Undefined maturity	Total
Financial assets								
Non-derivative assets								
Cash and balances with banks	122,961	12,746	515	-	-	-	-	136,222
Trading assets	501	191	411	664	12,018	-	-	13,785
Account with the IMF	22,426	-	-	-	-	-	17,171	39,597
Loans to banks	59,056	-	-	-	-	-	-	59,056
Investment securities	9,790	38,917	41,785	66,254	300,096	19,312	-	476,154
Other assets (note 16)	1				50	1,965	-	2,016
Total financial assets	**214,735**	**51,854**	**42,711**	**66,918**	**312,164**	**21,277**	**17,171**	**726,830**
Financial liabilities								
Non-derivative liabilities								
Currency in circulation	-	-	-	-	-	-	440,390	440,390
Due to banks	166,493	-	6,430	-	-	-	-	172,923
Deposits and borrowings from third parties	2,816	-	-	-	-	-	-	2,816
Due to Government and state institutions	131,536	-	-	-	-	-	500	132,036
Due to the IMF	13,975	-	-	-	-	-	22,246	36,221
Other liabilities	764	-	-	-	-	-	-	764
Total financial liabilities	**315,584**	**-**	**6,430**	**-**	**-**	**-**	**463,136**	**785,150**
Asset-liability maturity mismatch as at 31 December 2024	**(100,849)**	**51,854**	**36,281**	**66,918**	**312,164**	**21,277**	**(445,965)**	**(58,320)**

31 December 2023	Up to 1 month	1 to 3 months	3 to 6 months	6 months to 12 months	1 to 5 years	Over 5 years	Undefined maturity	Total
Financial assets								
Non-derivative assets								
Cash and balances with banks	124,898	3,549	267	266	-	-	-	128,980
Trading assets	-	383	428	1,129	11,101	-		13,041
Account with the IMF	23,450	-	-	-	-	-	17,593	41,043
Loans to banks	37,785	6,970	-	-	-	-	-	44,755
Investment securities	15,974	37,379	52,199	76,864	288,374	15,997	-	486,787
Other assets (note 16)	2	-	-	-	37	2,119	-	2,158
Total financial assets	**202,109**	**48,281**	**52,894**	**78,259**	**299,512**	**18,116**	**17,593**	**716,764**
Financial liabilities								
Non-derivative liabilities								
Currency in circulation	-	-	-	-	-	-	407,968	407,968
Due to banks	213,731	-	10,380	-	-	-	-	224,111
Deposits and borrowings from third parties	1,997	-	-	-	-	-	-	1,997
Due to Government and state institutions	104,524	-	-	-	-	-	500	105,024
Due to the IMF	14,316	-	-	-	-	-	22,840	37,156
Other liabilities	880	-	-	-	-	-	-	880
Total financial liabilities	**335,448**	**-**	**10,380**	**-**	**-**	**-**	**431,308**	**777,136**
Asset-liability maturity mismatch as at 31 December 2023	**(133,339)**	**48,281**	**42,514**	**78,259**	**299,512**	**18,116**	**(413,715)**	**(60,372)**

D. Credit risk

Credit risk is the risk of financial loss to the Bank, if counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Bank's loans and advances to other banks and investment securities. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector's risks).

The risk in respect of changes in value in trading assets arising from changes in market spreads applied to debt securities and derivatives is managed as a component of market risk (see (D) below).

(i) Settlement risk

Foreign reserve management activity may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of an entity/counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. The Bank minimizes settlement risk through implementation of best practices for the recognition and ongoing monitoring of settlement procedures and conditions.

(ii) Custody risk

Custody risk is the risk of a loss of assets placed in custody in the case of insolvency, negligence, fraud, mismanagement or inadequate portfolio maintenance practices by the custodian. The Bank minimizes this risk by selecting for securities' custody services reputable international financial institutions with a minimum of USD 1,000 billion in assets under custody.

(iii) Management of credit risk

The following table sets out the carrying amounts of the financial assets that are exposed to credit risk as at 31 December 2024 and 31 December 2023:

	31 December 2024	31 December 2023
Assets		
Cash and balances with banks (excluding cash on hand -Note 9)	136,208	128,956
Accounts with the IMF (Note 11)	39,597	41,043
Loans to banks (Note 12)	59,056	44,755
Trading assets (Note 13)	13,785	13,041
Investment securities (Note 14)	476,154	486,787
Other financial assets (loans to employees) (Note 16)	2,016	2,158
Total	**726,816**	**716,740**

Assets denominated in foreign currencies

For the management of credit risk related to foreign exchange reserve exposures the Supervisory Council has established base criteria of exposure

to counterparties, and by type of investment, issuer, credit rating band, market liquidity, with the governments and central banks issues prioritized. The evaluation and monitoring process of the credit rating of the eligible issuers is based on the analysis and the rating determined by the principal rating agencies, including Standard & Poor's, Moody's and Fitch, as well as in the reviewing processes, on a daily basis, of the performance of several market indicators of the quality of the credit rating of the issuer. In accordance with the limits imposed by the Supervisory Council and the Investment Committee, the Director of the Monetary Operations Department are authorized to establish other qualitative and/or quantitative limits on the exposure level for the issuer/ financial institution on an individual basis, category, or combined category and instrument basis. Depending on the market environment and conditions, the Bank may decide to adapt even more conservative limits for an issuer/ financial institution.

Assets denominated in foreign currency that are part of the foreign exchange reserve, include cash and balances with banks (excluding cash on hand), trading assets, account with the IMF and investment securities denominated in foreign currency. The investment of the foreign exchange reserve is limited to: government/central bank issues with minimum credit ratings of A- (BBB- for governments of the euro area); sovereign agencies, multilateral institutions and public entities with a minimum credit rating of AA-; and banks and other financial institutions with a minimum credit rating of A-.

The credit rating refers to the credit rating of an issuer/financial institution, and if such rating is not provided, the credit rating of the long-term debt of the financial institution is used. For the purpose of the reserve management implementation operations and for payments, the Bank may operate through current accounts opened with banks with a minimum credit rating of BBB. For the purpose of the management of foreign reserves portfolio, as a first step the Bank monitors economic developments in the economies in which Bank is exposed through investments in securities. The extent of monitoring and the level of management input vary. For major currencies, the Bank considers that the opinions of agencies' credit ratings and other public information are reflected in the prices and data for Expected Credit Losses (ECLs). In addition, the portfolio manager and the risk unit monitors the creditworthiness of each borrower using market research and other sources such as public financial statements. The PDs associated with each grade are determined based on long time historical realized default rates updated on an annual basis, as published by the rating agency.

The year 2024 remained associated with uncertainty in the global economy. Events such as the continuation of the military conflict between Russia and Ukraine, the conflict in the Middle East between Palestine and Israel, the outcome of the US elections, as well as the political and economic developments in Europe have resulted in a high volatility in interest rates in the main countries' economies. Inflation fell significantly during 2024, especially in the EU and

Great Britain, but it was still not within the target of the central banks. As a result, many central banks have been very cautious in the pace of reducing the base interest rate during the year, bearing in mind a possible return of inflation, in parallel with the efforts to curb a possible recession.

Notwithstanding the above, in terms of potential losses from credit risk, the impact on the Bank of Albania's well diversified and high quality portfolio has been neutral.

Assets denominated in domestic currency

Assets denominated in domestic currency include loans to banks, investment debt securities issued by the Albanian Government and loans to employees included in other financial assets.

The Bank does not actively manage the credit risk for assets denominated in domestic currency, as they are largely originated for the purposes of the monetary policy implementation operations. For the monitoring of credit risk for these assets the Bank uses both external and internally developed analysis and information, which includes also information available to the Bank due to its role as regulator and Central Bank.

For loans to domestic commercial banks (overnight loans and reverse repo transactions), the Bank mitigates the credit risk through the collateral, which consists of debt securities issued by the Albanian Government. The collateral value for each transaction is not lower than the value of the granted loan plus a certain margin. If the value of the security placed as collateral drops under a defined level, Bank of Albania asks commercial banks to place additional collateral, based on the revaluation of the securities.

The risk grading model used by the Bank for the assessment of ECLs for loans to domestic commercial banks is based on criteria that are similar to those used for supervisory purposes, such as the capital adequacy, credit growth, liquidity and profitability of the counterparties. The risk grades and the methodology are subject to regular reviews by the Bank. Investment securities denominated in domestic currency consist of Treasury Bills issued by the Albanian Government, with maturity of up to one year. This portfolio is originated as the Bank of Albania intervenes in the money market through outright transactions, intended to manage the liquidity structure of the banking system with potential impact in the short-term interest rates in this market.

The credit risk of the portfolio of investment securities denominated in domestic currency is assessed based on historical data and assessment of the ability of the Albanian Government to meet its contractual cash flows obligations in domestic currency in the near term. For loans to employees the Bank assesses ECLs based on historic loss ratios, adjusted for forward-looking macroeconomic information.

(iv) Credit quality analysis

The following table sets out information about the credit quality of financial assets measured at amortised cost and FVOCI debt investments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. Explanation of the terms: 'Stage 1', 'Stage 2' and 'Stage 3' are included in Note 7(A)(vii). The credit ratings show the second best rating amongst Standard & Poor's, Moody's and Fitch.

	2024				2023
	Stage 1	Stage 2	Stage 3	Total	Total
Cash and balances with banks at amortised cost					
Rated AAA	50,107	-	-	50,107	38,947
Rated AA- to AA+	70,643	-	-	70,643	74,833
Rated A- to A+	9,919	-	-	9,919	11,885
Rated BBB+ and below	-	-	-	-	-
Albanian Government BB-[1]	-	-	-	-	-
BIS Basel	5,551	-	-	5,551	3,303
	136,220	**-**	**-**	**136,220**	**128,968**
Loss allowance	(12)	-	-	(12)	(12)
Carrying amount	**136,208**	**-**	**-**	**136,208**	**128,956**
Accounts with the IMF[2]					
Unrated	39,597	-	-	39,597	41,043
	39,597	**-**	**-**	**39,597**	**41,043**
Loss allowance	-	-	-	-	-
Carrying amount	**39,597**	**-**	**-**	**39,597**	**41,043**
Loans to banks at amortised cost					
Grade: Low-fair risk	-	-	-	-	-
Grade: Low risk	59,056	-	-	59,056	44,755
Grade: Average risk	-	-	-	-	-
Grade: Moderately high risk	-	-	-	-	-
Grade: High risk	-	-	-	-	-
	59,056	**-**	**-**	**59,056**	**44,755**
Loss allowance	-	-	-	-	-
Carrying amount	**59,056**	**-**	**-**	**59,056**	**44,755**
Debt investment securities at FVOCI					
Rated AAA	99,696	-	-	99,696	97,236
Rated AA- to AA+	251,048	-	-	251,048	241,969
Rated A- to A+	32,886	-	-	32,886	32,914
Rated BBB+ and below	15,198	-	-	15,198	17,293
Albanian Government (BB-)*	63,417	-	-	63,417	68,639
BIS Basel	13,909	-	-	13,909	28,736
Carrying amount – fair value	**476,154**	**-**	**-**	**476,154**	**486,787**
Loss allowance	(32)	-	-	(32)	(43)
Carrying amount – fair value	**476,154**	**-**	**-**	**476,154**	**486,787**
Other financial assets at amortised cost					
Unrated	2,022	-	-	2,022	2,164
	2,022	**-**	**-**	**2,022**	**2,164**
Loss allowance	(6)	-	-	(6)	(6)
Carrying amount	**2,016**	**-**	**-**	**2,016**	**2,158**

[1] *The Albanian Government is rated as BB-, stable, based on the credit rating of Standard & Poor's and BB +, stable, based on the credit rating of Moody`s.*

[2] *The currency value of the SDR is determined by summing the values in the US dollar, based on market exchange rates, of a basket of major currencies (US dollar, Euro, Pound sterling, Chinese yuan and Japanese yen). The SDR currency value is calculated daily and the valuation basket is reviewed and adjusted every five years.*

The following table sets out the credit quality of trading debt securities. The analysis has been based on the second best rating amongst Standard & Poor's, Moody's and Fitch ratings.

	2024	2023
Bonds of foreign agencies		
Rated AAA	1,219	999
Rated AA- to AA+	2,158	1,960
	3,377	2,959
Bonds of foreign governments and multilateral institutions		
Rated AAA	182	447
Rated AA- to AA+	10,226	9,635
	10,408	10,082
Total trading debt securities	13,785	13,041

(v) Collateral held and other credit enhancements

The Bank holds collateral and other credit enhancements against certain credit exposures. The following table sets out the principal types of collateral held against different types of financial assets.

		Percentage of exposure that is subject to collateral requirements		
	Note	31 December 2024	31 December 2023	Principal type of collateral held
Loans to banks Reverse repurchase agreements and overnight loans	12	100	100	Tituj të borxhit të Qeverisë Shqiptare
Other financial assets Loans to employees	16	100	100	Hipotekë ose kontratë garancie

At 31 December 2024, the Bank held loans to banks of ALL 59,056 million (31 December 2023: ALL 44,755 million), for which no loss allowance is recognised because of full collateral coverage.

(vi) Amounts arising from ECLs

(a) Inputs, assumptions and techniques used for estimating impairment

For more details refer to accounting policy in Note 7(A)(vii).

Significant increase in credit risk

When determining whether the risk of default of the invested amount on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and credit risk unit assessment and including forward-looking information.

The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

— the remaining lifetime probability of default (PD) as at the reporting date; with
— the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

Credit risk grades/ratings

For assessing the risk of default, at initial recognition, the Bank assigns to each exposure in foreign currency the second best rating amongst Standard & Poor's, Moody's and Fitch for that particular counterparty.

The Bank, at initial recognition, allocates each exposure to banks to a credit risk grade based on a variety of data that is determined to be predictive of the risk of default and applying experienced credit judgement. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower. Credit risk grades are defined and calibrated such that the risk of default occurring increases exponentially as the credit risk deteriorates. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade/rating. The monitoring typically involves use of the following data.

Foreign currency exposures	Domestic currency exposures	Other assets
– Data from credit rating agencies, press articles, changes in external credit ratings	– Internally collected data on banks and supervisory indicators	– Repayment history – this includes overdue status and financial situation of the borrower
– Quoted bond prices for the counterparty, where available	– Existing and forecast changes in business, financial and economic conditions	– Existing and forecast changes in financial and economic conditions
– Actual and expected significant changes in the political, regulatory and technological environment of the counterparty or in its business activities	– Affordability metrics	

Generating the term structure of probability of default "PD"

Credit risk grades/ratings are a primary input into the determination of the term structure of PD for exposures. The Bank collects performance and default information about its credit risk exposures analysed by counterparty as well as by credit risk grading/ratings.

The Bank employs statistical models to analyse the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected

to change as a result of the passage of time. The methodology for determining PDs for investments in domestic commercial banks is based on the main risk indicators used for supervisory purposes whereas the areas considered by this system include the capital adequacy, credit risk, liquidity and profitability of the counterparty. This analysis includes the identification and calibration of relationships between changes in country's key macro-economic factors and the capital resilience of the domestic institution. Key macro-economic indicators include: GDP growth, exchange rates, benchmark interest rates and credit growth. The PDs are calculated as the average weighted PDs for each factor, where the weights are determined based on the importance of the factor.

For assets denominated in foreign currency, Bank uses 12-month PDs for sovereign and non-sovereign issuances, estimated based on transition matrices published by S&P which indicate a possibility of bankruptcy over 12 months for issuers per each respective rating category. For the sovereign issuance, a long-term transition matrix is used.

For non-sovereign issuance, two matrices are used, a long-term transition matrix of financial institutions (base scenario) and the transition matrix of a financial crisis year (alternative recession scenario), weighted against respective probabilities of the different scenarios happening in the future.

For exposures to the Albanian Government in domestic currency, the estimated PD considers the short-term maturity of such exposures, the absence of historical defaults and detailed assessments of the ability of the Albanian Government to fulfil its contractual cash flow obligations in the short-term which consider also the macroeconomic indicators over the assessment period.

Determining whether credit risk has increased significantly

The criteria for determining whether credit risk has increased significantly vary by portfolio and include quantitative changes in PDs and qualitative factors, including a backstop based on delinquency. The credit risk of a particular exposure in foreign currency is deemed to have increased significantly since initial recognition if:

- the credit rating from all the three rating agencies (Standard & Poor's, Moody's and Fitch) falls below BBB- (or its' equivalent); or
- the credit rating from one of the above agencies is downgraded to BB-; or
- there is a delay in the repayment of an obligation to the Bank by more than or equal to 3(three) days. In this case the credit risk will be deemed to have significantly increased for all exposures to that issuer.

The credit risk of a particular exposure in domestic currency for commercial banks is deemed to have increased significantly since initial recognition if one of the following criteria is met:

- a commercial bank receives Emergency Liquidity Assistance (ELA) loan and the PD is over 30%;
- the PD is higher than 40% in the reporting period;
- the PD is higher than 25%, and it has increased by more than 5 percentage points in the reporting period compared to the initial recognition period; or
- there is a delay in the repayment of an obligation (excluding ELA) to the Bank by more than or equal to 30 days. In this case the credit risk will be deemed to have significantly increased for all exposures to that counterparty.

Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which due instalment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

For exposures toward Albanian Government the credit risk is considered to be increased significantly since initial recognition if there is delay of 30 days or more in the repayment of an obligation to the Bank.

The Bank monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that the criteria are capable of identifying significant increases in credit risk before an exposure is in default.

Definition of default

The Bank considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realising security (if any is held); or
- the borrower is past due more than 90 days on any material credit obligation to the Bank.

In assessing whether a borrower is in default, the Bank considers indicators that are:

- qualitative – e.g. breaches of covenants;
- quantitative – e.g. overdue status and non-payment on another obligation of the same issuer to the Bank; and
- based on data developed internally and obtained from external sources i.e. one-year PD transition matrix at reporting as per latest report available and one-year PD transition matrix relevant to the latest financial crisis obtained by S&P, weighted according to a given probability, and;
- LGD specified for the uncollateralized senior debt of sovereign, corporate and bank issuers and deposits and current accounts at central banks obtained from Moody's.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Incorporation of forward-looking information

The Bank incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECLs.

For exposures in domestic currency, the Bank formulates a "Baseline scenario" view of the future direction of relevant economic variables (GDP growth, exchange rates, benchmark interest rates and credit growth) as well as a representative range of other possible forecast scenarios "moderate scenario", considering the relative probabilities of each outcome by comparing the results of previous stress tests with financial agents' economic indicators during the reference period. The base scenario represents a most-likely outcome and is aligned with information used by the Bank for other purposes such as strategic planning and forecasting. The other scenarios "moderate scenario" represents more pessimistic outcomes. Periodically, the Bank carries out stress testing of more extreme shocks to calibrate its determination of these other representative scenarios.

For non-sovereign issuances in foreign currency, forward-looking information is incorporated in the assessment of the probability of defaults, as the probability of the normal scenario and alternative scenario is calculated based on the probability of recession of major economies (as one of the main indicators of increased probability of default for non-sovereign issuers), to which additional quality factors may be applied. For sovereign issuances in foreign currency forward-looking economic variable are incorporated in the determination of the PD through respective rating in transition matrices published by external rating agencies. These variables are reviewed periodically and in case of significant market changes by the credit rating agencies.

Modified financial assets

The contractual terms of a financial asset may be modified for a number of reasons, including changing market conditions and other factors not related to a current or potential credit deterioration of the counterparty. An existing asset whose terms have been modified may be derecognised and the renegotiated asset recognised as a new one at fair value in accordance with the accounting policy set out in Note 7(A)(iv).

When the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of:

— its remaining lifetime PD at the reporting date based on the modified terms; with
— the remaining lifetime PD estimated based on data at initial recognition and the original contractual terms.

Measurement of ECLs

The key inputs into the measurement of ECLs are the term structure of the following variables:

— probability of default (PD);
— loss given default (LGD); and
— exposure at default (EAD).

These parameters are derived from internally developed statistical models, globally recognized external developed statistical models and other historical data. They are adjusted to reflect forward-looking information as described above.

PD estimates are estimates at a certain date, which are calculated, based on statistical rating models, and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on internally and externally compiled data comprising both quantitative and qualitative factors. Transition matrixes data are used to derive the PD for foreign counterparties. If a counterparty or exposure migrates between ratings classes, then this will lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based on the history of recovery rates, or parameters calculated by rating agencies and regulatory institutions such as BIS Basel, of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract including amortisation. The EAD of a financial asset is its gross carrying amount. EAD estimates are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Bank measures ECL considering the risk of default over the maximum contractual period over which it is exposed to credit risk, even if, for risk management purposes, the Bank considers a longer period. The maximum contractual period extends to the date at which the Bank has the right to require repayment of an

advance. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics that include:

- instrument type;
- credit risk grading;
- collateral type;
- date of initial recognition;
- remaining term to maturity;
- industry; and
- geographic location of the borrower.

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

For portfolios in respect of which the Bank has limited historical data, external benchmark information is used to supplement the internally available data. For the portfolios in foreign currency based on bank's investment policy are used the ratings of the three main rating agencies as a key input to evaluate portfolios.

The portfolios for which external benchmark information represents a significant input into measurement of ECL comprise financial assets in foreign currency as follows:

		External benchmarks used	
In ALL Million	Exposure	PD	LGD
Cash and balances with banks (current accounts and deposits)	136,208	2nd Best Rating (from: S&P, Moody`s and Fitch)	Moody`s recovery studies
Investment securities in foreign currency	412,737	2nd Best Rating (from: S&P, Moody`s and Fitch)	Moody`s recovery studies

(b) Loss allowance

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument. Explanation of the terms: 'Stage 1', 'Stage 2' and 'Stage 3' and credit-impaired assets are included in Note 7(A)(vii).

	2024				2023
	Stage 1	Stage 2	Stage 3	Total	Total
Cash and balances with banks					
Balance at 1 January	12	-	-	12	6
Net remeasurement of loss allowance	-	-	-	-	6
Balance at end of the period	12	-	-	12	12
Other assets at amortised cost					
Balance at 1 January	6	-	-	6	6
Net remeasurement of loss allowance	-	-	-	-	
Balance at end of the period	6	-	-	6	6
Investment debt securities at FVOCI					
Balance at 1 January	43	-	-	43	47
Net remeasurement of loss allowance	(11)	-	-	(11)	(4)
Balance at end of the period	32	-	-	32	43
Total					
Balance at 1 January	61	-	-	61	59
Net remeasurement of loss allowance	(11)	-	-	(11)	2
Balance at end of the period	50	-	-	50	61

For debt investment securities measured at FVOCI, the allowance for ECL does not reduce the carrying amount in the financial statement position, which remains at fair value.

(c) Credit-impaired financial assets

For more details refer to accounting policy in Note 7(A)(vii).
As at 31 December 2024 and 31 December 2023, the Bank had no credit-impaired financial assets.

(vii) Concentrations of credit risk

The Bank monitors concentrations of credit risk by geographic location and by counterparty type. An analysis of concentrations of credit risk is shown below. Concentration by location for investment securities is based on the country of domicile of the issuer of the security. Concentration by counterparty type is based on the customer's country of domicile.

A segregation of the financial assets by geography is set out below:

31 December 2024	Germany	France	Other EU countries	Switzerland	United States of America	Republic of Albania	Other	Total
Accounts and deposits with financial institutions (Note 9)	34,613	29,287	1,051	20,742	4,932	-	45,583	136,208
Trading assets	563	734	990	58	10,454	-	986	13,785
Accounts with the IMF	-	-	-	-	-	-	39,597	39,597
Loans to banks	-	-	-	-	-	59,056	-	59,056
Investment securities	63,577	89,047	121,136	13,909	88,428	63,417	36,640	476,154
Other assets (Note 16)	-	-	-	-	-	2,016	-	2,016
Total	98,753	119,068	123,177	34,709	103,814	124,489	122,807	726,816

31 December 2023	Germa-ny	France	Other EU countries	Switzer-land	United States of America	Republic of Alba-nia	Other	Total
Accounts and deposits with financial institutions (Note 9)	33,108	31,988	1,173	8,565	8,439	-	45,683	128,956
Trading assets	846	887	1,182	57	9,186	-	883	13,041
Accounts with the IMF	-	-	-	-	-	-	41,043	41,043
Loans to banks	-	-	-	-	-	44,755	-	44,755
Investment securities	53,243	85,673	155,525	28,736	69,120	68,639	25,851	486,787
Other assets (Note 16)	-	-	-	-	-	2,158	-	2,158
Total	87,197	118,548	157,880	37,358	86,745	115,552	113,460	716,740

A segregation of the financial assets by counterparty type is set out below:

31 December 2024	Accounts and de-posits with financial institutions	Trading assets	Accounts with the IMF	Loans to banks	Invest-ment securities	Other assets	Total
Central Banks	78,767	-	39,597	-	-	-	118,458
Bank for International Settlements ("BIS Basel")	5,551	-	-	-	13,909	-	19,460
Foreign governments and multilateral institutions	-	10,408	-	-	350,411	-	360,819
Foreign agencies and regional governments	-	3,140	-	-	36,499	-	39,639
Commercial Banks	51,890	237	-	59,056	11,918	-	123,007
Albanian Government	-	-	-	-	63,417	-	63,417
Other assets	-	-	-	-	-	2,016	2,016
Total	136,208	13,785	39,597	59,056	476,154	2,016	726,816

31 December 2023	Accounts and de-posits with financial institutions	Trading assets	Accounts with the IMF	Loans to banks	Invest-ments securities	Other assets	Total
Central Banks	85,421	9,046	41,043	-	-	-	135,510
Bank for International Settlements ("BIS Basel")	3,302	-	-	-	28,736	-	32,038
Foreign governments and multilateral institutions	-	677	-	-	322,393	-	323,070
Foreign agencies and regional governments	-	2,885	-	-	34,937	-	37,822
Commercial Banks	40,233	433	-	44,755	32,082	-	117,503
Albanian Government	-	-	-	-	68,639	-	68,639
Other assets	-	-	-	-	-	2,158	2,158
Total	128,956	13,041	41,043	44,755	486,787	2,158	716,740

E. Market risk

Market risk is the risk that changes in market prices, such as interest rates, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Bank of Albania's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

The key elements of price risk affecting the Bank are:

- Interest rate risk associated with fluctuations in the fair value of financial instruments due to changes in market interest rates; and
- Currency risk associated with fluctuations in the fair value of financial instruments due to changes in foreign exchange rates.

The Bank's exposure to currency risk is monitored on a continuous basis. Financial assets and liabilities denominated in foreign currencies are disclosed in the relevant notes of the financial statements.

For the purpose of foreign reserve management, function performed by the Monetary Operations Department, Supervisory Council has established a set of criteria for the currency composition of the foreign reserve, in accordance with the objectives of holding the reserves. This serves as a reference for the management of the exchange rate risk. As a result, the Bank is passive in the management of the exchange rate risk. The Investment Committee defines a set of narrow ranges of the currency composition of some of the tranches of the foreign exchange reserve. The limits are monitored by the Monetary Operations Department, which carries out the necessary rebalancing operations in order to preserve the required weights of the currencies' composition.

(i) Interest rate risk

The Bank's operations are subject to the risk of interest rate fluctuations, which affect the prices of interest-earning assets (including investments) and interest-bearing liabilities.

The Monetary Operations Department of the Bank monitors the interest rate risk. The Bank mitigates such risks by maintaining a significant excess of interest-bearing assets over liabilities. The Bank maintains a portfolio of interest-bearing financial assets and liabilities, in such a manner, that the net interest income is significantly higher than operating needs, in order to minimize the potential adverse effects of interest rate fluctuations. Interest rates applicable to financial assets and liabilities are disclosed in the relevant notes to the financial statements.

The interest rate risk management, for the purpose of foreign reserve management, in its core process includes the selection of the portfolio/duration benchmark for each market (currency) in which the foreign reserves are held. The benchmark selection is reviewed at least annually or whenever changes in market conditions require a reassessment. Besides determining the benchmark portfolio, the Investment Committee, in accordance with the limits imposed by the Supervisory Council, determines limits for active management at the tranche level. The limits for active management at portfolio level are established by the Director of the Monetary Operations Department.

The principal tools used to measure the interest rate risk for individual portfolios within the foreign exchange reserve are Duration and Value at Risk ("VaR").

- Duration measures the sensitivity of the price of a fixed-income security due to the volatility of the interest rates in the market.
- The VaR is defined as the estimated maximum loss that will arise on a portfolio over a specified time horizon due to the exposure to the risk factors with a specified confidence interval.

For the purposes of foreign reserve management, the calculated VaR includes only the exposure to the risk of changes in interest rates for all positions, including benchmark instruments and non-benchmark instruments.

For benchmark instruments, the data used encompasses changes in interest rates for treasury issues or high quality agency issues, depending on the specific benchmark for each currency and for non-benchmark instruments the data used encompasses changes in interest rates for issues rated as AA, given that this rating constitutes the major share of non-benchmark instruments of the reserve portfolios.

The following is a summary of the VaR (95%) position of the Bank's portfolios at 31 December 2024 and 2023:

	31 December 2024	31 December 2023
VaR (95%) in ALL million	(11,022)	(14,191)

Furthermore, an important method to measure market risk is the sensitivity analysis of the value of the reserve to hypothetical changes in market factors. The data used in the sensitivity analysis calculations include the duration of portfolios and weight of each currency. The duration of the portfolio shows the degree of change in the market value of the portfolio, assuming a parallel shift of the yield curve based on interest rates for all the instruments within the portfolio.

Assuming an immediate parallel increase (decrease) in interest rates by 50 basis points and 100 basis points and a correlation equal to 1 between the curves, and based on the duration of the aggregate foreign exchange reserves, the estimated loss (gain) in OCI for each scenario is as follows:

	2024		2023	
Estimated effect on OCI in ALL million	100 bp	50 bp	100 bp	50 bp
Increase of interest rates	(9,848)	(4,924)	(9,828)	(4,914)
Decrease of interest rates	9,848	4,924	9,828	4,914

Assets and liabilities with variable interest rates carry the risk of changing the base that serves to determine interest rates.

The position of the Bank's sensitivity to interest rate by contractual repricing is presented in the following table, showing the carrying amounts of financial instruments classified by contractual repricing or maturity date.

31 December 2024	Total	Floating rate instruments	Fixed rate instruments			Non-interest bearing instruments
			Up to 1 month	From 1 to 3 months	Over 3 months	
Interest-earning assets						
Cash and balances with banks	136,222	90,380	32,266	12,746	515	315
Trading assets	13,785	819	501	191	12,274	-
Accounts with the IMF	39,597	22,426	-	-	-	17,171
Loans to banks	59,056	-	59,056	-	-	-
Investment securities	476,154	-	9,790	38,917	427,447	-
Other assets (Note 16)	2,016	-	2	-	2,014	-
Total	**726,830**	**113,625**	**101,615**	**51,854**	**442,250**	**17,486**
Interest-bearing liabilities						
Currency in circulation	440,390	-	-	-	-	440,390
Due to banks	172,923	-	166,493	-	6,430	-
Deposits and borrowings from third parties	2,816	-	2,816	-	-	-
Due to Government and state institutions	132,036	500	-	-	-	131,536
Due to the IMF	36,221	22,246	-	-	-	13,975
Other liabilities	764	-	-	-	-	764
Total	**785,150**	**22,746**	**169,309**	**-**	**6,430**	**586,665**
Interest-bearing financial instruments gap	**(58,320)**	**90,879**	**(67,694)**	**51,854**	**435,820**	**(569,179)**

31 December 2023	Total	Floating rate instruments	Fixed rate instruments			Non-interest bearing instruments
			Up to 1 month	From 1 to 3 months	Over 3 months	
Interest-earning assets						
Cash and balances with banks	128,979	114,349	9,950	3,549	533	598
Trading assets	13,041	241	-	383	12,417	-
Accounts with the IMF	41,043	23,450	-	-	-	17,593
Loans to banks	44,755	-	37,785	6,970	-	-
Investment securities	486,787	-	15,973	37,380	433,434	-
Other assets (Note 16)	2,159	-	2		2,157	-
Total	**716,764**	**138,040**	**63,710**	**48,282**	**448,541**	**18,191**
Interest-bearing liabilities						
Currency in circulation	407,968	-		-		407,968
Due to banks	224,111	-	213,731	-	10,380	-
Deposits and borrowings from third parties	1,997	-	1,997	-	-	-
Due to Government and state institutions	105,024	500	-	-	-	104,524
Due to the IMF	37,156	22,840	-	-	-	14,316
Other liabilities	880		-	-	-	880
Total	**777,136**	**23,340**	**215,728**	**-**	**10,380**	**527,688**
Interest-bearing financial instruments gap	**(60,372)**	**114,700**	**(152,018)**	**48,282**	**438,161**	**(509,497)**

Future contracts

A future contract is a standardized contract to buy or sell a financial or non-financial asset, at a certain date in the future and at a market determined price. To minimize the credit risk, depending on the type of instrument, the investor should post a margin to the clearing house. This margin or performance bond is valued every day according to the prices in the market (mark to market), which means that every change in value is shown in the account of investor at the end of each trading day until the expiry day.

The net fair value of future contracts as at 31 December 2024 is ALL 0 million (2023: ALL 0 million) (see Note 13).

The nominal value of these contracts as at 31 December 2024 is composed by the following:

- buy contracts in the amount of ALL 0 million (2023: ALL 0 million); and
- sell contracts in the amount of ALL 0 million (2023: ALL 0 million).

(i) Exchange rate risk

Exchange rate risk results from the difference between the currency structure of assets and liabilities. From an accounting point of view, the Bank is exposed to currency risk due to its principal central bank functions.

This risk can affect the size of its capital. In order to manage this type of exposure, over the years, action is taken to increase capital, inflow of funds and, in exceptional cases, when the balance of the revaluation reserve is negative, debt instruments of the Republic of Albania were issued in compliance with the provisions of the Law "On the Bank of Albania", as amended, (Note (7(N) ,14 and 22) and a bilateral agreement with the Government of Albania. The creation of special reserves from distributable profit is a measure that the Bank can take to safeguard its Capital. However, the Bank is only reflective of fluctuations of the exchange rate and this is due to the free regime of the exchange rate it follows. The Bank does not foresee to reduce its foreign exchange reserve and therefore will not materialize these losses. In cases where the Bank will be forced to sell currency in the market (due to the currency market not functioning normally), it will do so in the conditions when there will be a rapid depreciation of the lek. Such events will indirectly reduce the balance of the revaluation account and increase the rate at which the reserve will be sold as well.

Forward contracts

Trading derivatives include forward exchange contracts that are entered into by the Bank with the Albanian Government. These instruments are not usually closed out before contractual maturity.

The following significant exchange rates have been applied.

	Average		Year-end spot rate	
ALL	2024	2023	2024	2023
United States Dollar (USD)	93.89	100.64	94.26	93.94
European Union Currency Unit (EUR)	98.30	108.8	98.15	103.88
British Pound (GBP)	118.69	125.01	118.16	119.47
Special Drawing Rights (SDR)	123.01	134.26	122.93	126.04
Japanese Yen (JPY)	0.61	0.72	0.60	0.66
Chinese Juan (offshore) (CNH)	12.87	14.22	12.84	13.19

Sensitivity analysis

A reasonably possible strengthening (weakening) of the EUR, USD, GBP or other currencies by 10% against ALL at 31 December 2024 would have affected the measurement of financial instruments denominated in a foreign currency and affected equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact of forecast sales and purchases.

The Bank's exposure to foreign currency risk as at 31 December 2024 and 31 December 2023 is as follows:

31 December 2024	ALL	USD	EUR	GBP	SDR	Other	Total
Assets							
Cash and balances with banks	-	7,787	116,314	705	-	11,416	**136,222**
Trading assets	-	13,785	-	-	-	-	**13,785**
Accounts with the IMF	13,975	-	-	-	25,622	-	**39,597**
Loans to banks	59,056	-	-	-	-	-	**59,056**
Investment securities	63,417	98,545	275,915	14,703	-	23,574	**476,154**
Other assets	2,016	-	-	-	-	-	**2,016**
Total assets	**138,464**	**120,117**	**392,229**	**15,408**	**25,622**	**34,990**	**726,830**
Liabilities							
Currency in circulation	440,390	-	-	-	-	-	**440,390**
Due to banks	60,131	11,576	101,216	-	-	-	**172,923**
Deposits and borrowings from third parties	2,518	-	298	-	-	-	**2,816**
Due to Government and state institutions	92,406	863	38,652	-	115	-	**132,036**
Due to the IMF	-	-	-	-	36,221	-	**36,221**
Other liabilities	283	479	2	-	-	-	**764**
Total liabilities	**595,728**	**12,918**	**140,168**	**-**	**36,336**	**-**	**785,150**
Net statement of financial position exposure	**(457,264)**	**107,199**	**252,061**	**15,408**	**(10,714)**	**34,990**	**(58,320)**
Sensitivity analysis							
Profit/(loss) effect: Strengthening (10%)	**-**	**10,720**	**25,206**	**1,541**	**(1,071)**	**3,499**	**-**
Weakening (10%)	**-**	**(10,720)**	**(25,206)**	**(1,541)**	**1,071**	**(3,499)**	**-**

31 December 2023	ALL	USD	EUR	GBP	SDR	Other	Total
Assets							
Cash and balances with banks	-	9,484	106,544	498	-	12,454	128,980
Trading assets	-	13,041	-	-	-	-	13,041
Accounts with the IMF	14,316	-	-	-	26,727	-	41,043
Loans to banks	44,755	-	-	-	-	-	44,755
Investment securities	68,639	80,337	308,828	11,633	-	17,350	486,787
Other assets	2,158	-	-	-	-	-	2,158
Total assets	129,868	102,861	415,373	12,131	26,727	29,804	716,764
Liabilities							
Currency in circulation	407,968	-	-	-	-	-	407,968
Due to banks	71,126	15,901	137,084	-	-	-	224,111
Deposits and borrowings from third parties	1,990	-	7	-	-	-	1,997
Due to Government and state institutions	24,274	125	80,542	-	83	-	105,024
Due to the IMF	-	-	-	-	37,156	-	37,156
Other liabilities	140	507	233	-	-	-	880
Total liabilities	505,498	16,533	217,866	-	37,239	-	777,136
Net statement of financial position exposure	(375,630)	86,325	197,486	12,131	(10,512)	29,804	(60,396)
Sensitivity analysis							
Profit/(loss) effect: Strengthening (10%)	-	8,633	19,749	1,213	(1,051)	2,980	-
Weakening (10%)	-	(8,633)	(19,749)	(1,213)	1,051	(2,980)	-

F. Fair value of financial instruments

i) Determination of fair values

The determination of fair values of financial assets and liabilities for which there is no observable market price requires the use of valuation techniques described in the accounting policy. For financial instruments that are traded infrequently and whose price is not transparent, the fair value is less objective and requires an expert's judgement depending on liquidity, concentration, market factors uncertainty, pricing assumptions, and other risks affecting the particular instrument.

ii) Valuation of financial instruments

The Bank measures the fair value of financial instruments using the following hierarchy of methods:

- Level 1: Quoted market price or closing price for positions for which there is a reliable market.
- Level 2: Valuation techniques based on observable market information about the yield curve. This category of methods is used to measure debt securities for which there is no reliable market.
- Level 3: Valuation techniques, where inputs on financial assets and liabilities are not based on observable market data.

The fair values of financial assets and liabilities traded in international financial markets for which there is available market information are based on market quotations or closing market prices. The use of observable market prices and information reduces the need for management judgement and estimation and also reduces the uncertainty associated with determination of fair values. The availability of actual market prices and information varies depending on products and markets and changes because of specific events and the general conditions of financial markets.

The Bank determines the fair values of all other financial instruments for which there are no current market quotes by using valuation techniques. Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist, and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premiums used in estimating discount rates, bond, foreign currency exchange rates, and expected price volatilities and correlations. The net present value is computed by means of market yield curves and credit spreads, where necessary, for the relevant instrument. The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Bank uses widely recognized valuation models for determining the fair value of common and more simple financial instruments, such as interest rate and currency swaps that use only observable market data and require little management judgment and estimation. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Bank believes that a third party market participant would take them into account in pricing a transaction. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Bank entity and the counterparty where appropriate. Model inputs and values are calibrated against historical data and published forecasts and, where possible, against current or recent observed transactions in different instruments and against broker quotes. This calibration process is inherently subjective and yields ranges of possible inputs and estimates of fair value, and management judgment is required to select the most appropriate point in the range. For all other financial instruments, the Bank determines fair values using valuation techniques.

Availability of observable market prices and model inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determination of fair values. Availability of observable market

prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

Financial instruments measured at fair value – Fair value hierarchy

The following table analyses financial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorized. The amounts are based on the values recognised in the statement of financial position.

31 December 2024	Note	Level 1	Level 2	Level 3	Total
Financial assets					
Non-derivative trading assets	13	13,785	-	-	13,785
Derivative trading assets	13	-	-	-	-
Investments in securities	14	406,908	69,246	-	476,154
Total		420,693	69,246	-	489,939

31 December 2023	Note	Level 1	Level 2	Level 3	Total
Financial assets					
Non-derivative trading assets	13	13,041	-	-	13,041
Derivative trading assets	13	-	-	-	-
Investments in securities	14	388,176	98,611	-	486,787
Total		401,217	98,611	-	499,828

Financial instruments not measured at fair value

The fair value of balances with/due to banks balances with/due to the IMF, liabilities to banks and other financial institutions and of liabilities to government institutions is approximately equal to the reporting value as they are short-term. The following table sets out the fair values of certain financial instruments not measured at fair value by the level in the fair value hierarchy into which each fair value measurement is categorised. Other financial assets consist of loans granted to employees (see note 16) pursuant to Article 4 point (b) of the Law No. 8269 "On the Bank of Albania", as amended.

		31 December 2024		31 December 2023	
	Note	Fair value Level 2	Carrying amount	Fair value Level 2	Carrying amount
Assets					
Balances with banks	9	136,222	136,222	128,980	128,980
Loans to banks	12	59,056	59,056	44,755	44,755
Accounts with the IMF	11	39,597	39,597	41,043	41,043
Liabilities					
Due to the IMF	11	36,221	36,221	37,156	37,156
Due to banks	18	172,923	172,923	224,111	224,111
Deposits and borrowings from third parties	19	2,816	2,816	1,997	1,997
Due to Government and state institutions	20	132,036	132,036	105,024	105,024
Other liabilities	21	764	764	880	880

G. *Operational risk*

Operational risk is the risk of direct or indirect loss arising from a variety of causes associated with the Bank's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Bank's operations. Operational risk management is supported by the internal control systems on several activities of the Bank of Albania and standards for the management of operational risk and a wide range of common policies, staff management regulations and obligatory requirements.

H. *Maturity analysis of assets and liabilities*

The Bank's assets and liabilities, analysed by residual term to maturity from the date of the statement of financial position to the date of any subsequent agreement or contractual maturity, are as follows:

31 December 2024	< 12 months	>12 months	Undefined maturity	Total
ASSETS				
Cash and balances with banks	136,222	-	-	**136,222**
Trading assets	1,767	12,018	-	**13,785**
Monetary gold	-	-	26,724	**26,724**
Accounts with the International Monetary Fund	22,426	-	17,171	**39,597**
Loans to banks	59,056	-	-	**59,056**
Investment securities	156,746	319,408	-	**476,154**
Property, equipment, right-of-use and intangible assets	-	-	21,521	**21,521**
Other assets	2	2,015	1,127	**3,144**
TOTAL ASSETS	**376,219**	**333,441**	**66,543**	**776,203**
LIABILITIES				
Currency in circulation	-	-	440,390	**440,390**
Due to banks	172,923	-	-	**172,923**
Deposits and borrowings from third parties	2,816	-	-	**2,816**
Due to Government and state institutions	131,536	-	500	**132,036**
Due to the International Monetary Fund	13,975	-	22,246	**36,221**
Other liabilities	845	-	-	**845**
TOTAL LIABILITIES	**322,095**	**-**	**463,136**	**785,231**
Net	**54,124**	**333,441**	**(396,593)**	**(9,028)**

31 December 2023	< 12 months	>12 months	Undefined maturity	Total
ASSETS				
Cash and balances with banks	128,980	-	-	128,980
Trading assets	1,940	11,101	-	13,041
Monetary gold	-	-	21,039	21,039
Accounts with the International Monetary Fund	23,450	-	17,593	41,043
Loans to banks	44,755	-	-	44,755
Investment securities	182,416	304,371	-	486,787
Property, equipment, right-of-use and intangible assets	-	-	21,574	21,574
Other assets	2	2,156	1,177	3,335
TOTAL ASSETS	381,543	317,628	61,383	760,554
LIABILITIES				
Currency in circulation	-	-	407,968	407,968
Due to banks	224,111	-	-	224,111
Deposits and borrowings from third parties	1,997	-	-	1,997
Due to Government and state institutions	104,524	-	500	105,024
Due to the International Monetary Fund	14,316	-	22,840	37,156
Other liabilities	983	-	-	983
TOTAL LIABILITIES	345,931	-	431,308	777,239
Net	35,612	317,628	(369,925)	(16,685)

I. Capital Management

The Bank of Albania is accountable to the Assembly of the Republic of Albania and its paid-up capital of ALL 2,500 million is owned exclusively by the State of Albania. The paid-up capital may be increased by the proposal of the Bank of Albania and approval by the Ministry of Finance. The entire paid-up capital shall be subscribed and owned exclusively by the State of Albania. This paid-up capital shall not be transferable or subject to encumbrance. The profit allocation policy is described in Note 7 (G), (N), (P) and Note 22.

The reason of the shortfall of the value of assets below the sum of paid capital and liabilities is the significant appreciation of the lek and its impact on the foreign currency reserves held by the Bank, which have also substantially increased in volume, thus increasing the exposure to the currency risk. The Bank aims to hold its foreign currency reserves, hence the unrealized losses due to lek appreciation are not expected to be realized as discussed in note 8E(ii).

Under these circumstances, the Bank does not require any additional capital to meet its operational needs as its assets on the balance sheet date significantly exceed the liabilities that are expected to come due. In particular, it is not expected that the liabilities towards the IMF and Government of Albania accounts will be repaid in full in the foreseeable future.

As provisioned in Article 7 of the Law "On the Bank of Albania", as amended, whenever on the balance sheet of the Bank of Albania the value of its assets

falls below the sum of paid-up capital and its liabilities, the Minister of Finance shall transfer to the Bank of Albania negotiable government securities, bearing interest at market rates, in such an amount as shall be necessary to remedy the deficiency.

The bilateral agreement between the Bank of Albania and the Ministry of Finance dated 16.01.2015 and amended on 29.12.2023, defines that the term "liabilities" referring to Article 7 of the Law, does not include any liabilities towards the Albanian Government or the IMF, as their role is to guarantee or support the financial stability. Consequently, those liabilities are not expected to be repaid in circumstances of liquidity or capital shortfall.

While the Bank of Albania is recognizing exchange rate revaluation losses, it remains well capitalized on a realized equity basis though current appreciation has eroded its overall equity. Revaluation gains (losses) are volatile and subject to economic factors outside the direct control of the BoA and may reverse as global economic conditions change. The accumulated revaluation loss is as a result of the appreciation of the ALL to the EUR since 2019.

J. Climate Risk

The Bank of Albania has started to take concrete steps to address climate risks and integrate green finance principles into its operations. It has actively led the integration of ESG (Environmental, Social and Governance) responsibility principles in the Albanian financial sector, recognizing these as essential for ensuring long-term resilience and sustainable economic development.

The Bank's vision is clearly articulated in the Medium-Term Green Strategy 2023-2025: "Management and Supervision of Climate-Related Financial Risks in the Financial Sector", adopted in 2023. This strategy provides a strong foundation for addressing climate-related financial risks through capacity building, research, cooperation and risk assessment mechanisms.

The Bank of Albania's strategy aims to align with the EU's objectives for a net-zero emission economy by 2050, using international best practices and the recommendations of the NGFS. Through cooperation with international institutions and harmonization with the European framework, the Bank of Albania consolidates its role as a key actor in the transformation of the financial system towards sustainability.

The pressure for compliance is not immediate but is foreseeable from the EU integration process, especially in Chapter 9 on sustainable finance. This includes the transposition of the Taxonomy, CSDR and CSDDD directives.

9. CASH AND BALANCES WITH BANKS

	31 December 2024	31 December 2023
Cash	14	24
Current accounts	90,689	114,934
Deposits maturing within 3 months	29,307	13,500
Less impairment loss allowance	(12)	(12)
Cash and cash equivalents	**119,998**	**128,446**
Deposits with maturity over 3 months	16,224	534
Total	**136,222**	**128,980**

The interest rates for current accounts are as follows:

In %	EUR	USD	GBP	AUD	JPY	CNY	CNH
31 December 2024	0.00 – 2.99	0.00 – 4.25	4.00 – 4.65	0.80 – 3.95	(0.15) – 0.00	0.00 – 1.30	0.00 – 1.00
31 December 2023	0.00 – 3.99	0.00 – 5.30	4.50 – 5.10	0.00 – 3.95	(0.35) – 0.00	0.00 – 0.10	0.00 – 0.10

The annual interest rates for short-term deposits are as follows:

Në %	EUR	USD	CNH
31 December 2024	2.88 – 3.21	4.25	2.11 – 3.18
31 December 2023	3.90 – 4.02	5.30	2.79 – 3.33

10. MONETARY GOLD

	31 December 2024	31 December 2023
Deposits	-	-
Current Account	26,724	21,039
Total	**26,724**	**21,039**

The monetary gold is placed in current accounts (2023: current accounts) with foreign banks. The increase of ALL 5,685 million compared to the previous year is a result of the revaluation of monetary gold with market price at the reporting date, which is recognized in profit or loss, and accumulated to the revaluation reserve (see Note 22).

11. ACCOUNTS WITH/DUE TO THE INTERNATIONAL MONETARY FUND (IMF)

Accounts with the IMF	31 December 2024	31 December 2023
Quotas with IMF	17,171	17,593
Special Drawing Rights ("SDR") held	22,426	23,450
Total assets	**39,597**	**41,043**

Due to the IMF	31 December 2024	31 December 2023
SDR allocations	22,122	22,682
IMF securities account	12,168	12,465
IMF account No.1	1,807	1,851
IMF account No.2	1	1
Accrued interest	123	157
Total liabilities	**36,221**	**37,156**

Quotas with the IMF of ALL 17,171 million or SDR 139 million (2023: ALL 17,593 million or SDR 139 million) originate from the membership of the Republic of Albania in the IMF, according to the Law No.8269, dated 23 December 1997 "On the Bank of Albania", as amended.

The SDR holdings of ALL 22,426 million or SDR 182 million (2023: ALL 23,450 million or SDR 186 million) represent deposits with the IMF.

During 2020, in response to the two events, the earthquake that hit the country and the Covid – 19 pandemic situation, the Government of Albania requested and obtained an emergency financing from the IMF amounting SDR 139 million, corresponding to the purchase of 100% of Albania's quota under the Rapid Financing Instrument (RFI). The SDR holdings bear interest, which is determined on a weekly basis. The interest rate at 31 December 2024 is 3.159% p.a. (2023: 4.103% p.a.).

SDR Allocations of ALL 22,122 million or SDR 180 million (2023: ALL 22,682 million or SDR 180 million) represent amounts borrowed from the IMF with two tranches in August and September 2009, whose purpose is to provide immediate response to the short-term and long-term liquidity needs of the member countries. The SDR Allocations bear interest, which is determined on a weekly basis and is payable on a quarterly basis.

The IMF pays remuneration to members with remunerated reserve tranche positions, at 3.159% p.a. (2023: 4.103% p.a.). The reserve tranche position is calculated as the difference between Quotas in the IMF and the currency holdings in the IMF accounts, excluding holdings acquired as a result of the use of the Fund credit and holdings in the IMF account No.2. In August 2021, the IMF decided to have a SDR allocation to all Fund members to help build reserve buffers, smooth adjustments, and mitigate the risks of economic stagnation in global growth. The allocation of SDRs was distributed in proportion to members' paid Fund quota shares. To Albania, were allocated an amount of SDR 133 million or ALL 19,640 million. Based on the concept of SDR allocation the member has a high degree of flexibility of using it. If the member decides to use these (Bank of Albania or the Ministry of Finance), will bear the cost of using it (normally interest rate and not principal).

Direct budget support provided by the IMF

Funds provided for direct budget support by the IMF to the Government of Albania which are initially deposited in the Government accounts at the Bank, are not recognised as a liability of the Bank to the IMF. The Government assumes the obligation to repay the funds to IMF whereas the Bank processes such repayments on behalf of the Government. The IMF disbursed such funds in tranches during the years 2014 - 2017, as part of the EFF facility program approved by the IMF in favour of Albania and in the year 2020 in one payment, as part of RFI facility due to the Covid-19 pandemic situation. These

tranches are used to provide direct budget financing to the Government of Albania represented by the Ministry of Finance. The borrowing is repayable within 3 years, by the Albanian Government through the accounts of the Bank with the IMF. The Albanian Government shall deposit in its accounts at the Bank sufficient funds to repay all principal, interest and any other expenses associated with the above tranches as such repayments fall due. In relation to this borrowing, the Ministry of Finance issued promissory notes in favour of the IMF. The Government started to repay the facility in October 2018 and July 2023. As at 31 December 2024, the facility amounted to ALL 11,863 million (2023: ALL 26,679 million).

12. LOANS TO BANKS

	31 December 2024	31 December 2023
Reverse repurchase agreements	59,056	44,755
Total	**59,056**	**44,755**

At 31 December 2024, reverse repurchase agreements between the Bank and local commercial banks have original maturities from up to one week (2023: from one week to three months). No overnight loans to Banks as at 31 December 2024 and 2023.

13. TRADING ASSETS

Trading assets	31 December 2024	31 December 2023
Non-derivatives:		
Bonds of foreign agencies	2,551	2,959
Bonds of foreign governments and multilateral institutions	11,234	10,082
Derivatives:		
Interest rate future contracts	-	-
Foreign exchange forwards	-	-
Total	**13,785**	**13,041**

Trading assets are administrated by the International Bank for Reconstruction and Development ('IBRD') as stated in the agreement "On the administration and technical assistance on investing the foreign reserve of the Bank of Albania" (Reserves and Advisory Management Program) signed between the Bank of Albania and the IBRD on 23 September 2005. Investments in this portfolio are denominated in USD.

The annual interest rates for non-derivative assets as at 31 December 2024 and 31 December 2023 are as follows:

In %	31 December 2024	31 December 2023
USD	0.625 – 5.375	0.125 – 5.375

14. INVESTMENT SECURITIES

	31 December 2024	31 December 2023
Investment securities measured at FVOCI	476,154	486,787
Total	**476,154**	**486,787**
Expected Credit Losses (ECL)	**(32)**	**(43)**

Investment securities by type of issuer and security are presented as follows:

	31 December 2024	31 December 2023
Treasury Bills of foreign governments and multilateral institutions	3	-
Bonds of foreign banks and other institutions	11,918	32,082
Bonds of foreign agencies and regional governments	36,499	34,937
Bonds of foreign governments and multilateral institutions	364,317	351,129
Security of the Albanian Government	63,417	68,639
Total	**476,154**	**486,787**

Expected Credit Losses (ECL) by type of issuer and security are presented below:

	31 December 2024	31 December 2023
Treasury Bills of foreign governments and multilateral institutions	-	-
Bonds of banks and other institutions	(7)	(17)
Bonds of foreign agencies	(5)	(5)
Bonds of foreign governments and multilateral institutions	(20)	(21)
Security of the Albanian Government	-	-
Total	**(32)**	**(43)**

The annual yields for each currency at 31 December 2024 and 2023 are as follows:

In %	ALL	USD	GBP	AUD	CNH	EUR	JPY
31 December 2024	2.75 – 3.00	4.13 – 5.24	3.96 – 4.74	3.85 – 4.56	2.09 – 3.62	1.96 – 4.10	0.35 – 0.46
31 December 2023	3.25 – 3.36	0.00 – 7.38	3.30 – 5.54	3.61 – 4.71	2.45 – 3.06	1.88 – 4.43	(0.21)

Investment securities in ALL at 31 December 2024, represent Albanian Government treasury bills and bonds with a maturity period up to 12 months (2023: up to 12 months).

On December 31, 2022 the Bank has registered a security issued by the Ministry of the Finance with a nominal value of ALL 6,020 million, because as of 31 December 2022, the Bank's total of paid up capital and liabilities of the bank exceeds the assets by All 3,433 million. This transaction is done pursuant to Article 7 set forth in the Law No. 8269, dated 23 December 1997 "On the Bank of Albania", as amended, requiring the Bank and the Ministry of Finance and Economy to transfer negotiable securities to the Bank whenever the assets of the Bank decrease below its liabilities and Paid-in Capital.

Based on the Decision of the Supervisory Council of the Bank of Albania No. 14 , dated 06 March 2024, under the conditions that on December 31, 2023 the Bank assets doesn't fall below the sum of paid-up capital and its liabilities (liabilities to third parties excluding its sovereign and the IMF), this security has

been compensated by the profit of the financial year, pursuant to Article 10(1) of the Law "On the Bank of Albania" as amended, which stipulates that after passing the amount of 25 per percent of the net profit in the general reserve fund according to Article 9, the remaining from the net profit for the financial year will be used to compensate the securities that have been given to the Bank of Albania in accordance with Article 7 of this Law.

15. PROPERTY, EQUIPMENT, RIGHT-OF-USE AND INTANGIBLE ASSETS

	Land, buildings and installations	Furniture and equipment	Vehicles	Work in progress	Numismatic coins and objects	Total property and equipment	Total Right of Use	Computer Software	Work in progress	Total intangible assets	Total
Cost or deemed cost											
At 1 January 2023	9,419	2,955	291	2,039	10,532	25,236	-	698	-	698	25,934
Additions	-	69	-	484	-	553	-	3	5	8	561
Transfers	2,497	-	-	(2,497)	-	-	-	-	-	-	-
Disposal	-	(40)	-	-	-	(40)		(1)	-	(1)	(41)
At 31 December 2023	11,916	2,984	291	26	10,532	25,749	-	700	5	705	26,454
Additions	3	198	1	-	-	202	-	36	81	117	319
Transfers	-	-	-	-	-	-	-	-	-	-	-
Disposal	-	(28)	-	-	-	(28)	-	-	(28)	(28)	(56)
At 31 December 2024	11,919	3,154	292	26	10,532	25,923	-	736	58	794	26,717
Accumulated depreciation/amortization											
At 1 January 2023	1,160	2,490	275	-	-	3,925	-	633	-	633	4,558
Depreciation/amortization	151	169	9	-	-	329	-	34	-	34	363
Disposal	-	(40)	-	-	-	(40)	-	(1)	-	(1)	(41)
At 31 December 2023	1,311	2,619	284	-	-	4,214	-	666	-	666	4,880
Depreciation/amortization	208	128	1	-	-	337	-	34	-	34	371
Disposal	-	(27)	-	-	-	(27)	-	(28)	-	(28)	(55)
At 31 December 2024	1,519	2,720	285	-	-	4,524	-	672	-	672	5,196
Carrying amounts											
At 31 December 2023	10,605	365	7	26	10,532	21,535	-	34	5	39	21,574
At 31 December 2024	10,400	434	7	26	10,532	21,399	-	64	58	122	21,521

16. OTHER ASSETS

	31 December 2024	31 December 2023
Financial assets		
Loans to employees, net	2,016	2,158
	2,016	2,158
Non-financial –assets		
Numismatics (banknotes and coins)	347	347
Deferred printing and minting costs	707	757
Inventory	24	21
Other	50	52
	1,128	1,177
Total	3,144	3,335

Loans to employees at 31 December 2024 are net of allowance for impairment of ALL 6 million (2023: ALL 6 million) (see Note 8(E)(vi)(b).

17. CURRENCY IN CIRCULATION

The Bank is vested with the exclusive right of issuing Albanian currency. Currency in circulation comprises domestic banknotes and coins in circulation issued by the Bank.

The Bank has increased the operating capacities to guarantee the uninterrupted supply with coins and banknotes to economy. It has taken all the necessary decisions and has engaged all its structures to meet the market requests for cash, by simultaneously providing a sufficient stock with the purpose to counter the increasing needs of the economy. The following banknotes and coins were in circulation as at 31 December 2024 and 2023:

	31 December 2024		31 December 2023	
Nominal value ALL	Number in thousand	Total ALL (million)	Number in thousand	Total ALL (million)
Notes:				
100	-	-	3,396	340
200	17,016	3,403	16,538	3,308
500	20,737	10,368	19,456	9,727
1,000	28,190	28,190	27,216	27,216
2,000	36,797	73,595	35,943	71,887
5,000	52,882	264,410	49,803	249,013
10,000	5,313	53,132	3,960	39,600
Coins (1-100)		7,292		6,877
		440,390		407,968

18. DUE TO BANKS

	31 December 2024	31 December 2023
Reserve requirement and current accounts	159,139	206,731
Deposits	7,354	7,000
Reserve requirement – cash on custody	6,430	10,380
Total	172,923	224,111

In accordance with the Decision of the Supervisory Council No. 39, dated 25.06.2014, amended with Decision No. 11, dated 07.02.2018, the remuneration rate for the reserve requirement in ALL is 100% of the rate of the repurchase and reverse repurchase agreements, approved by the Supervisory Council as on the last day of the base period.

As at 31 December 2024, the interest rate is 2.75% (2023: 100% of the base rate or 3.25%).

Based on the Decision No. 11, dated 07.02.2018 the remuneration rate for the reserve requirement in EUR held in EUR is equal to the deposit rate defined by the European Central Bank (ECB). As at 31 December 2024, the remuneration rate is 0% (2023: 0%).

As at 31 December 2024 the reserve requirement in USD is not remunerated (2023: not remunerated). Based on the Decision of the Supervisory Council, No. 29, dated 16 May 2012 "On the minimum reserve requirement held at the Bank of Albania by commercial banks", amended by the Decision No. 75, dated 06 July 2016, the Bank allows the commercial banks to maintain the reserve requirement in the form of cash in custody with the Bank.

19. DEPOSITS AND BORROWINGS FROM THIRD PARTIES

	31 December 2024	31 December 2023
Deposits from the Deposit Insurance Agency	2,750	1,872
Deposits from the pension fund	43	110
Deposits from individuals for participation in Treasury Bills auctions	23	15
Total	**2,816**	**1,997**

Deposits from the pension fund relate to the pension plan scheme, which is based on employees' contributions and employer's contributions. Based on the Decision No. 17, dated 26 February 2014 of the Supervisory Council the pension fund reports its financial statements separately from the Bank.

20. DUE TO GOVERNMENT AND PUBLIC INSTITUTIONS

	31 December 2024	31 December 2023
Profit to be distributed to the Government	-	-
Accounts and deposits of the Government	128,954	102,169
Due to state institutions	3,082	2,855
Total	**132,036**	**105,024**

Based on the agreement between the Bank and the Ministry of Finance and Economy, the Bank of Albania pays interest only for the time deposits placed by the Government of Albania, as well as for a guarantee deposit of ALL 500 million (2023: ALL 500 million) for which the interest rate is based on the decisions of the Supervisory Council. For these deposits the remuneration rate on 31 December 2024 is 2.75% (2023: 3.25%).

Profit to be distributed to the Government of Albania is detailed as follows:

	Note	31 December 2024	31 December 2023
Net result for the period		**5,188**	**(27,052)**
Transfer to reserves	22	7,802	36,147
Profit/(Loss) of the year for distribution		**12,990**	**9,095**
Distribution from other reserves	22	53	53
Total to be distributed		**13,043**	**9,148**
Total to be transferred for compensation of security (article10 of the Law)	14	-	(6,257)
Total to be transferred for capital strengthening Reserve	22	(12,611)	
Total to be transferred to the accumulated losses		**432**	**2,891**
Total to be distributed to the Government		**-**	**-**

21. OTHER LIABILITIES

	31 December 2024	31 December 2023
Financial liabilities		
Due to international financial institutions	490	523
Due to third parties	251	324
Accrued expenses	23	33
Total financial liabilities	**764**	**880**
Non-financial liabilities		
Provisions for claims and litigations	79	101
Grants	2	2
Total non-financial liabilities	**81**	**103**
Total	**845**	**983**

Balances due to international financial institutions include amounts payable to IBRD, International Development Agency ('IDA'), Multilateral Investment Guarantee Agency ('MIGA'), and Islamic Development Bank ('IDB').

22. RESERVES

	31 December 2024	31 December 2023
Paid-in Capital	2,500	2,500
Reserve for the Balance of Payments	7,209	7,209
Reserve of gold and precious metals	7,042	7,042
Reserve for capital deficit	6,020	6,020
Reserve for strengthening of the capital	12,611	-
Legal reserve	12,500	12,500
Equity Adjustments on Transition to IFRS	5,450	5,450
Net Realized Statutory Capital and realized Reserves	**53,332**	**40,721**

Reserve for the Balance of Payments represents financial assistance provided by the European Community during the years 1992 and 1993. There have been no movements in such reserve since 1995.

The reserve for capital deficit represent a security issued by the Ministry of the Finance with a nominal value of ALL 6,020 million, because as of 31 December 2022, the Bank's total of paid up capital and liabilities of the bank exceeds the assets by ALL 3,433 million. In implementation of Article 10, paragraph 1 of the Law "On the Bank of Albania" as amended, which stipulates that the remaining net profit for the financial year shall be used to compensate the debt securities issued to the Bank of Albania, and paragraph 5 of the Decision of the Supervisory Council of the Bank of Albania No. 14, dated 6.3.2024, this security has been fully compensated with the profit from the 2023 financial year.

The reserve for strengthening of the capital is created based on the Decision of the Supervisory Council of the Bank of Albania No. 13, dated 05 March 2025. The reserve is created from the bank's profit with the aim of strengthening the Bank's capital in conditions where, despite the profit realized, the bank over a three-year period, has negative capital caused from the exchange rate revaluations as a result of the appreciation of the ALL against foreign currencies.

The reserve of gold and precious metals represents the reserve created based on the Law No. 9862, dated 24 January 2008 "On the transfer of ownership of gold and other precious metals from the Albanian Council of Ministers to the Bank of Albania".

The legal reserve is created based on the requirements of Article 9 of the Law "On the Bank of Albania", as amended, according to which, the Bank sets aside 25% of the net profit for the year into a Legal Reserve until the reserve amounts to 500% of the capital. The Bank achieved compliance with this requirement as at 31 December 2011 with its legal reserve amounting to ALL 12,500 million.

The Equity Adjustments on Transition to IFRS reserve of ALL 5,450 million (2023: ALL 5,450 million) was originally created based on the Decisions of the Supervisory Council of the Bank of Albania No. 19 and No. 20, dated 15 March 2018, as a result of the reallocation and allocation of the transition reserve.

Net unrealized reserves represent exchange rate revaluations, fair value revaluation of securities and unrealized reserve for property revaluation, of amount ALL 2,082 (2023: ALL 2,135), created at the first time adoption of IFRS. For the year 2024, the amount of ALL 53 million is added to the year 2024 result and transferred to the "Losses carried forward" (2023: the amount of ALL 53 million was added on reducing the accumulated losses).

	31 December 2024	31 December 2023
Exchange rate Revaluation Reserve Account	(64,515)	(56,713)
Fair value reserve (investment securities)	73	(2,396)
Revaluation Reserve for property and equipment	2,082	2,135
Net Accumulated Revaluation Gains (Losses)	**(62,360)**	**(56,974)**

Pursuant to Article 64 (a) and (c) of the Law "On the Bank of Albania" as amended, the movement in the exchange rate revaluation reserve, results from the following items, which are initially recognized in profit or loss and then transferred to revaluation reserves:

	2024	2023
Opening at 1 January	**(56,713)**	**(20,566)**
Net foreign exchange losses, other than from trading assets and liabilities	(13,543)	(34,237)
Net foreign exchange losses from trading assets and liabilities	56	(1,783)
Net loss from changes in the fair value of monetary gold (Note 10)	5,685	(128)
Closing at 31 December	**(64,515)**	**(56,713)**

The decrease of ALL 7,802 million (2023: decrease ALL 36,148 million) in revaluation reserve is a result of the depreciation of the foreign currencies (mainly EUR, JPY) versus the functional currency (see Note 8(E)(ii)).

Negative revaluation reserve
Given the negative balance of the revaluation reserve at 31 December 2024 and, pursuant to the requirements of clause "b"in Article 64 of the Law "On the Bank of Albania", as amended, (Note 7(N)) and a bilateral agreement with the Government of Albania, the latter shall issue debt securities upon request to cover the negative balance of the revaluation reserve after issuance of the external auditors' report on these financial statements.

Movements in Fair Value Reserve (investment securities) are reflected as below:

	31 December 2024	31 December 2023
Balance at 1 January	**(2,396)**	**(13,922)**
Change in Fair Value of Securities	2,469	11,526
Balance at 31 December	**73**	**(2,396)**

23. NET INTEREST INCOME

	2024	2023
Interest income calculated using the effective interest method		
Investment securities	13,437	11,147
Loans to banks	1,402	1,416
Deposits and current accounts with banks	2,717	2,064
Accounts with the IMF	1,016	1,067
Other	23	22
Total interest income	**18,595**	**15,716**
Interest expense calculated using the effective interest method		
Reserve requirements	1,139	961
Due to the International Monetary Fund	861	898
Due to the Albanian Government	742	77
Interest from current accounts ,deposits with Banks and third parties	271	230
Total interest expense	**3,013**	**2,166**
Net interest income	**15,582**	**13,550**

Interest income from investment securities includes ALL 2,288 million (2023: ALL 2,758 million) of income from securities issued by the Albanian Government and ALL 11,149 million (2023: ALL 8,389 million) of income from security lending and foreign reserve investment securities after accounting for the amortization of premium/discount.

Negative interest from deposits and current accounts with banks of ALL 2 million (2023: ALL 8 million) represents charges arising from negative yielding deposits and accounts placed with foreign banks.

24. NET TRADING INCOME

	2024	2023
Interest income from trading assets	260	196
Gain on sales from the trading assets	226	28
Loss on sales from the trading assets	(41)	(133)
Unrealized fair value changes	81	508
Net (loss) / profit from forward and future contracts	(19)	283
Total	**507**	**882**

25. NET INCOME FROM SALES OF FINANCIAL ASSETS AT FVOCI

See accounting policies in Notes 7(A)(iii) and 7(E).

	2024	2023
Gain on sale of FVOCI debt investment securities	821	278
Loss on sale of FVOCI debt investment securities	(1,455)	(3,050)
Net other income	**(634)**	**(2,772)**

26. EMPLOYEE BENEFIT EXPENSES

	2024	2023
Employee salaries and compensations	1,437	1,354
Contributions for health and social insurances	149	141
Contribution for pension fund (see Note 19)	148	144
Total	**1,734**	**1,639**

On December 31, 2024, the organizational structure holds 609 employees (2023: 609 employees).

27. OTHER GENERAL AND ADMINISTRATIVE EXPENSES

	2024	2023
Repair and maintenance expenses	214	193
Amortization of currency printing and minting costs	284	249
Information expenses	108	112
Fees for third-party services	141	123
Other staff expenses	64	61
Transportation fees	26	32
Publication and membership expenses	15	15
Other expenses	29	41
Total	**881**	**826**

Fees for third-party services include audit fee ALL 6 million (2023: ALL 4 million).

28. CONTINGENCIES AND COMMITMENTS

(i) Reverse repurchase agreements

Reverse repurchase agreements, as at 31 December 2024, represented collateralized loans (see Note 12). The nominal value of the securities used as collateral as at 31 December 2024, was ALL 63,180 million (2023: ALL 49,800 million).

(ii) Capital commitments

As at 31 December 2024 and 31 December 2023, the Bank does not have any capital commitments.

(iii) Credit commitments and collaterals received from employees

The total value of registered collateral for long-term loans extended to employees (see Note 16) at 31 December 2024 is ALL 2,983 million (2023: ALL 3,059 million). At 31 December 2024, unused credit commitments for employees amount to ALL 91 million (2023: ALL 92 million).

(iv) Legal proceedings

Claims against the Bank may be raised in the normal course of business. In two cases brought by third parties, although liability is not admitted, if the defence is unsuccessful, then certain amounts and legal costs would be paid by the Bank. The outcome of these actions and the amounts claimed by third parties has not yet been determined. The Bank estimates that no material losses will be incurred in respect of claims, in excess of provisions that have been made in these financial statements (see Note 21).

29. MANAGED ASSETS

As at 31 December 2024, the Bank acts as custodian for short-term treasury bills with maturities from 3 to 12 months, with total nominal value of ALL 200 billion (2023: ALL 222 billion) and for long-term securities with maturities varying between 2 and 15 years, with nominal value of ALL 589 billion (2023: ALL 518 billion). These securities are issued by the Albanian Government.

30. RELATED PARTIES

Parties are considered to be related if one party has the ability to control the other party or to exercise significant influence over the other party in making financial and other decisions.

Considering each possible related party relationship, attention is paid to the substance of the relationship and not merely to the legal form.

The related parties of the Bank of Albania include the directors and members of the Supervisory Council. As at 31 December 2024 and 2023, balances with related parties comprised:

	2024	2023
Loans to directors		
Directors	109	116
Total	**109**	**116**

Loans to directors follow the terms and conditions applied to all employees of the Bank based on the policy and regulations in force. The mortgage loans are collateralized.

	2024	2023
Administrative expenses		
Directors and Supervisory Council members:		
Telephone expenses	5	5
Salaries and bonuses	176	169
Per diems	4	3
Directors:		
Fuel compensation	3	3
Contribution to pension plan scheme	16	16
Total of administrative expenses for related parties	**204**	**196**

Balances with/(due to) the Albanian Government and public institutions are disclosed in Notes 14 and 20, and related interest income from securities and interest expenses are included in Note 23. Promissory notes issued by the Albanian Government in favour of the IMF are detailed in Note 11, whilst securities issued by the Albanian Government and managed by the Bank are detailed in Note 28.

31. SUBSEQUENT EVENTS

There are no other significant events after the reporting date that may require adjustment or disclosure in the financial statements.